Week beginning 20 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: AI-carus?

The Week That Was: Frayed nerves.

Focus on New Zealand: Soggy activity data ahead of key CPI report.

For the week ahead:

Australia: Westpac-MI Leading Index, labour force survey.

New Zealand: Q2 CPI, trade balance.

Japan: CPI.

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United Kingdom: CPI, unemployment rate, retail sales, consumer sentiment, public borrowing.

United States: leading index, new home sales, regional manufacturing survey.

Global: S&P Global PMIs.

Information contained in this report current as at 17 July 2026.

AI-carus?

Luci Ellis
Chief Economist, Westpac Group

- **Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.**
- **It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s 'dot com' nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.**
- **Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.**

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and in Australia. The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a "bubble". But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from "fundamental" value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in "Greater Fool" territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where "bubbly" boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the "cost of compute" seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the 'dot com' boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly.

"Data centres do not have the same network effects or location-based natural monopoly characteristics."

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the Slower Builder who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like shipping costs, which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

"What worries me about the current boom is how far financial considerations seem to sit in the background"

Capitalism has its drawbacks, but at least raw commercial incentives limit people's appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM's latest announcements. The advice I'd give now is the same as I gave a decade ago, in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don't get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus's story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better that than basing decisions on imagined scenarios that do not survive contact with real-world economics.

Cliff Notes: frayed nerves

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

The Westpac–MI Consumer Sentiment Index rose 4.1% in July; but at 83.9, the index is still in the bottom decile of historical outcomes, pointing to deep pessimism. Lower fuel prices have provided some breathing room, contributing to a less-negative assessment of 'family finances vs a year ago' (+5.6%) and 'family finances next 12mths' (+13.4%). Consumers remain sensitive to developments in the Middle East, however, last week's re-escalation of the conflict resulting in a progressive deterioration in daily responses while the survey was in the field.

Views on the economic outlook are weak and little changed, the one- and five-years ahead sub-indexes lifting just 0.6% and 0.7% in the month; more encouragingly, concerns over the jobs outlook have eased. Most consumers still expect mortgage rates to rise over the next year, though the share has declined from 66% to 60%, with a rising proportion reporting uncertainty about where rates are headed. Ultimately, the survey reported a reprieve from worst-case fears but is also evidence of the scale of challenges ahead.

The latest NAB business survey echoed similar themes. Business confidence continued to retrace the sharp falls seen at the onset of the Middle East conflict, rising +9pts to a less-pessimistic reading of –5. Lower fuel prices contributed to slower growth in purchase costs and final prices, but the cumulative impact of these pressures have weighted on capital expenditure plans and labour demand. Business conditions remain subdued, holding at +3 for a third consecutive month having weakened earlier in 2026.

"This is consistent with sluggish activity growth as households and businesses approach the outlook with caution."

Offshore, US inflation data was supportive of interest rates remaining on hold in coming months. Headline prices fell 0.4% in June as energy prices responded to the Middle East ceasefire agreed mid-month, pulling annual inflation down from 4.2%yr to 3.5%yr. Of greater significance for monetary policy, however, was the flat monthly read for core inflation, 2.6%yr.

Members of the FOMC want to see further evidence of disinflation towards the 2.0%yr target. In our view, the multi-month trends are consistent with such an out-turn, with core goods prices broadly unchanged year-to-date and core services inflation averaging just below 0.3% per month. The June PPI report corroborates this view, headline producer prices falling 0.3%, while May was revised down sharply from 1.1% to 0.6%. Ex food and energy, prices rose a modest 0.2%mth, and the prior month's gain was revised lower from 0.4% to 0.1%. The latest readings on consumer demand are also consistent with inflation returning to target, nominal control group retail sales up a modest 0.5% in June after a 0.8% gain in May, and the latest Beige Book also pointing to consumer demand being constrained by cost-of-living pressures. The duration and severity of the renewed conflict in the Middle East will be critical to the US growth outlook given University of Michigan consumer sentiment remains stuck near multi-decade lows.

Over in Asia, China's Q2 GDP and June activity data provided a mixed read on their economy. Q2 GDP met expectations at 0.9%qtr, although the annual rate disappointed at 4.3%yr. Year-to-date, growth remains broadly consistent with our expectation of 4.7%, but such an outcome would be at the lower end of authorities' 4.5–5.0% full-year target. The industrial sector continues to drive aggregate momentum, production growth rebounding to 5.3%yr in June from around 4.0%yr through April and May. But the domestic growth story remains fragile, primarily owing to declining investment, -5.7%ytd in June. Retail sales growth recovered from -0.6%yr in May to 1.0%yr in June, though that still leaves it at the lower end of the historical rage. Together, the state of domestic investment and household consumption call for urgent pro-active stimulus to support cyclical momentum as well as structural change to help the gains of trade flow to the wider economy.

The Bank of Korea raised rates by 25bp this week and signalled further tightening is likely. Inflation remains elevated, due to a combination of higher energy, exchange rate and food costs alongside resilient domestic demand. But the BoK's greater challenge is managing an increasingly two-speed economy, with tech-related sectors benefiting directly from the AI and data centre investment boom while others wait for those gains to spill over. For now, policymakers appear comfortable leaning against inflation and expecting the benefits of AI production and investment to broaden; although, in the interim, this leaves Korea exposed should enthusiasm around AI turn. Investment and the implications for growth and policy is a focus of this month's edition of The Wrap on Asia; and, with a particular focus on AI investment, Chief Economist Luci Ellis' weekly essay.

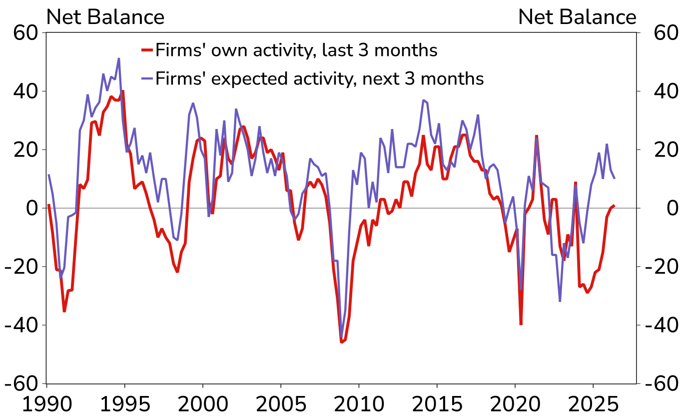
Soggy activity data ahead of key CPI report

Darren Gibbs
Senior Economist

Following last week's RBNZ meeting, which resulted in the first OCR hike in three years, the market has turned its attention to the prospect of a follow-up rate hike at the next meeting on 2 September. The past week has provided numerous economic reports and a key RBNZ speech for the market to digest, covering topics such as business sentiment, consumer spending, housing, the labour market, tourism and inflation.

Early in the week, the QSBO – New Zealand's premier business survey – pointed to a modest lift in business sentiment in the June quarter. The survey period ran from 10 June to 7 July. The average response over that period meant that the headline confidence index rose 11pts to +12. Early responses were a net 5% negative, while the second major batch of responses – mostly arriving after the signing of the Memorandum of Understanding by the US and Iran – were a net 20% positive. Given the renewed hostilities in the Middle East this month, the earlier responses may be more representative of where sentiment would stand if the survey was re-run today. Firms' expectations of their own activity, which tend to have a closer correspondence with GDP growth, were little changed for the quarter. Other activity indicators were mixed. Investment and hiring intentions were less negative than in the March quarter, but profitability was expected to worsen further. Meanwhile, the rise in fuel prices since March was clearly reflected in the pricing measures. A net 41% of firms reported raising their prices in the June quarter, up from 22% last quarter and the highest reading since September 2023. In the next three months, a net 54% of firms indicated an intention to raise their prices – the highest since March 2023.

QSBO business survey

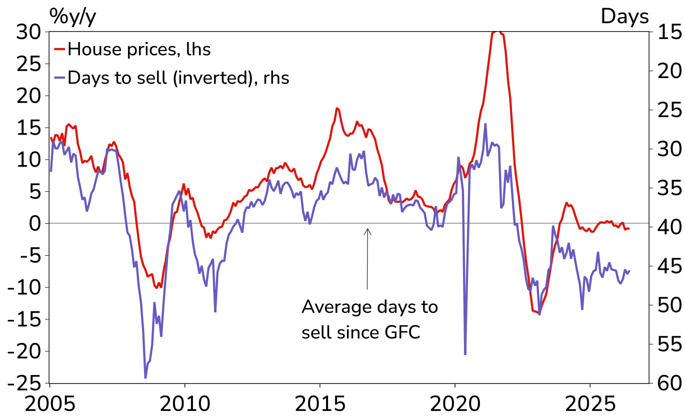


Source: NZIER, Macrobond, Westpac Economics

News from the retail sector was more downbeat than expected in June, with the value of retail spending processed through the electronic payments system declining 1.4%, reversing the step higher seen in May. Of note was a 4% decline in spending on household durables, while spending on apparel and hospitality both fell 2%. The only category that saw a rise in June was spending on groceries. Given the June result, total spending over the June quarter increased just 0.4%, driven entirely by a 7.3% lift in spending on fuel. Core retail spending fell 0.1%, marking the first decline since the March quarter last year.

Our own recent survey of households confirmed that consumers remain cautious. In response to developments in the Middle East, 36% of respondents reported having wound back their discretionary spending and around 15% have delayed or cancelled travel plans. Even when it comes to spending on essentials like groceries, around 30% said they've changed how they shop e.g., by purchasing fewer or cheaper items. Looking ahead, the pressure on fuel costs looks likely to persist, especially given the rebound in oil prices this week due to renewed tensions in the Middle East. Combined with other cost of living pressures, a soft labour market and continued economic uncertainty, we expect growth in consumer spending will remain comparatively subdued.

House prices and days to sell



Source: REINZ, Macrobond, Westpac Economics

The housing market data also struck a soggy note in June, with house sales edging lower and so added to a cumulative 9% decline since the start of the year. The median time to sell was little changed and so remained well above the historic average. Reflecting buyers' lack of urgency, the REINZ house price index fell by 0.3% for the month and was down 0.8% on a year ago. National average prices have moved sideways for the last three years, though with some marked distinctions across regions. Wellington and Auckland have seen the largest price declines over the last year, while regions with stronger links to agriculture and tourism, such as Canterbury and Otago, have seen prices continue to set new highs.

Fixed-term mortgage rates have risen since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). Looking ahead, we expect that higher interest rates will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet. Meanwhile, demand for housing remains constrained by relatively weak population growth. New Zealand saw a net inflow of just 1,860 migrants in May, with a downward revision to earlier months reducing the annual inflow to less than 19,000. Given historically weak natural growth in the population due to a declining fertility rate, annual population growth is running at less than 1%.

In some better news, MBIE's measure of job advertising picked up in June, perhaps helped by – at the time – a recovery in business confidence amidst easing tensions in the Middle East. The level of advertising remains low by historical standards but is now 13% higher than a year earlier. Not surprisingly, the strongest lift in job vacancies was seen in the primary sector, reflecting buoyant prices for almost all of New Zealand's key exported commodities. This is also reflected in the regional breakdown, with the major urban area of Auckland yet to see any lift in vacancies from the cycle low point.

Moving on, tourist data for May suggests some impact from the Middle East conflict with non-resident arrivals declining 2.4% to be 3.6% below their recent February peak. Even so, arrivals were around 7% higher than a year earlier reflecting the strong growth seen since around the middle of last year. Much of that growth owes to arrivals from Australia – New Zealand's largest market – and Asia, including a significant uplift in arrivals from China (the latter up more than 30% from a year earlier). By contrast, arrivals from major North American and European markets were lower than a year earlier. Looking ahead, we continue to expect a soft patch in tourism arrivals over the second half of this year due to the impact of high airfares and Middle East uncertainty on long haul forward bookings.

On balance, today's Selected Prices data for the June month – covering around 47% of the CPI – provided a modest upside surprise. Fuel prices – especially diesel – were lower, as expected. Food prices posted their expected seasonal increase while rental inflation remained very subdued. Electricity prices rose by less than expected, but the very volatile international accommodation component rose a much stronger-than-expected 9% during the month. Given this information, we have nudged up our earlier forecast and now think that next week's June quarter CPI report will reveal a 1.5% lift in the headline index, raising annual inflation to 4.1% from 3.1% at present. We view the risks around this forecast as balanced. Our estimate of annual inflation is 0.2ppt above the updated estimated provided by the RBNZ at the July Monetary Policy Review.

Finally, this week the RBNZ's Chief Economist, Paul Conway, gave a speech on pricing behaviour. He emphasised that the key monetary policy challenge facing policymakers is to prevent the oil shock from becoming embedded in expectations and business pricing behaviour. In that regard, he noted several findings from recent research – some of which is ongoing at the Bank – which in his view raise the risk of inflation persistence:

- Businesses and households pay much more attention to inflation when it is above the 1-3% target range, making expectations more sensitive to current inflation outcomes.
- Household inflation expectations have risen and become more dispersed since the Middle East conflict, indicating greater uncertainty about future inflation.
- Firms now change prices more frequently than in the past due to lower repricing costs and digital technology.
- Businesses are more willing to pass through cost increases than they are to reverse price rises when costs fall, creating a greater risk that temporary shocks become lasting inflation.
- These effects appear particularly strong in the services sector, where inflation tends to be more persistent.

Conway noted that the RBNZ may need to respond more forcefully to re-anchor expectations if businesses and households begin to expect inflation to remain elevated. Balanced against this, he argued – correctly in our view – that the current situation differs markedly from the inflationary episodes of the 1970s and from the post-pandemic inflation surge. In particular, the New Zealand economy currently has spare capacity, which should make it harder for firms to raise prices aggressively and should help inflation return to target over time. Medium-term inflation expectations also remain relatively well anchored.

Nonetheless, the market interpreted the speech as "hawkish", especially when set against the dovish comments that Conway had previously made in recent months. Combined with developments in the Middle East and elsewhere, the speech has consolidated the market's confidence that the RBNZ will deliver a further lift in the OCR at the 2 September meeting, with a 25bp hike now around 90% priced.

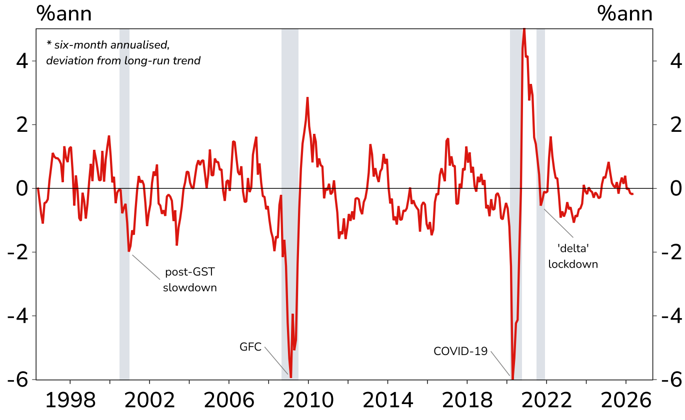
AUS: Jun Westpac-MI Leading Index (%ann'd)

Jul 22, Last: –0.17

The Leading Index growth rate ticked up slightly to –0.17% in May, the read still consistent with sluggish, below-trend growth momentum through the second half of 2026 and into early 2027.

The June read will include a mixed bunch of component updates. On the plus side, the ASX200 lifted 0.5% and consumer sentiment-based measures posted some recovery. However, there were a significant weakening across several other components including: commodity prices (–0.7% in AUD terms); dwelling approvals (–1.1%); total hours worked (–1.1%); and a further narrowing in the yield spread. That looks likely to see some further softening in growth momentum overall.

Westpac-MI Leading Index



Source: Westpac-MI, Macrobond

AUS: Jun Labour Force – Employment Change (000s)

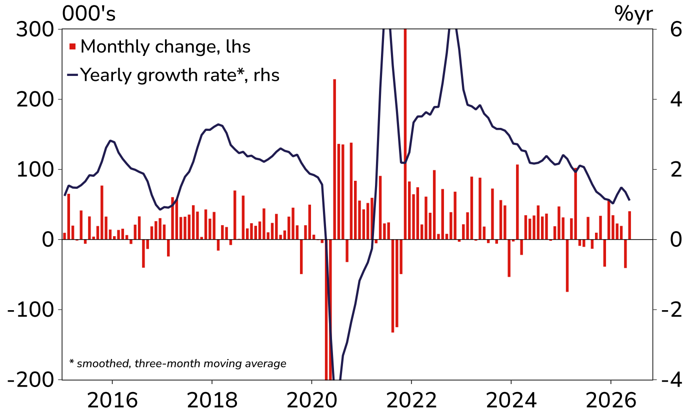
Jul 23, Last: 40.3, Westpac f/c: 15
Market f/c: 15, Range: flat to 50

After expanding around +26k/mth in Q1, employment growth effectively stalled over April and May. On a three-month average basis, employment is growing well below the pace of the working-age population, leaving the employment-to-population ratio 0.7ppts below its recent historical high.

The brief recovery around the start of the year has well and truly faded. Higher inflation and recent interest rate rises will still take time to fully work its way through to the labour market, but for now, it is looking weaker than earlier in the year.

Forward-looking business survey measures point to sluggish employment growth ahead. We have pencilled in a +15k lift in June, and see risks tilted to the downside. See our [full preview](#).

Uptrend in employment growth halted



Source: ABS, Macrobond, Westpac Economics

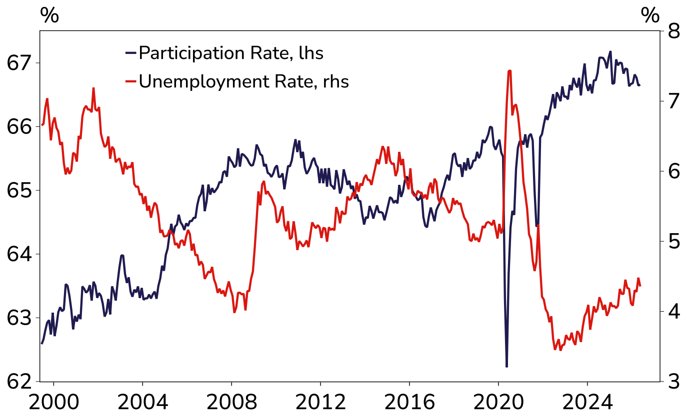
AUS: Jun Labour Force – Unemployment Rate (%)

Jul 23, Last: 4.4, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.5

The unemployment rate also eased as expected, edging down from a cycle high 4.5% to 4.4% in May as various sources of noise faded. Given the participation rate has held up a bit better than employment, the trend for the unemployment rate has been a continued grind higher.

For June, we think both the participation and unemployment rates will hold steady. But as discussed in [our preview](#), re-published official data and new unofficial measures are pointing to a material increase in underemployment in recent months. Both demand-side (weaker employment) and supply-side (cost-of-living pressures) are likely at play, and it may be pointing to higher measured unemployment down the track.

Participation and unemployment rates



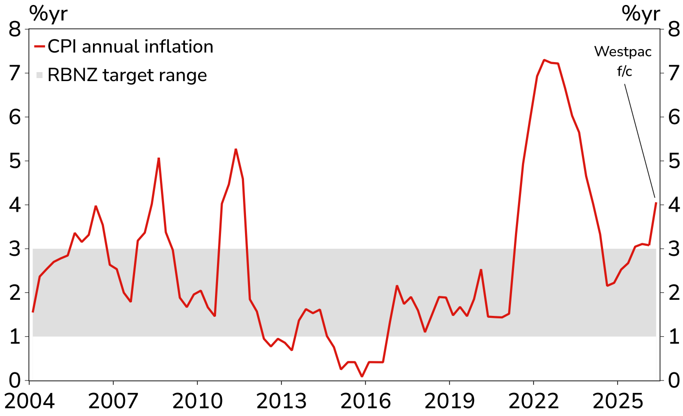
Source: ABS, Macrobond, Westpac Economics

NZ: Q2 Consumer Price Index (%)

Jul 21, Quarterly, Last: 0.9, Westpac f/c: 1.5
Annual, Last: 3.1%, Westpac f/c: 4.1, RBNZ f/c: 3.9

With the war in the Middle East pushing oil prices sharply higher, consumer price inflation is set to rise to a two-year high. We estimate that New Zealand consumer prices rose by 1.5% in the June quarter. The annual inflation rate is expected to rise to 4.1% (up from 3.1% previously). That's slightly higher than the 3.9% the RBNZ assumed in their recent July update, however much of the surprise is likely related to volatile items like holiday accommodation. More importantly, core inflation has been softening but remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.

Inflation to spike on higher fuel prices



Source: Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Jun	Trade Balance	$mn	800	–	–	A seasonal fall in exports & high fuel costs eliminate surplus.
US	Jun	Leading Index	pts	0.1	–0.1	–	Consumer the soft spot for activity gauge.
Tue 21							
NZ	Q2	CPI	%qtr	0.9	1.5	1.5	Boost from fuel and energy prices.
	Q2	CPI	%ann	3.1	4.0	4.1	Headline elevated, core inflation firm despite soft activity.
Eur	Jul	ZEW Survey Of Expectations	index	9.5	–	–	Confidence recovery to be tested by growth concerns.
	Q2	ECB Bank Lending Survey	–	–	–	–	Standards tightening amid lower tolerance for perceived risk.
UK	Jun	Public Sector Borrowing	£bn	23.3	–	–	Fiscal balances remain under scrutiny.
	May	ILO Unemployment Rate	%	4.9	–	–	Labour market tightening looks to have stabilised.
Wed 22							
Aus	Jun	Westpac–MI Leading Index	%ann'd	–0.17	–	–	Consistent with sluggish, below-trend momentum.
UK	Jun	CPI	%ann	2.8	–	–	Domestically-driven inflation pressures appears sticky.
Thu 23							
Aus	Jun	Employment Change	000s	40.3	15	15	Forward-looking indicators point to sluggish employment …
	Jun	Unemployment Rate	%	4.4	4.4	4.4	… rising underemployment suggests slack is emerging.
Kor	Q2	GDP	%qtr	1.8	0.4	–	Growth outlook challenged by external demand risks.
Eur	Jul	ECB Policy Decision (Deposit Rate)	%	2.25	2.25	2.25	Markets focused on guidance beyond this meeting.
	Jul	Consumer Confidence	index	–17.7	–17.4	–	Yet to recover from Middle East driven decline.
US		Initial Jobless Claims	000s	208	214	–	Layoffs remain low.
	Jun	Chicago Fed Activity	index	–0.1	–	–	Broad activity measure may point to softer momentum.
	Jul	Kansas City Fed Manufacturing	index	11	–	–	Activity on uptrend despite persisting price pressures.
Fri 24							
Jpn	Jun	CPI	%ann	1.5	1.7	–	Weak yen a risk for higher import inflation.
	Jul	S&P Global Manufacturing PMI	index	54.8	–	–	New orders has the sharpest rise since January 2022 …
	Jul	S&P Global Services PMI	index	52.2	–	–	… with input cost inflation seeing a marked rise.
Eur	Jul	S&P Global Manufacturing PMI	index	51.4	51.7	–	Manufacturing is losing some of its steam across Europe…
	Jul	S&P Global Services PMI	index	49.4	49.8	–	… but services activity has risen to a three-month high.
UK	Jul	GfK Consumer Sentiment	index	–23	–	–	Confidence recovery remains fragile …
	Jun	Retail Sales	%mth	1.2	–	–	… posing another headwind for household spending.
	Jul	S&P Global Manufacturing PMI	index	52.5	–	–	Strategic stockpiling driving a rise in manufacturing output …
	Jul	S&P Global Services PMI	index	48.8	–	–	… meanwhile services sees sharpest decline in 3.5 years.
US	Jul	S&P Global Manufacturing PMI	index	53.9	54.4	–	Signs of pressures emerging in manufacturing employment …
	Jul	S&P Global Services PMI	index	51.2	–	–	… as services continues a steady recovery.
	Jun	New Home Sales	%mth	–7.3	4.6	–	Higher borrowing costs still weigh on housing.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.48	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.50	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.90	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	36	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.88	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.62	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.66	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	11	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (17 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6979	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5834	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	162.42	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1435	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3457	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7754	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1961	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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AI-carus?

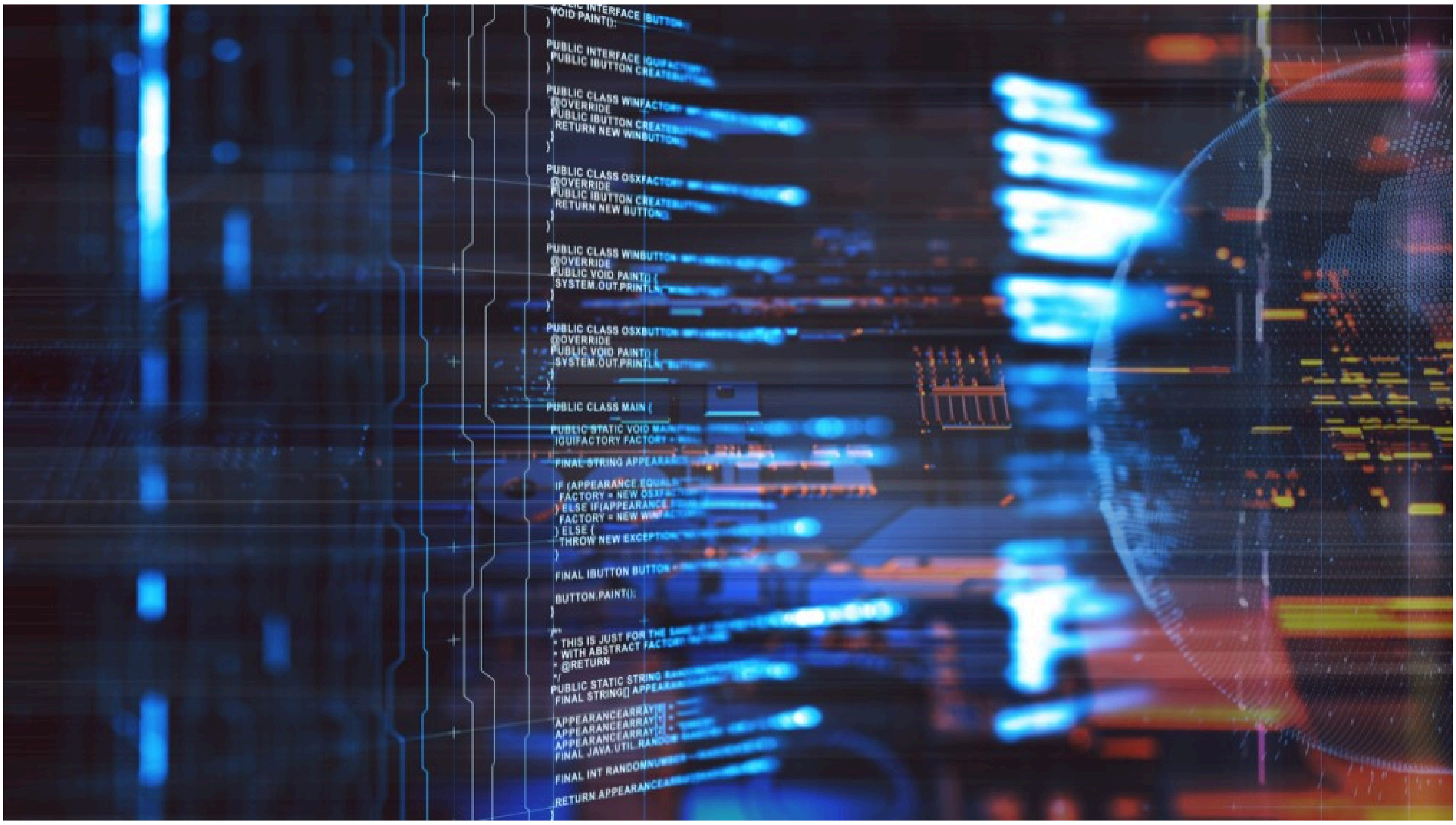
#australia #luciellis #inflation #technology

By Luci Ellis
Chief Economist Westpac Group, Westpac

08:31 July 17 2026

Share

AI is flying high. Will it fly too close to the sun and crash like Icarus in Greek myth? Physical constraints and ROI are the sunrays in this story. The likely downswing in prices and investment could be challenging but need not end in meltdown.



- Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.

- It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s ‘dot com’ nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.
- Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and in Australia. The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a “bubble”. But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from “fundamental” value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in “Greater Fool” territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where “bubbly” boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the “cost of compute” seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the ‘dot com’ boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly. Put more technically, data centres do not have the same network effects or location-based natural monopoly characteristics.

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the Slower Builder who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like shipping costs, which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

What worries me about the current boom is how far financial considerations seem to sit in the background. Capitalism has its drawbacks, but at least raw commercial incentives limit people's appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM's latest announcements. The advice I'd give now is the same as I gave a decade ago, in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don't get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus's story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better that than basing decisions on imagined scenarios that do not survive contact with real-world economics.

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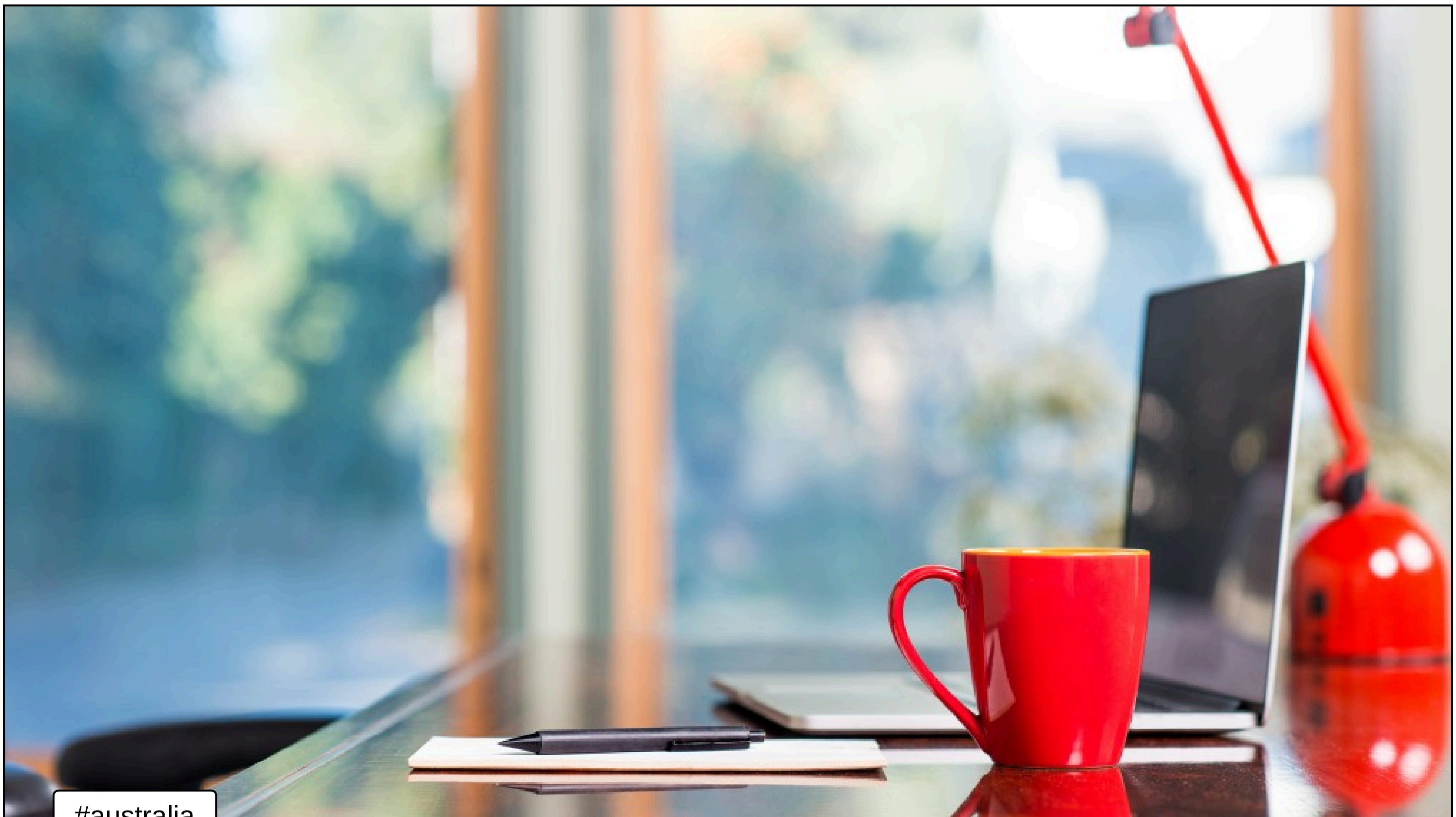

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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Cliff Notes: testing conditions

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

09:51 July 10 2026

Share

Key insights from the week that was.

Amid a sparse local data calendar, a speech from RBA Assistant Governor (Economic) Sarah Hunter was scrutinised but had little market impact. The speech focused on supply-side shocks, such as the Middle East conflict, and the conundrum it presents for dual-mandated central banks like the RBA.

Assistant Governor Hunter reiterated the RBA's perspective that these shocks are harder to 'look through' if economic capacity is already tight when the shock occurs, firms can readily pass through costs and/or inflation expectations de-anchor. While the latter is more of a risk than a reality at present, the RBA's take on recent data suggests concern over capacity and pass-through is warranted, particularly in the construction sector. This is why the Monetary Policy Board telegraphed in its June policy decision that rate hikes remain on the table despite their decision to pause at that meeting following three successive hikes. The future scale and pace of tightening will depend on how the risks around each of these factors evolves in coming months. The upcoming Q2 CPI will prove critical in understanding the best course.

In New Zealand, the RBNZ delivered a 25bp increase at their July meeting, taking the cash rate (OCR) to 2.50%. A key argument for the hike was concern that financial conditions would have eased further if the OCR was left unchanged. The MPC seems to be comfortable with an end-2026 level for the OCR circa 2.75%-3.00% – broadly in line with the May forecasts. Our New Zealand economics team expects follow-up 25bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. That means the peak OCR of 4.00% will now be reached in September 2027 instead of December.

Across in the US, the minutes of the June FOMC meeting showed participants felt a high degree of uncertainty over the outlook and wanted to consider a broad range of incoming information over successive months before determining if policy needs to be adjusted. Remaining on hold and removing previous forward guidance which favoured additional easing from the statement were consensus opinions.

On the balance of risks, the discussion amongst members points to a majority view that price risks had risen and labour market uncertainties receded since April. However, following June's decision, energy prices jolted lower and nonfarm payrolls growth moderated again. The disconnect between payrolls and household survey employment also continues to grow, the latter in outright decline. Growth in consumer demand is also materially below trend and looks set to remain soft, limiting the ability of firms to pass through cost increases.

Still, price risks remain. Midweek, President Trump stated he believed the ceasefire with Iran was "over" but did not stop negotiators from continuing to engage. This followed strikes on around 80 Iranian military targets by the US in response to 3 ships being hit by projectiles in the Strait. Another 90 sites were hit in a second day of strikes, and Iran retaliated against US military assets in the region on both occasions.

President Trump has made clear he intends to order additional strikes in scale every time Iran threatens shipping on the Omani side of the Strait, which Iran has done to force shipping through the lanes it controls. A renewed blockade of Iranian cargo was also threatened by President Trump, with a view to increasing domestic pressure and restricting Iran's ability to sell oil into global markets. However, President Trump also felt this escalation would prove short lived. Brent oil rose close to USD81 initially but has since eased back to around USD76. This compares to a low of USD71 early in the week.

Data received in the US and elsewhere in the northern hemisphere this week was secondary in significance and broadly in line with recent trends. Most notable was the ISM services index which reported a deterioration in new orders but also a pairing of input price pressures and improvement in employment, albeit for the latter only to near the 20-year average after three successive contractionary readings.

China's headline and core inflation rates meanwhile stabilised around 1.0%yr in June as producer price inflation edged up to 4.1%yr. Weak domestic demand continues to limit Chinese firms' ability to pass through higher production costs, which have primarily been driven by energy prices. Excess capacity and cautious consumers are likely to restrict consumer inflation in the absence of targeted (and effective) fiscal support.

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Construction rebalancing keeps the RBA on alert

#australia #construction #gdp

By Pat Bustamante
Senior Economist, Westpac

15:22 July 08 2026

Share

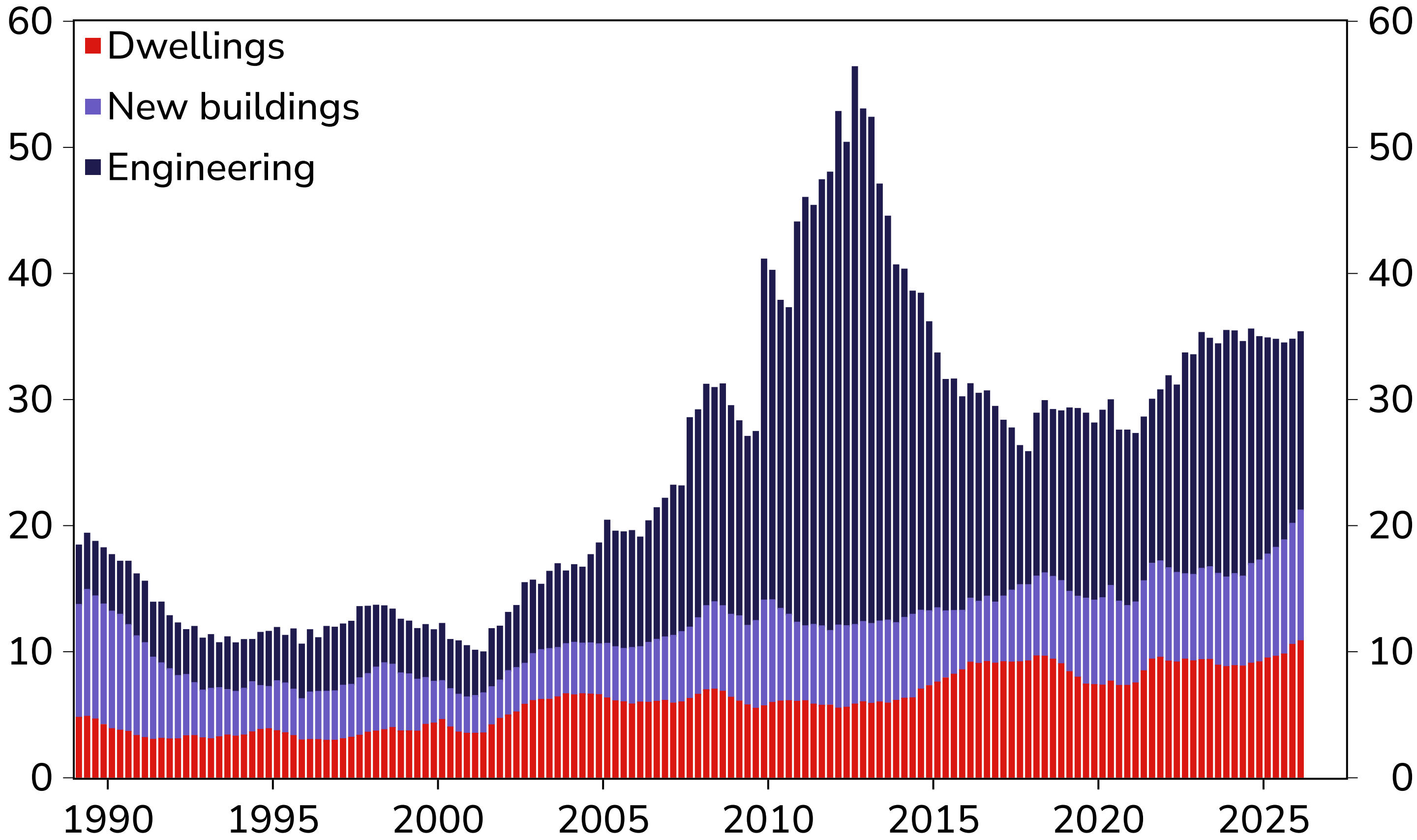
Infrastructure is fading, but housing and data centres are keeping capacity tight and the RBA on alert.

- Construction activity is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

- The **public infrastructure pipeline** is shrinking rapidly, especially in NSW and Victoria. Private engineering work has been more resilient but is starting to soften as well. Electricity-related projects across both the public and private sectors have declined in recent quarters, likely reflecting grid capacity constraints and delays affecting several large-scale renewable energy developments in NSW.
- **Residential building** remains an important source of support. The dwelling pipeline is still elevated, despite a fall in private commencements in Q1. This should sustain activity in the near term. However, risks remain with interest rate rises and established markets moving into a downturn. Higher fuel and related costs are also likely to squeeze builders' margins and thus activity, though not as much as in the post-COVID period, when fixed-price contracts were more common. Against this, there have been a range of state and Federal government measures aimed at boosting new building in recent years.
- The standout positive story is **non-residential building**. The work yet to be done pipeline has reached a record high, driven by an unprecedented wave of data centre investment concentrated in NSW and Victoria. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP – and we know there is further upside due to a big spike in data centre approvals in April and May (see here) and the record level of investment we expect over coming years (see here). Major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity, with recent state budgets, particularly in NSW pointing to further strength in the year ahead
- **The bottom line:** as infrastructure work fades, building construction is stepping up led by non-residential activity. This shift should keep the construction sector operating at high utilisation rates. If growth in building activity outpaces the decline in infrastructure, capacity pressures could even intensify, placing renewed upward pressure on construction costs and prices. This rebalancing reinforces our view that domestic inflation pressures will linger for a while yet, and the RBA may not be finished with its tightening cycle.

Construction pipeline

% share of the economy, work yet to be done



Source: ABS, Macrobond, Westpac Economics

The ABS's Engineering Construction (released last week) and Building Activity (released today) publications provide estimates of the construction pipeline and the value of work yet to be done on projects that have already commenced. As such, they offer an important leading indicator of near-term construction activity. The data complements, and ultimately feeds into, the National Accounts estimates of engineering construction, dwelling investment, non-dwelling construction and public infrastructure spending.

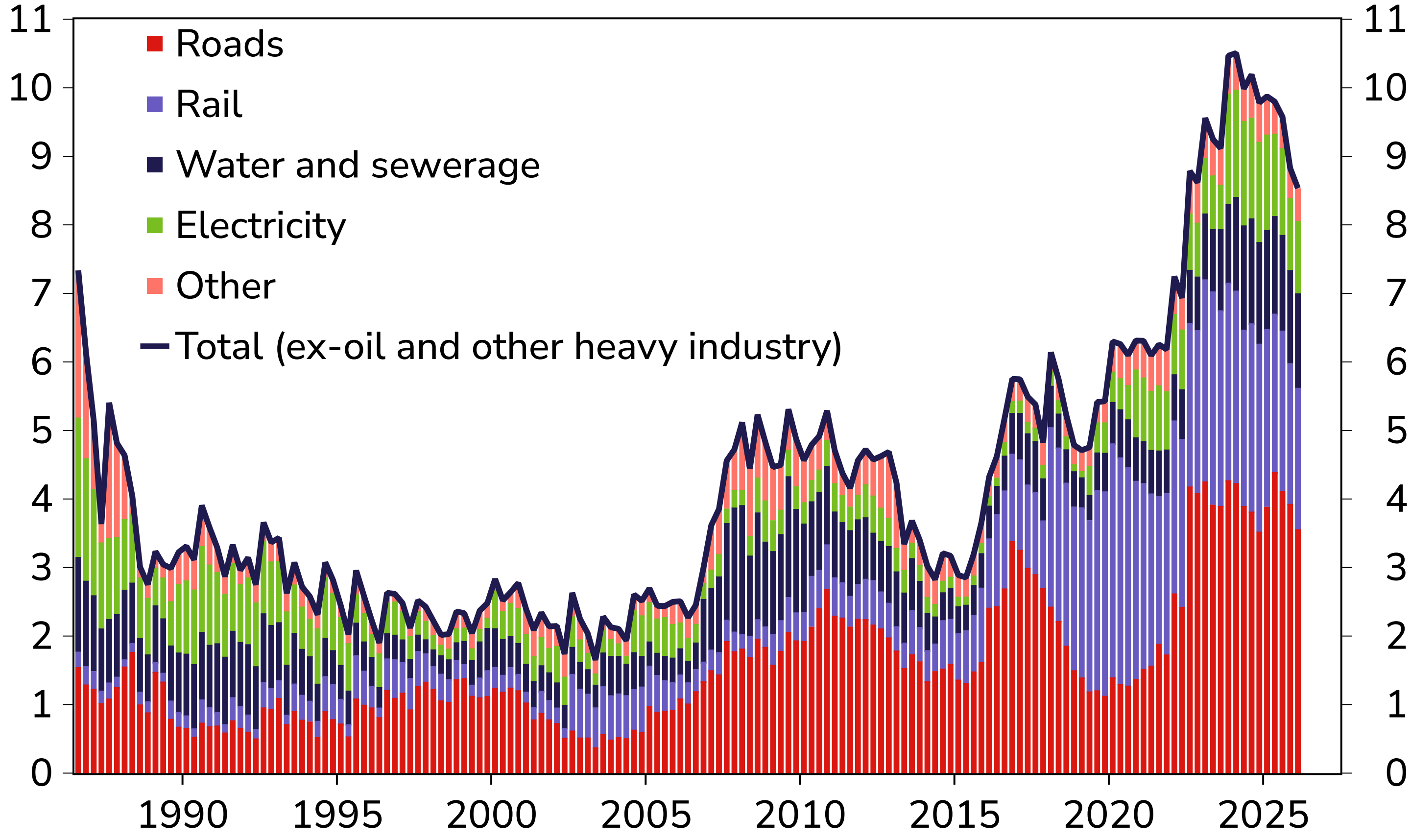
The ABS will release its preliminary estimates of construction work done in Q2 2026 on 26 August 2026, providing a timely read on how activity is tracking ahead of the Q2 National Accounts due on 2 September.

Overall, the pipeline is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

The public infrastructure pipeline has fallen sharply, particularly in NSW and Victoria. In NSW alone, the value of work yet to be done has almost halved over the past year, falling from around $35 billion to $17 billion. Part of the decline reflects the wind-down of major road and highway projects, alongside the completion of several large metro projects in Sydney and Melbourne.

Public infrastructure pipeline

% share of the economy, work yet to be done

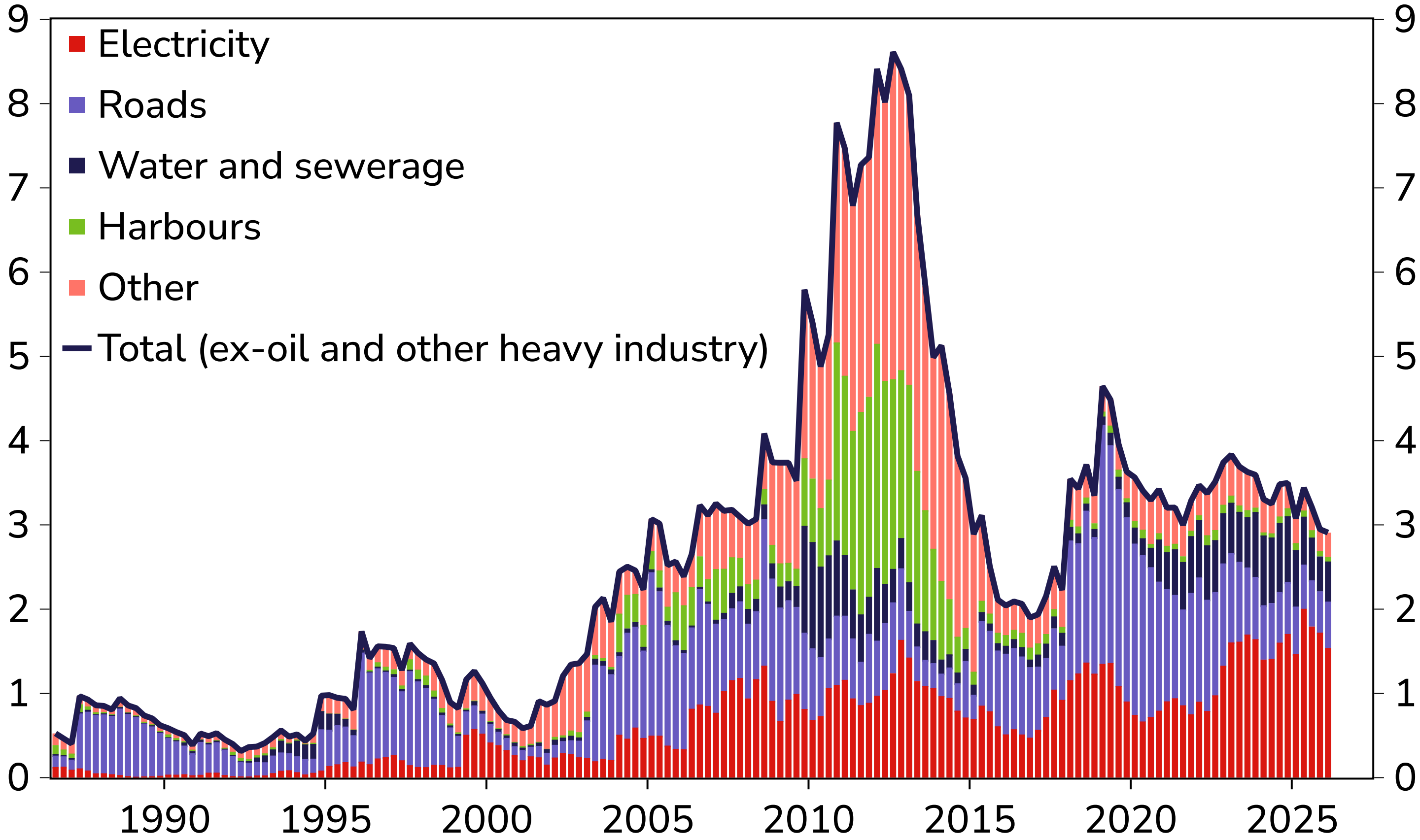


Source: ABS, Macrobond, Westpac Economics

The private engineering pipeline has been more resilient, although it too is starting to soften, with the softness driven by the wind-down of road and transport projects, as well as a decline in electricity generation and distribution projects.

Private infrastructure pipeline

% share of the economy, work yet to be done

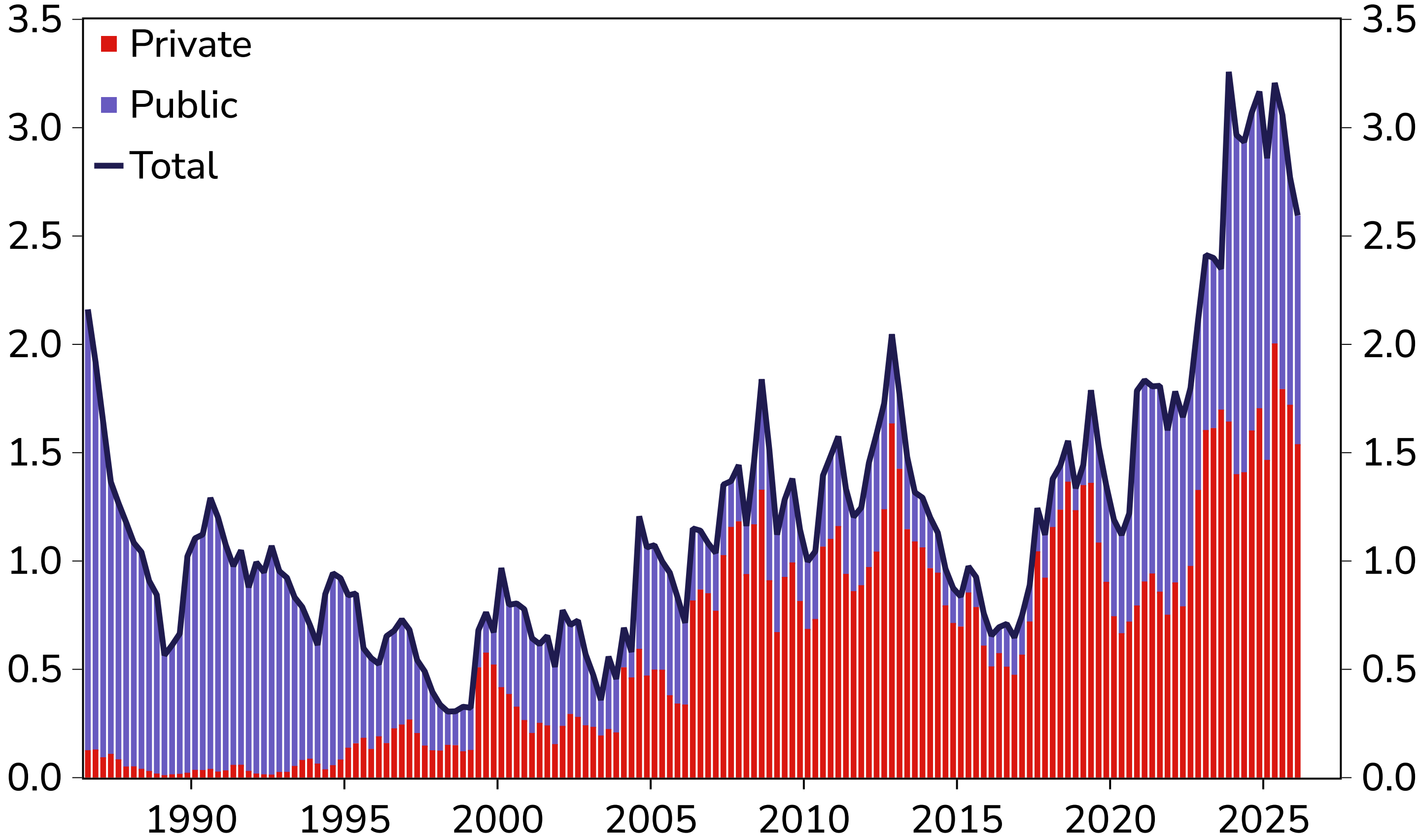


Source: ABS, Macrobond, Westpac Economics

Electricity-related projects across both the public and private sectors have declined in recent quarters and that continued over Q1, particularly in the private sector.

Electricity infrastructure pipeline

% share of the economy, work yet to be done



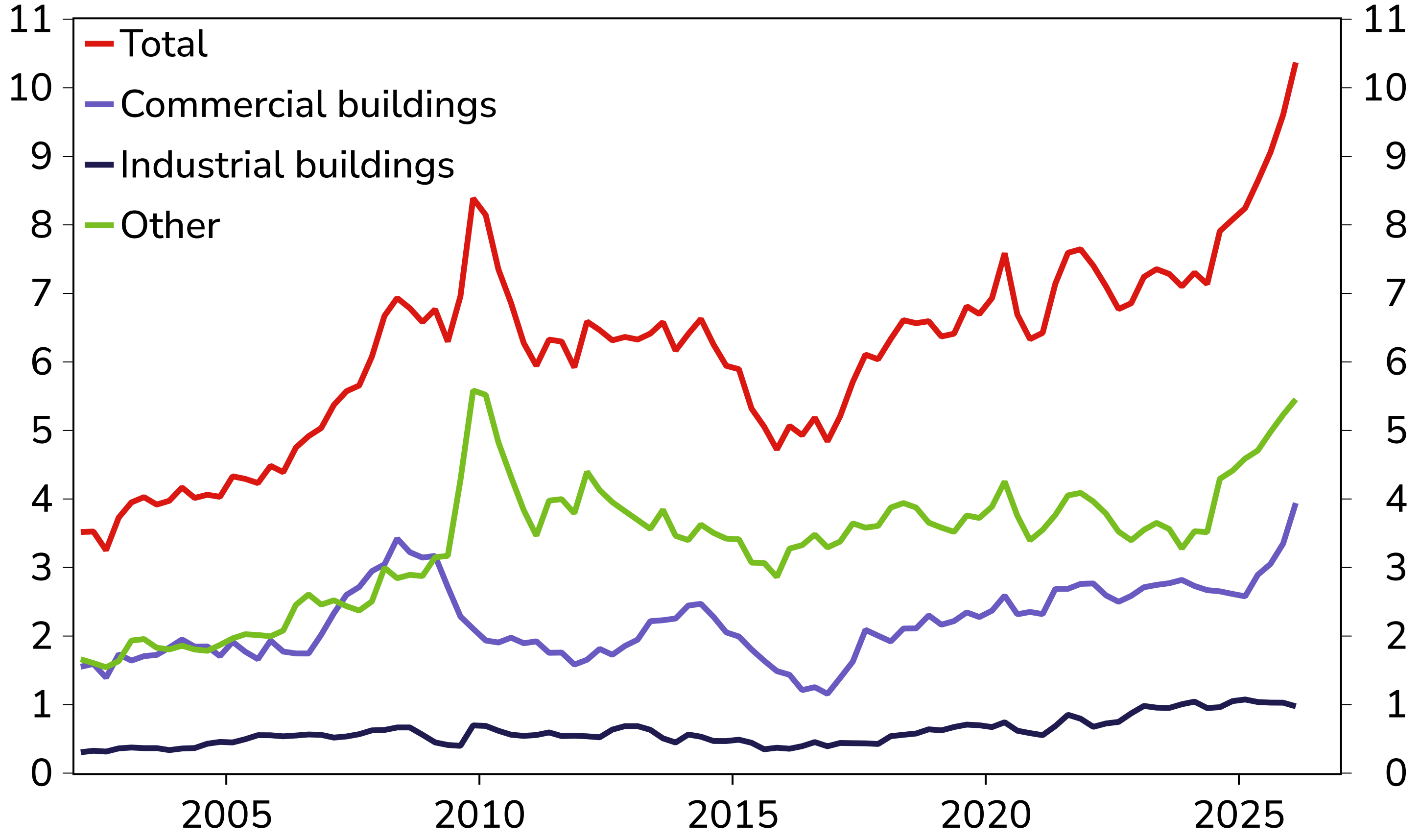
Source: ABS, Macrobond, Westpac Economics

The standout positive story is **non-residential building**. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP. Today's data shows continued strength with commencements increasing sharply and we know there are further upside given strong April and May approval data.

That saw the value of other commercial buildings in the pipeline reach a record share of the economy.

Non-residential building pipeline

% share of the economy, work yet to be done

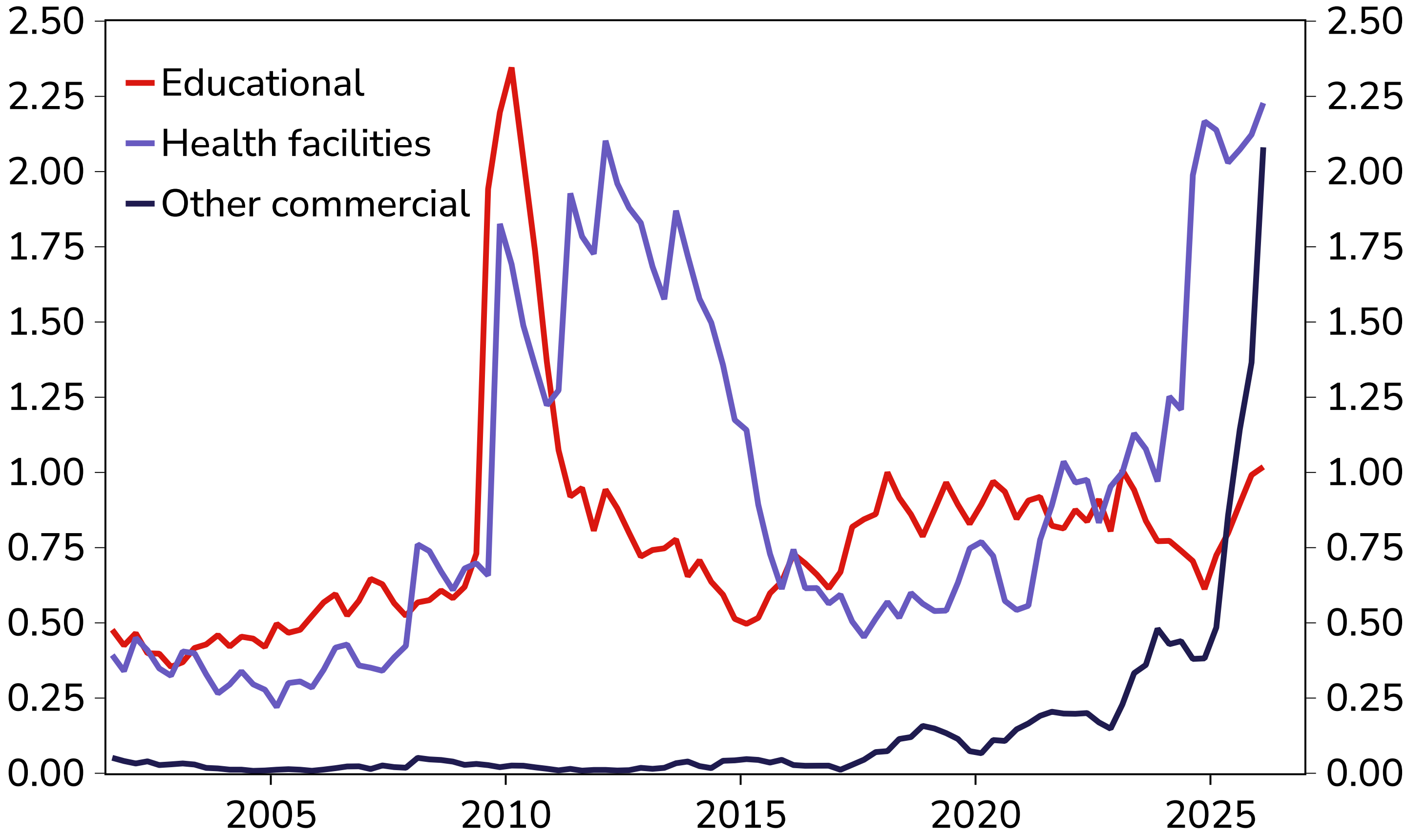


Source: ABS, Macrobond, Westpac Economics

While data centres stole the show, major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity.

Non-residential building pipeline

% share of the economy, work to be done



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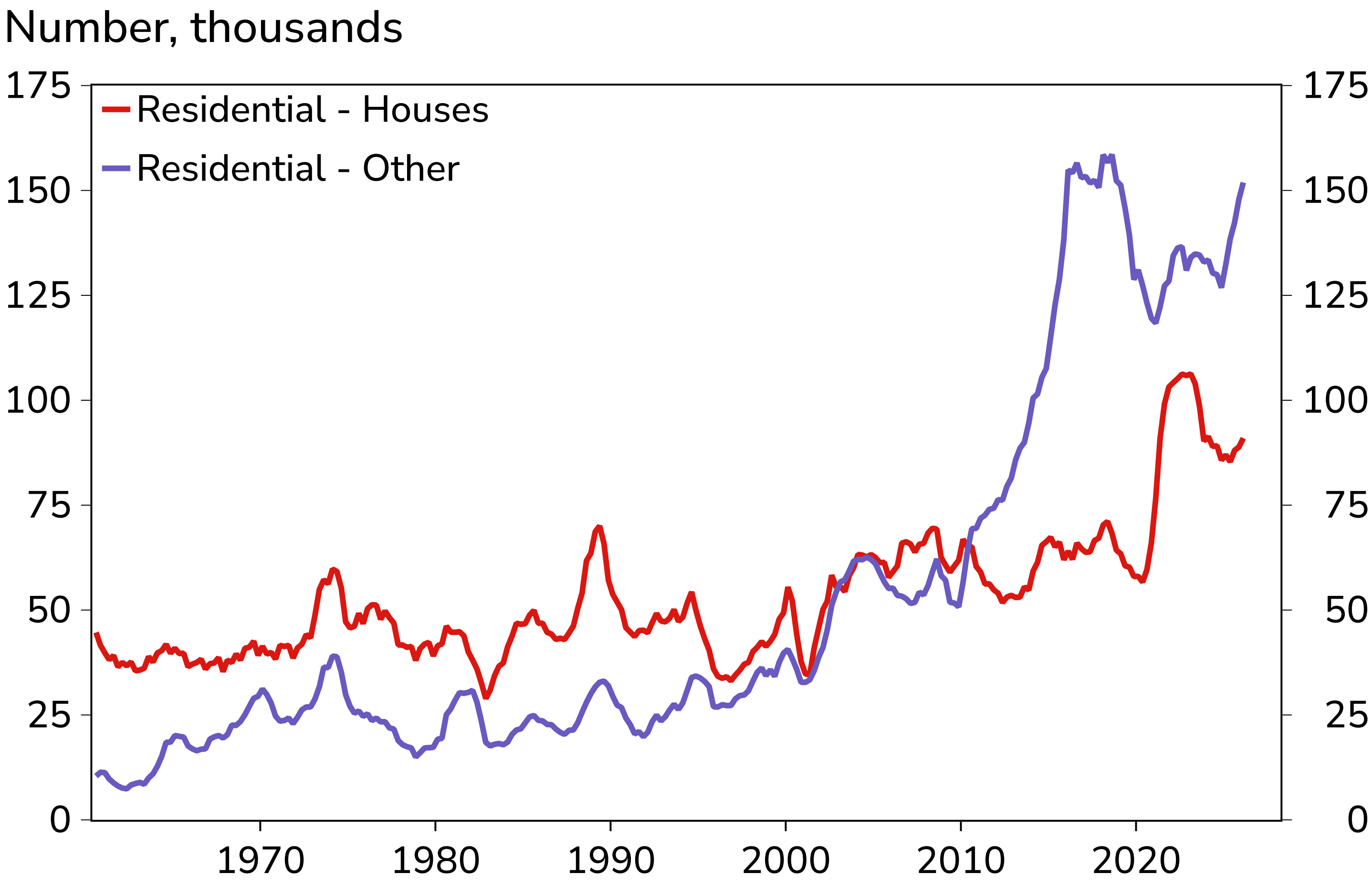
The number of dwellings under construction also increased in the quarter, supporting near term activity, consistent with our forecasts for dwelling investment.

Dwellings under construction



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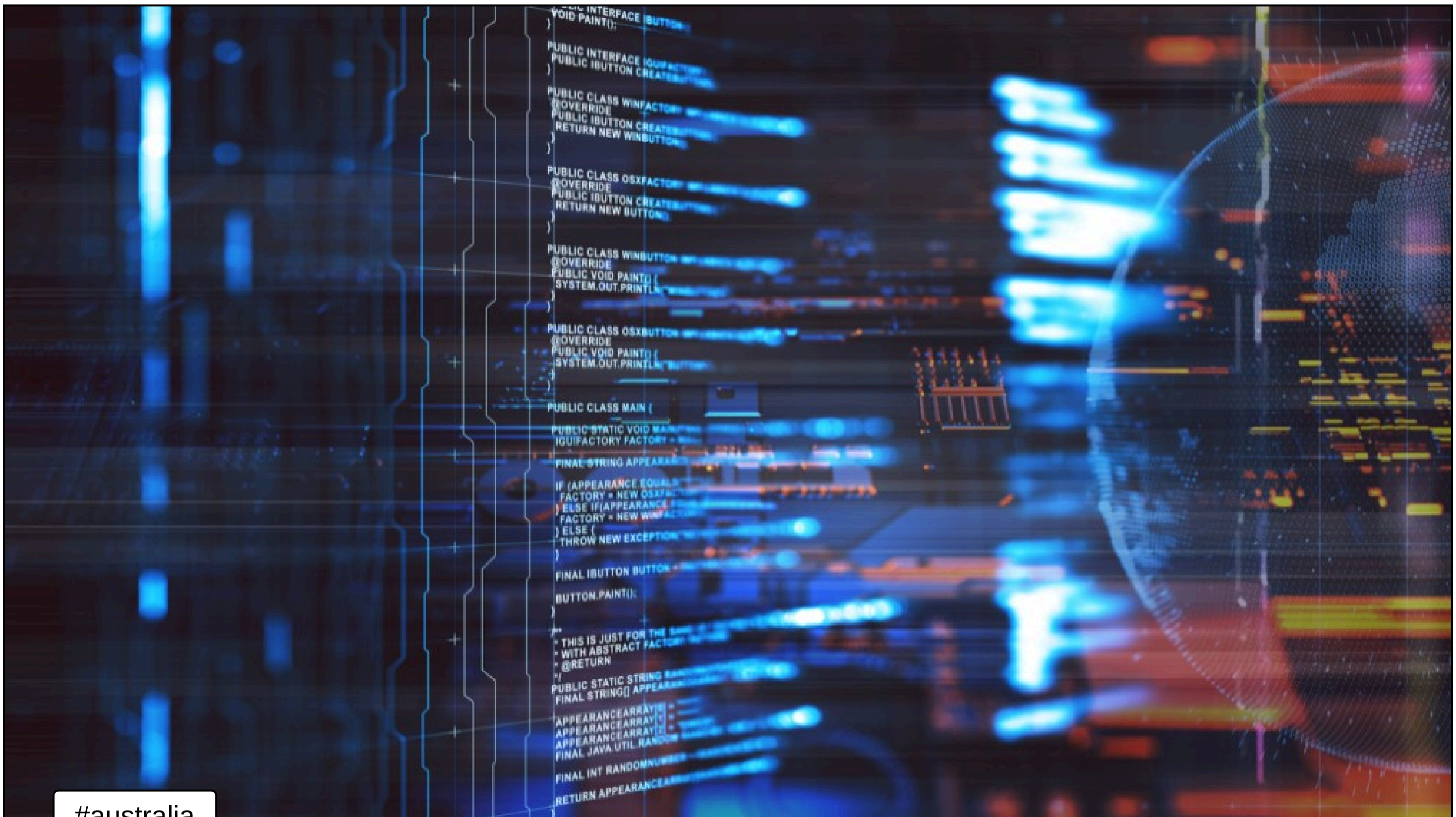

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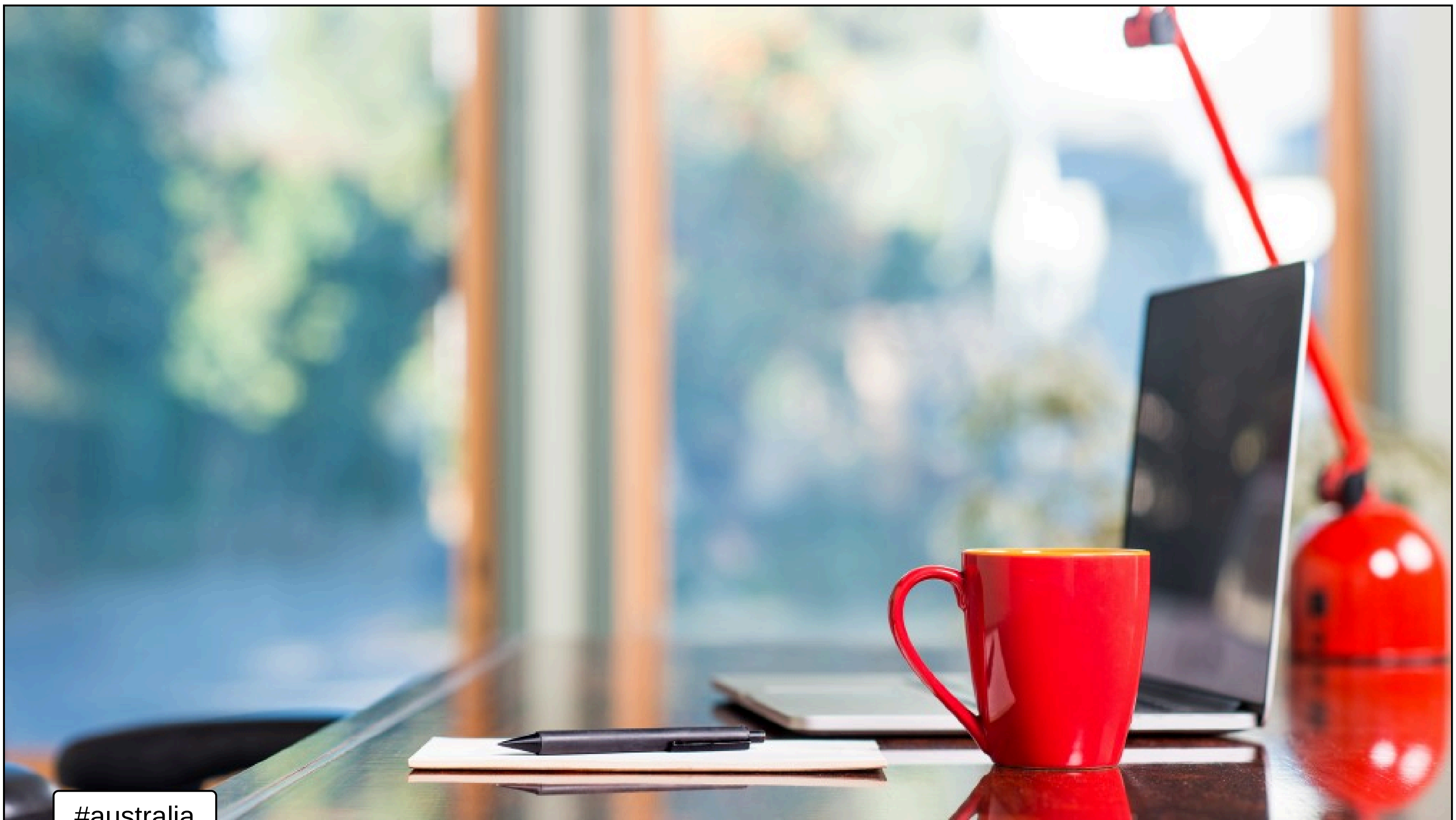

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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China’s greatest opportunity and biggest threat

#australia #rba #inflation #labour #technology


By Elliot Clarke
Head of International Economics, Westpac

08:05 July 03 2026

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To achieve its development ambitions, China’s industrial might must pay off for households.

The first half of 2026 has highlighted China’s industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities’ strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China’s greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline. With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

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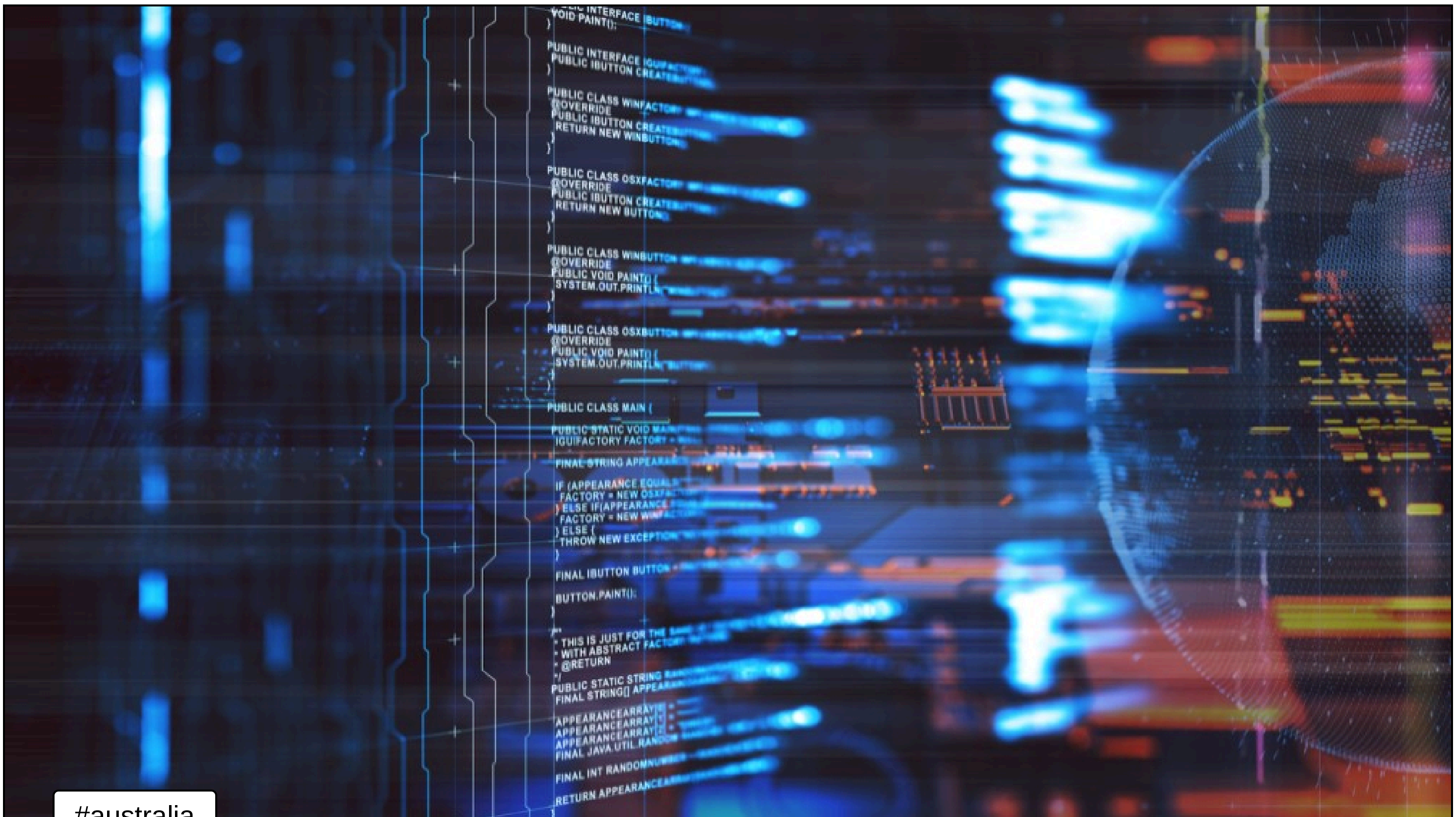

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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Cliff Notes: frayed nerves

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

10:44 July 17 2026

Share

Key insights from the week that was.

The Westpac–MI Consumer Sentiment Index rose 4.1% in July; but at 83.9, the index is still in the bottom decile of historical outcomes, pointing to deep pessimism. Lower fuel prices have provided some breathing room, contributing to a less-negative assessment of ‘family finances vs a year ago’ (+5.6%) and ‘family finances next 12mths’ (+13.4%). Consumers remain sensitive to developments in the Middle East, however, last week’s re-escalation of the conflict resulting in a progressive deterioration in daily responses while the survey was in the field.

Views on the economic outlook are weak and little changed, the one- and five-years ahead sub-indexes lifting just 0.6% and 0.7% in the month; more encouragingly, concerns over the jobs outlook have eased. Most consumers still expect mortgage rates to rise over the next year, though the share has declined from 66% to 60%, with a rising proportion reporting uncertainty about where rates are headed. Ultimately, the survey reported a reprieve from worst-case fears but is also evidence of the scale of challenges ahead.

The latest NAB business survey echoed similar themes. Business confidence continued to retrace the sharp falls seen at the onset of the Middle East conflict, rising +9pts to a less-pessimistic reading of –5. Lower fuel prices contributed to slower growth in purchase costs and final prices, but the cumulative impact of these pressures have weighted on capital expenditure plans and labour demand. Business conditions remain subdued, holding at +3 for a third consecutive month having weakened earlier in 2026. This is consistent with sluggish activity growth as households and businesses approach the outlook with caution.

Offshore, US inflation data was supportive of interest rates remaining on hold in coming months. Headline prices fell 0.4% in June as energy prices responded to the Middle East ceasefire agreed mid-month, pulling annual inflation down from 4.2%yr to 3.5%yr. Of greater significance for monetary policy, however, was the flat monthly read for core inflation, 2.6%yr.

Members of the FOMC want to see further evidence of disinflation towards the 2.0%yr target. In our view, the multi-month trends are consistent with such an out-turn, with core goods prices broadly unchanged year-to-date and core services inflation averaging just below 0.3% per month. The June PPI report corroborates this view, headline producer prices falling 0.3%, while May was revised down sharply from 1.1% to 0.6%. Ex food and energy, prices rose a modest 0.2%mth, and the prior month's gain was revised lower from 0.4% to 0.1%. The latest readings on consumer demand are also consistent with inflation returning to target, nominal control group retail sales up a modest 0.5% in June after a 0.8% gain in May, and the latest Beige Book also pointing to consumer demand being constrained by cost-of-living pressures. The duration and severity of the renewed conflict in the Middle East will be critical to the US growth outlook given University of Michigan consumer sentiment remains stuck near multi-decade lows.

Over in Asia, China's Q2 GDP and June activity data provided a mixed read on their economy. Q2 GDP met expectations at 0.9%qtr, although the annual rate disappointed at 4.3%yr. Year-to-date, growth remains broadly consistent with our expectation of 4.7%, but such an outcome would be at the lower end of authorities' 4.5–5.0% full-year target. The industrial sector continues to drive aggregate momentum, production growth rebounding to 5.3%yr in June from around 4.0%yr through April and May. But the domestic growth story remains fragile, primarily owing to declining investment, -5.7%ytd in June. Retail sales growth recovered from -0.6%yr in May to 1.0%yr in June, though that still leaves it at the lower end of the historical rage. Together, the state of domestic investment and household consumption call for urgent pro-active stimulus to support cyclical momentum as well as structural change to help the gains of trade flow to the wider economy.

The Bank of Korea raised rates by 25bp this week and signalled further tightening is likely. Inflation remains elevated, due to a combination of higher energy, exchange rate and food costs alongside resilient domestic demand. But the BoK's greater challenge is managing an increasingly two-speed economy, with tech-related sectors benefiting directly from the AI and data centre investment boom while others wait for those gains to spill over. For now, policymakers appear comfortable leaning against inflation and expecting the benefits of AI production and investment to broaden; although, in the interim, this leaves Korea exposed should enthusiasm around AI turn. Investment and the implications for growth and policy is a focus of this month's edition of The Wrap on Asia; and, with a particular focus on AI investment, Chief Economist Luci Ellis' weekly essay.

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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Australian Business Conditions and Confidence, June

#businessconditions #confidence #aud #australia

By Luka Belobrajdic
Economist, Westpac

14:10 July 14 2026

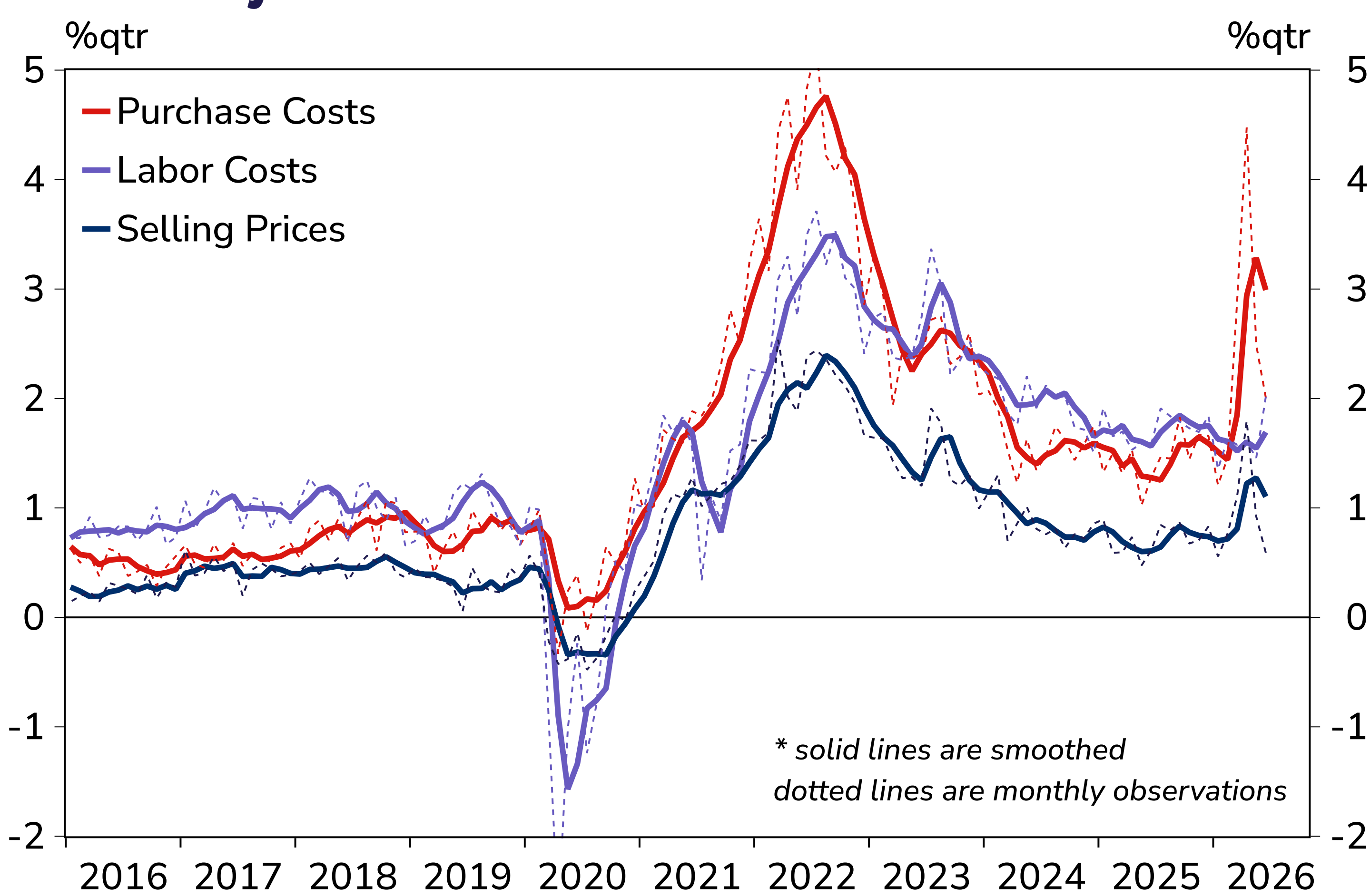
Share

An easing in global commodity prices sees business confidence recover further in June, while conditions hold steady. Confidence +9pts to –5 / Conditions unchanged at +3.

The June NAB Business Survey was in the field from 23 June to 1 July, capturing businesses' reaction to the signing of the US-Iran Memorandum of Understanding and the subsequent pull-back in global commodity prices. Business confidence continued to recover from the sharp decline recorded in March following the initial outbreak of the conflict between the US and Iran, rising 9pts to –5 in June. Despite the improvement, confidence remains 10pts below its long-run average, among the bottom 10% of outcomes recorded since 1997, highlighting ongoing caution around the outlook. Consumers appear to share a similar view, with concerns around a worst-case scenario for fuel prices and further rate rises easing, while sentiment remains subdued overall.

Part of the improvement in business confidence reflects a further moderation in cost pressures in June. Purchase cost growth declined by 0.5ppt to 2.0%qtr, aided by easing fuel prices after a downwardly revised 2.0ppt fall in May. While well below the 4.5%qtr peak recorded in April, purchase cost growth remains 0.8ppt above its long-run average. However, the recent flare-up between the US and Iran and subsequent rise in oil prices over the past week demonstrates that upside risks around input cost pressures remain at play. Final product price growth also moderated, falling 0.3ppt to 0.6%qtr, matching its long-run average. In contrast, labour cost growth rose by 0.5ppt, the largest increase since July 2023, to 2.0%qtr. Given the survey was in the field to 1 July, the result captures at least some of the 4.75% increase in award wages.

NAB Survey: Costs and Prices

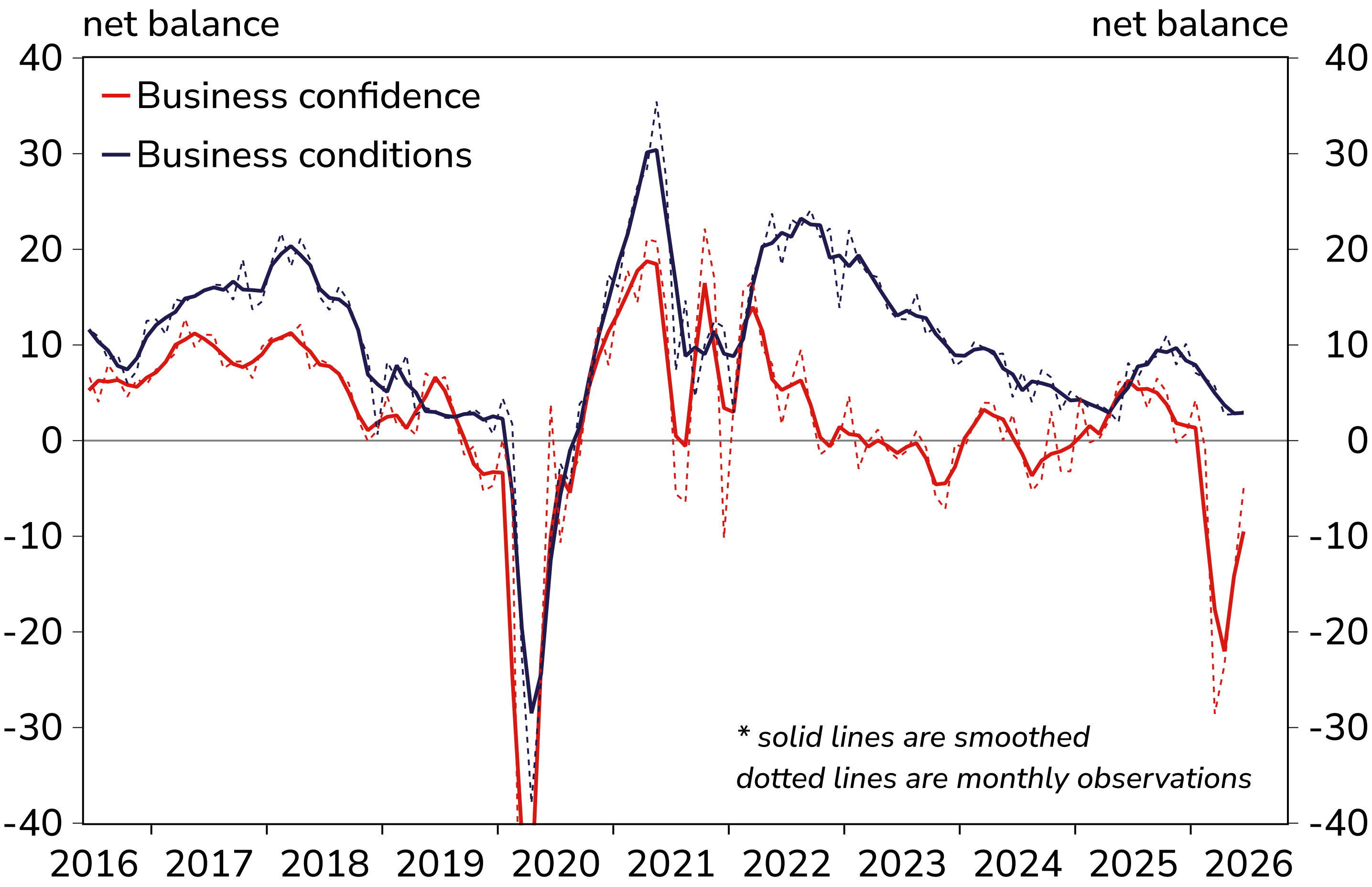


Source: NAB, ABS, Macrobond, Westpac Economics

The headline business conditions index held steady at 3pts in June, marking a third consecutive month at that level. Conditions remain 4pts below their long-run average and well below the peak of 11pts recorded in October last year. On a three-month average basis, conditions continue to trend lower through 2026, reinforcing the view that underlying momentum has been easing.

Across the major sub-components, profitability improved modestly, rising 2pts (rounded) to 0. While this leaves the sub-index 5pts below its long-run average, it suggests the balance of firms reporting a squeeze on profit margins has eased. Trading conditions were broadly unchanged at 7pts, remaining 4pts below their long-run average. Meanwhile, the employment sub-index fell 1pt to 1, leaving it 2pts below its long-run average. The result is the weakest since June 2024 and, on a three-month average basis, points to a material slowing in labour demand, reinforcing our view that genuine weakness is emerging in the labour market.

Business conditions and confidence

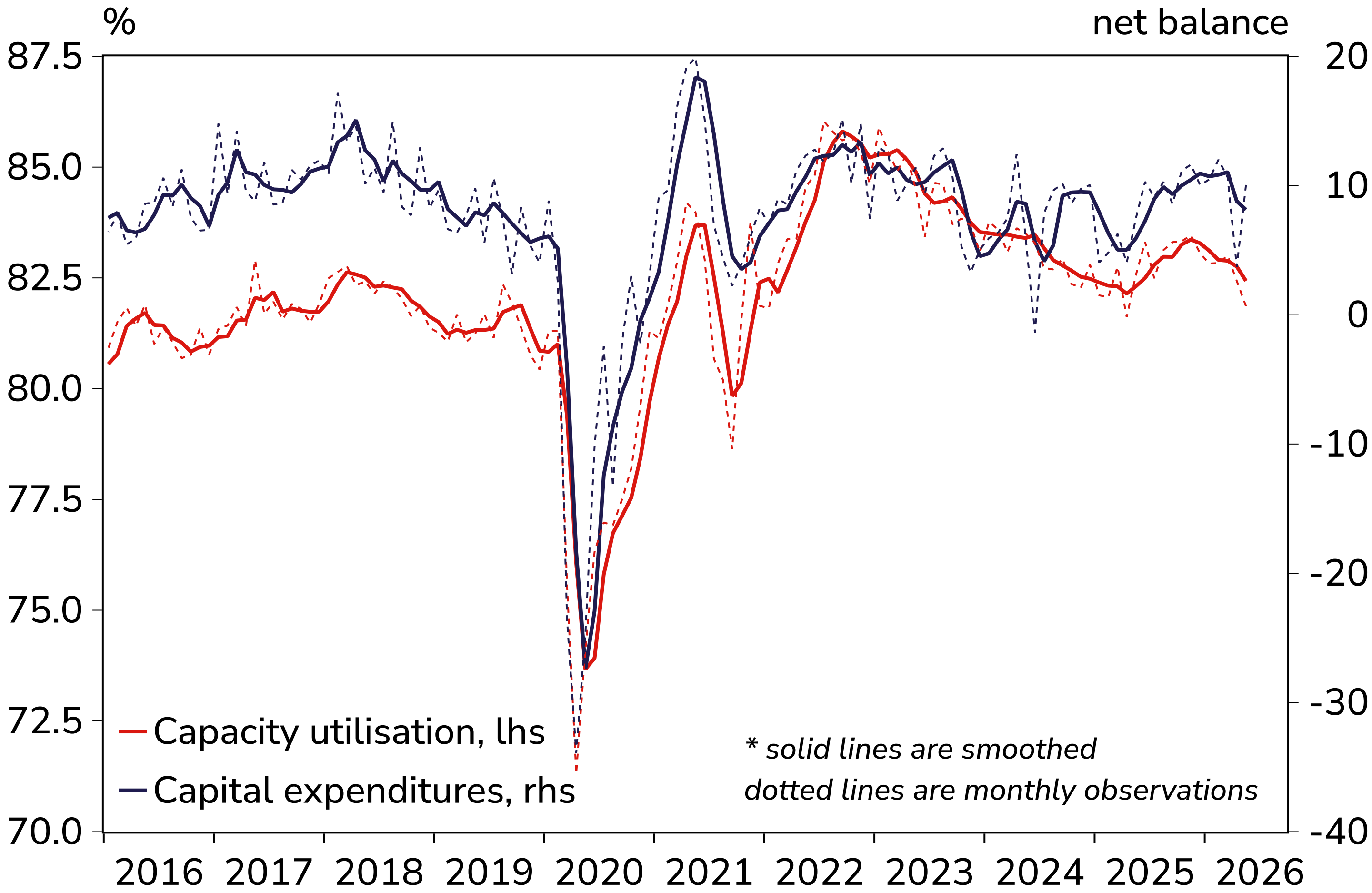


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation rose marginally to 82.0% in June. While 0.6ppt above its long-run average, the broader trend continues to point to an easing in capacity pressures since late last year. By contrast, capital expenditure fell sharply, declining 8pts to 1 – the largest monthly fall since August 2020 during the height of the COVID-19 pandemic. Looking through the recent volatility, the three-month average continues to point to a moderation in planned capital expenditure.

Among other indicators, forward orders rose 1pt to 0, continuing to recover from the weakness seen following the outbreak of the Middle East conflict. Inventories increased by 1pt to 4, likely reflecting broadly stable trading conditions.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics

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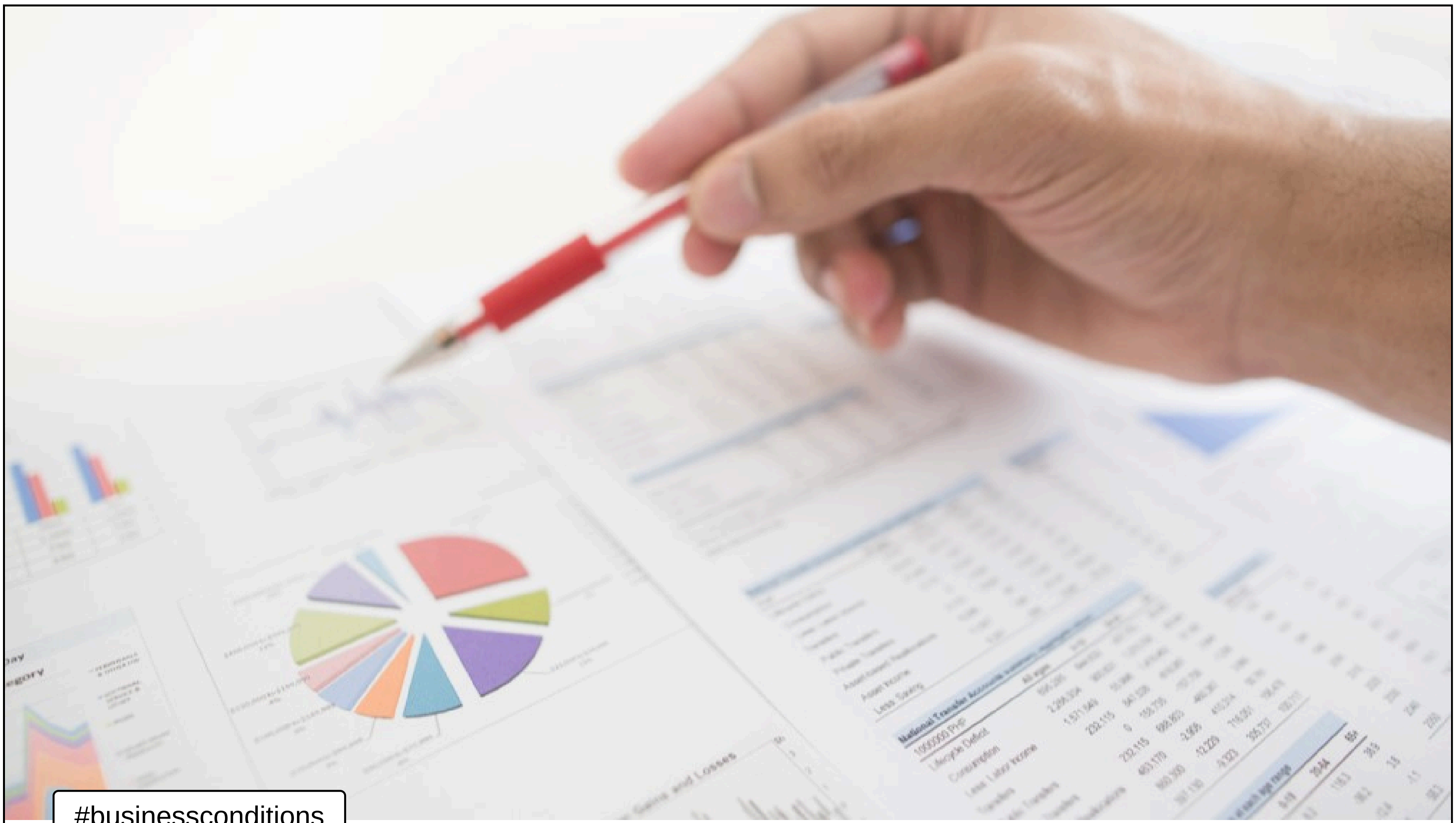

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Australian Business Conditions and Confidence, May

June 09 2026 • 5 mins

By Luka Belobrajdic

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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Cliff Notes: on the minds of policy makers

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

11:28 July 03 2026

Share

Key insights from the week that was.

This week's RBA minutes provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the

MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, “increasing the cash rate target” will be considered if required.

Last week’s speech from Deputy Governor Hauser shed more light on the RBA’s thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA’s successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. Cotality’s latest home value index fell 0.4% in June, Sydney and Melbourne’s correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing credit growth, evidence that the RBA’s rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and tight supply will limit their scale.

Before moving offshore, a final note on trade. The goods trade balance surprised materially to the downside in May, flipping from a surplus of $1.4bn to a deficit of $3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June’s result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from

2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the ECB's Sintra Forum on Central Banking, highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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RBA Minutes and other commentary: still on edge about inflation

#australia #luciellis #fx #interestrates #rba

By Matthew Hassan
Head of Australian Macro-Forecasting, Westpac

17:56 June 30 2026

Share

RBA Minutes released today and other commentary over the last week suggest the Monetary Policy Board is still on edge about inflation risks in Australia.

- RBA Minutes reprise the ‘hawkish hold’ message from June’s decision statement.
- Some notable observations on housing and data centre build but central narrative unchanged.

- Deputy Governor Hauser’s recent speech and accompanying RBA research underscore risks around tight capacity and possible shift in price-setting behaviour.
- Q2 CPI remains critical, with a lot riding on how this and the balance of risks to the outlook are judged..

The advent of post-meeting media conferences means the minutes to RBA meetings are of less importance than they once were. However, they still serve to remind us of the key considerations for policy. Read alongside last week’s speech by the Deputy Governor and a series of RBA insight notes, the latest Minutes suggest the Bank is still on heightened inflation alert.

The central narrative through the meeting Minutes is, unsurprisingly, the same as that set out in the decision statement and in the Governor’s post-meeting press conference. The economy is still seen as tight, i.e. “operating with excess demand and widespread inflationary pressures”. However, the Board opted to use the ‘space’ provided by previous rate rises, pausing in June to get a better sense of how the situation was unfolding in the Middle East and how previous rate rises were impacting locally.

There were some interesting titbits in the detail though, including:

- Financial conditions are now seen as restrictive. While the conviction here is not high (“probably somewhat restrictive”; “remained uncertain”) it is a little more forthright than the decision statement which simply stated that conditions were now tighter. That uncertainty may also be partly due to staff updates on the RBA’s modelled estimates which pointed to a slightly higher real neutral rate compared to when the cash rate was last at 4.35% (at the start of last year).
- Housing market developments were largely absent in the decision statement but featured a few times in the Minutes, including in the ‘Considerations for Monetary Policy section’ (“Housing demand had eased, which also reflected the broader economic environment and recently proposed tax changes”; and “Members also noted the risks associated with a potentially material weakening in housing markets, including if this were to inhibit growth in consumption”). Likewise, the data centre investment surge rated a mention in the main assessment section as well (“[Members] discussed the potential for continued strength in such activity to exacerbate capacity pressures and skills shortages in other parts of the economy”).

While neither topic is a central concern for the Board right now, they are on the radar.

Also of some note were the areas where views within the Board differed. In particular, there were “somewhat differing views about the extent of current capacity pressures”. As we have discussed in the past, this likely centres on assessments of slack in the labour market. That would seem to be the case given that members still assessed that persistently weaker-than-expected productivity growth was a problem for bringing inflation back to target.

The other notable point of difference was on the extent to which the Fair Work Commission’s moderately higher than expected 4.75% increase in all modern award wages might indirectly influence other wage negotiations. Again, views on the impact differed but Members agreed that it would “depend in part on the tightness of the labour market and expectations for inflation”.

Coming back to the central narrative of tight capacity and persistent inflation, the RBA deliberations here have been given some additional framing by the Deputy Governor and a series of RBA ‘insight’ notes. Titled “The Straight Line Belongs to Man, the Curved Line Belongs to God”, Deputy Governor Hauser’s Sir Douglas Copland Memorial Lecture, delivered to the Economic Society of Australia last week, was a little more technical than the 'fireside chats' and speeches that have been used to shape mainstream and financial market expectations. However, it focussed on two areas that are extremely pertinent to the Board's current deliberations, namely: 1) the sensitivity of inflation to shocks when capacity is tight; and 2) potential changes in price-setting behaviour. The 'straight lines' and 'curves' being discussed were those showing the relationship between unemployment and wage growth or price inflation, and between cost and price changes. And the question is to what degree do these relationships become 'curvier' as unemployment falls/capacity tightens.

The Deputy Governor spelled out the clear takeaway for monetary policy: that inflationary pressures are likely to be higher for a given change in activity if; 1) domestic capacity pressures and inflation are already elevated; and/or 2) cost shocks are large or persistent; and/or 3) inflation expectations are elevated. From here the Deputy Governor concluded that "non-linearities in the Phillips curve suggest that policy should respond proactively to an inflationary shock when we are already on the steep part of the curve – and that is what the Monetary Policy Board has done in recent months."

The insights notes expand on this a little, in an even more technical manner. Some notable points are that:

- the RBA's models currently incorporate some non-linearity (i.e. curviness) in the relationship between unemployment and wage costs/inflation but not in price-setting behaviour which means the latter will be a key area of judgement for policy making (informed by liaison);
- there is clear evidence that price-setting behaviour did change during and after the pandemic, adjusting more frequently from 2022;
- this increased price flexibility is estimated to account for 0.4-1.3ppts of the gap between modelled estimates and the actual peak in inflation 2022-23; and
- that the way the policy trade-off between inflation and unemployment shifts when prices are more flexible means policy can focus more closely on the inflation part of the mandate (the idea here being that inflation declines will also be associated with more muted rises in unemployment).

All up, the RBA minutes and other communications again point to heightened concerns about persistently above-target inflation. We already knew the June quarter CPI release on July 29 would be the critical piece of domestic information heading into the RBA Monetary Policy Board's August 10-11 meeting. However, the latest RBA communications make it clear that aside from this, the key judgements will be around the scale and persistence of shocks emanating from the Middle East, and whether price setting behaviour has shifted,

On balance, we continue to see high inflation and an unacceptably slow return to target as drawing additional interest rate rises from the RBA – but depending on how the inflation data, geopolitics and key judgements land, that balance could be a close-run thing.

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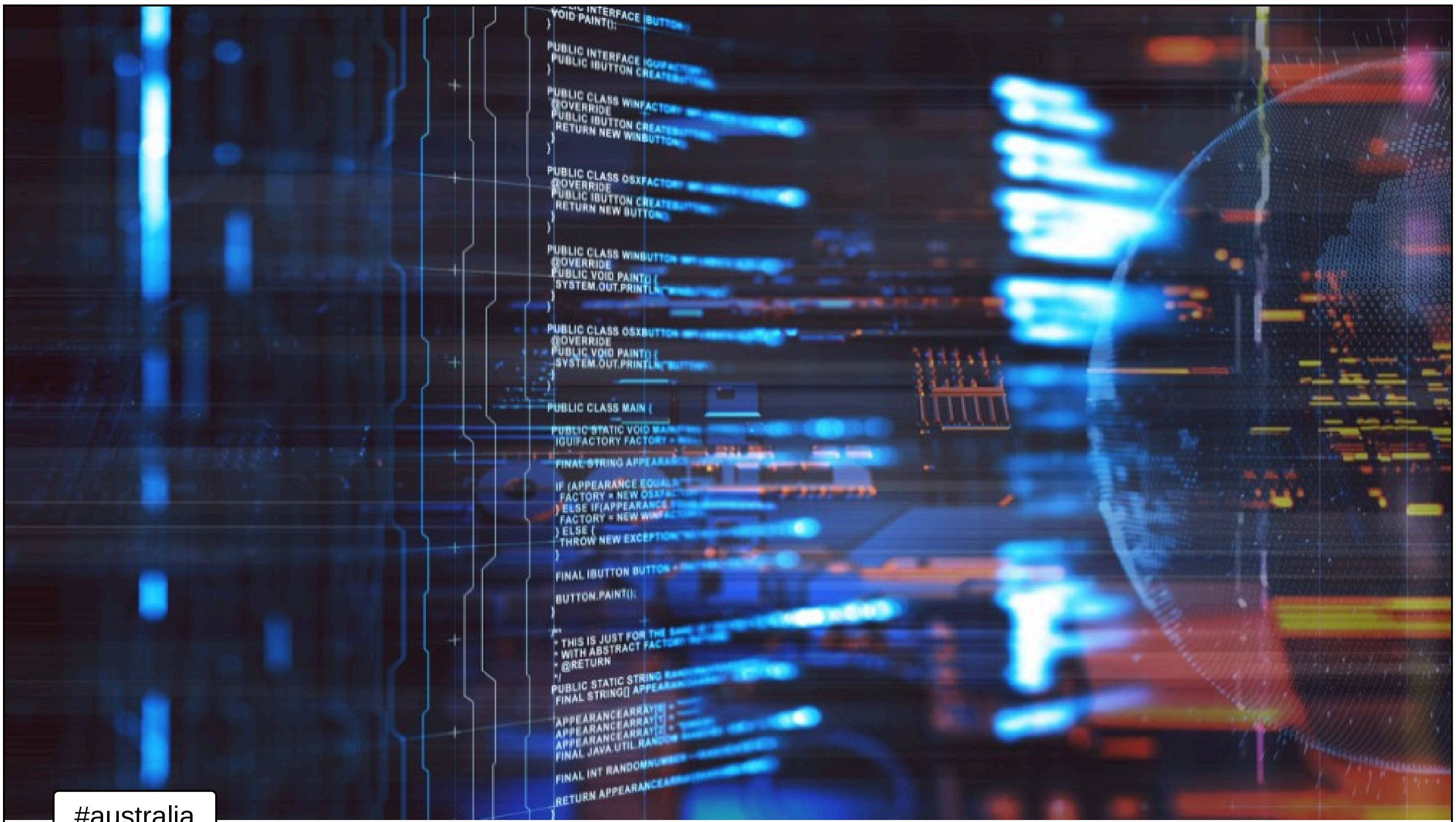

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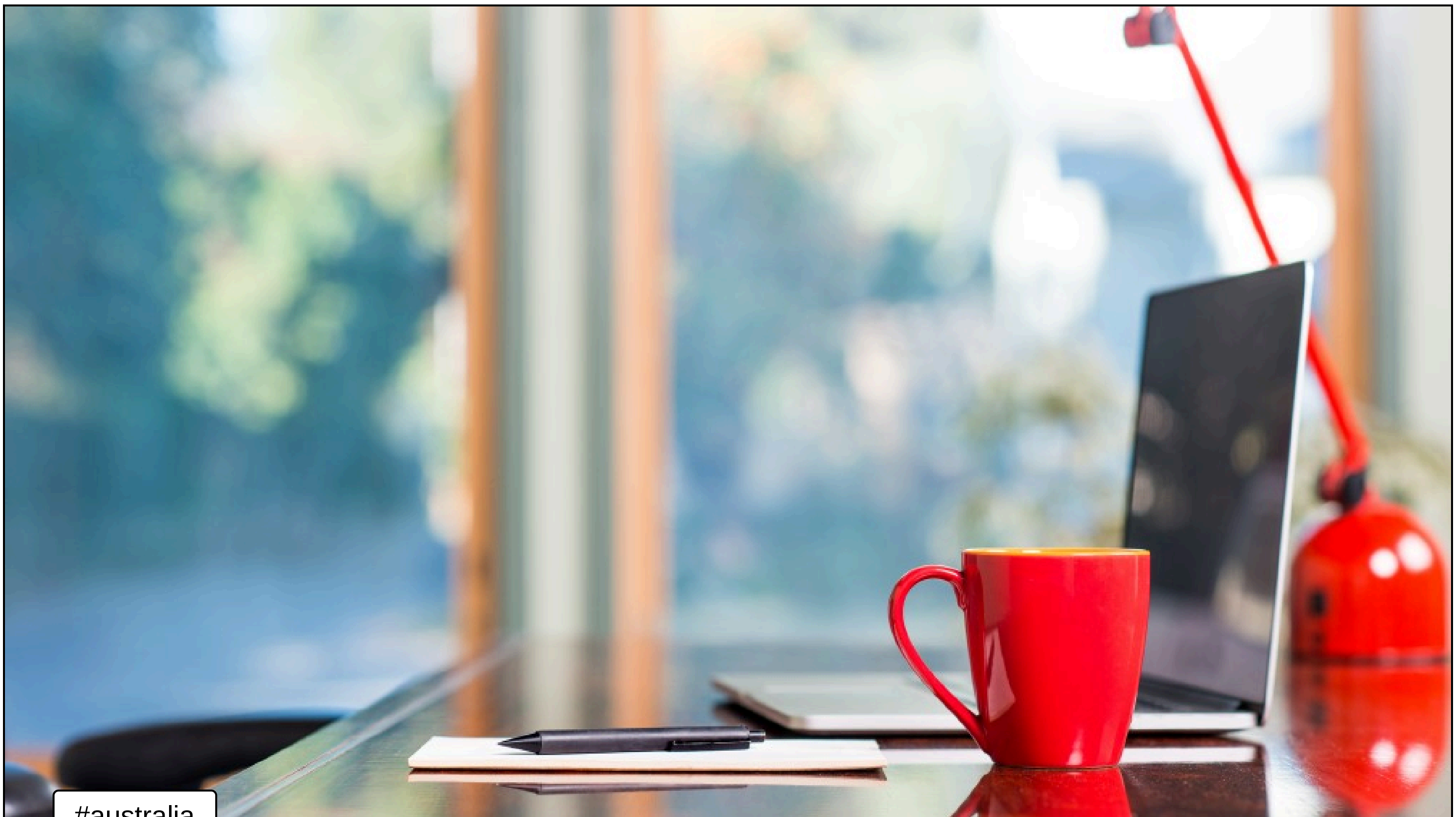

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US PPI index** surprised to the downside in June, prices falling 0.3% in the month after the May outcome was revised down from 1.1% to 0.6%. Ex food and energy, prices rose 0.2% in June and the May outcome was lowered from 0.4% to 0.1%. Annual PPI inflation eased from 6.0%yr to 5.5%yr, while the core measure was little changed at 4.7%yr.

FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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RBA hawkish in near term, while cuts brought forward to 2027

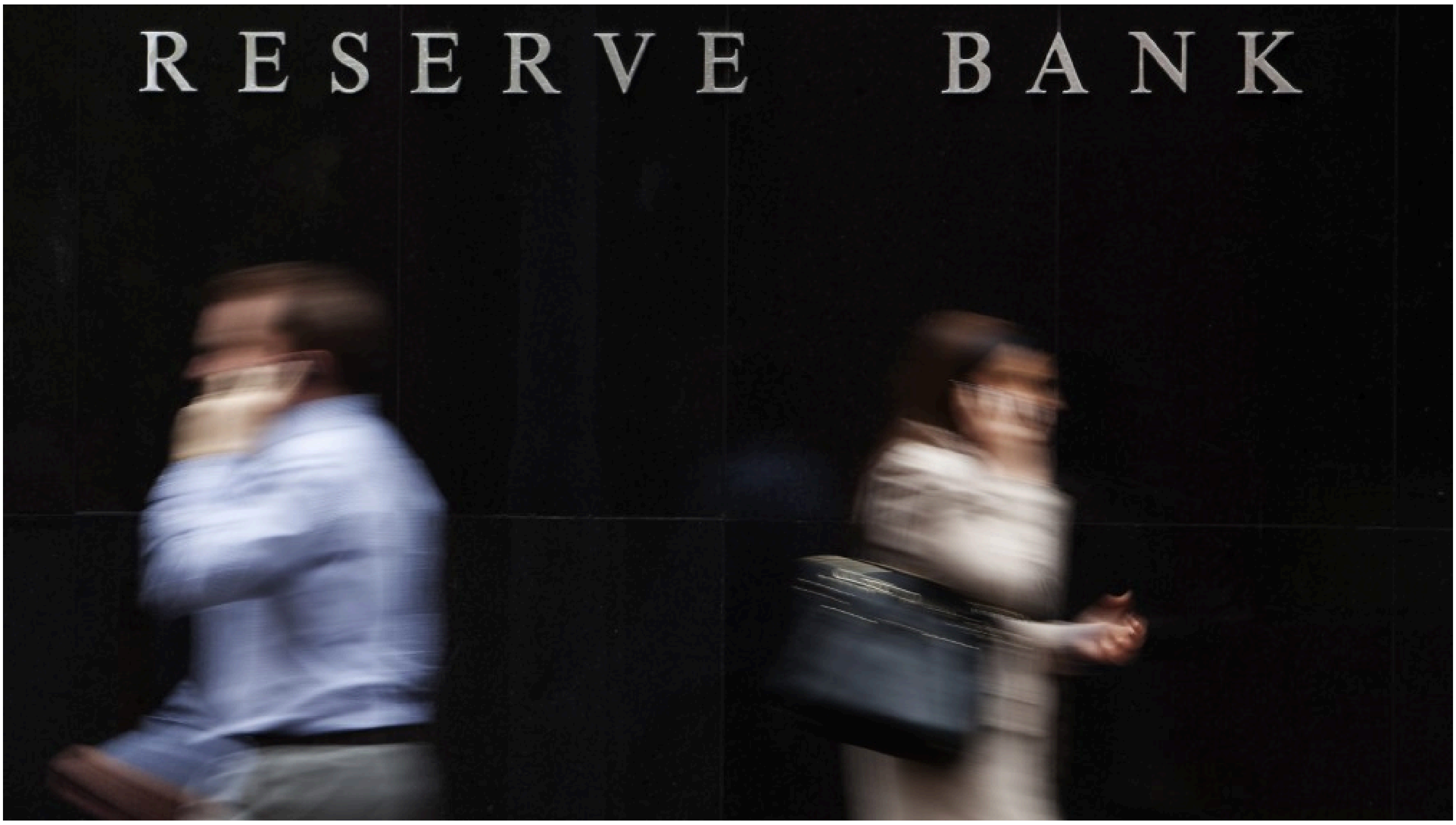
#australia #luciellis #inflation #technology

By Luci Ellis
Chief Economist Westpac Group, Westpac

12:15 July 10 2026

Share

RBA remains hawkish and our conviction regarding a rate hike in August has increased. Follow-up hike is less certain but still our base case, just. Moderation in inflation outlook in 2027 brings forward start of cutting phase to August 2027.



- **Our conviction that the RBA will increase the cash rate in August has increased.** Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.

- Later today we will publish our July *Market Outlook* with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.

- **We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined.** Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.

- **Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously**. We still think the RBA will be "once bitten, twice shy" from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

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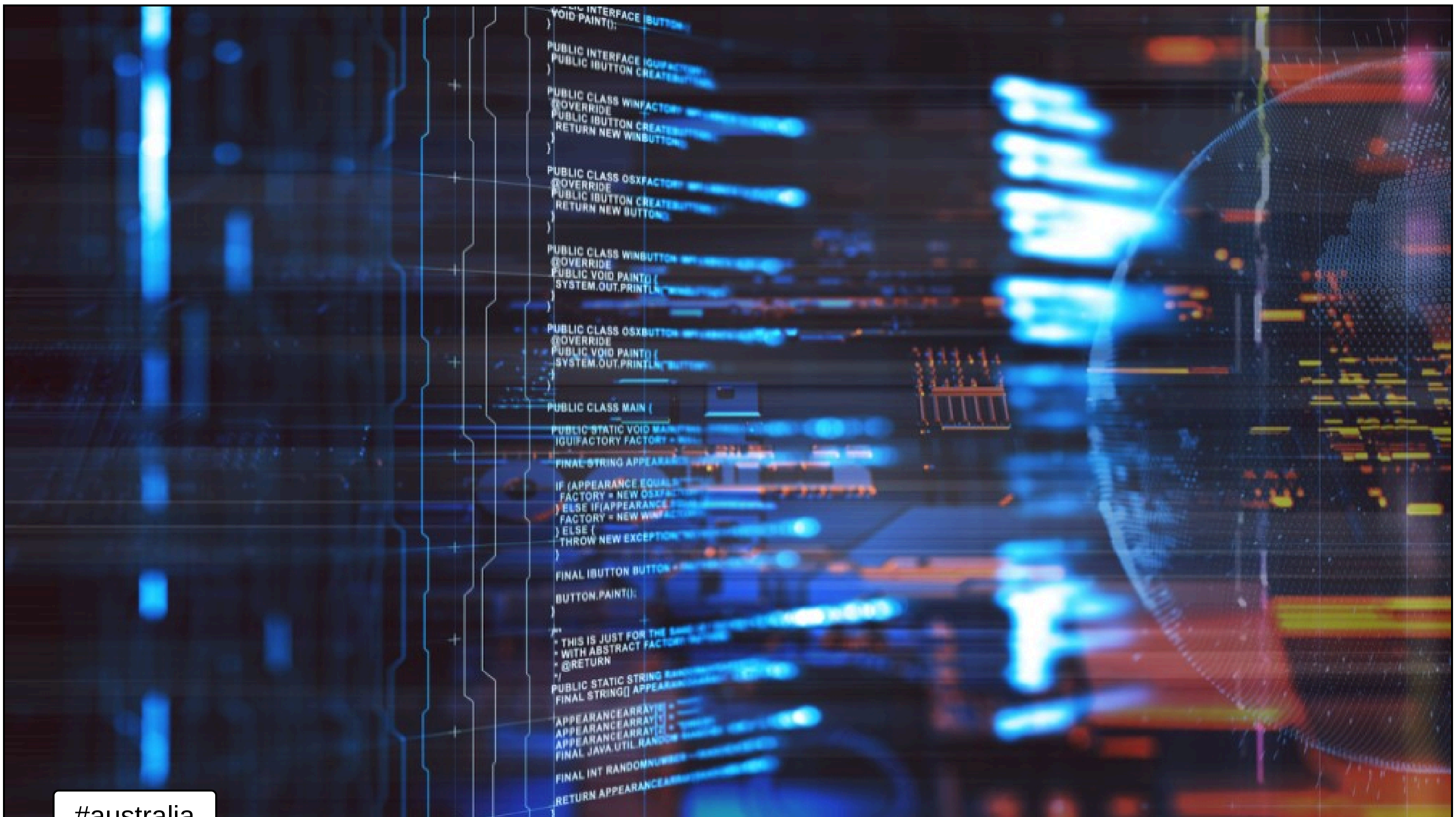

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
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Financial Markets

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Today's key data and events

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FOMC Chair Warsh's second day of testimony before Congress again highlighted his concern over inflation's current momentum and risks, but the discussion also recognised a need to distinguish between one-off price increases and persistent threats to inflation. Chair Warsh also noted that he expected AI investment to lift productivity and wages in time, and that he intends to preserve the FOMC's independence.

New York Fed President Williams characterised monetary policy as "well positioned" to bring inflation back to the 2.0%yr target even as AI investment puts upward pressure on inflation. He also believes productivity will receive a material benefit from the current wave of investment, that shelter inflation is slowing and the labour market is not adding to inflationary pressures currently. Governor Cook was more hawkish, holding inflation risks as dominant and being ready to act against inflation if evidence of disinflation is not seen soon.

The Federal Reserve's Beige Book reported slight to moderate activity growth across the nation. High fuel prices weighed on discretionary consumption, while business conditions were mixed. Employment rose on balance broadly across the economy, while wage growth remained modest. Inflation was characterised as moderate overall.

Chinese **Q2 GDP** growth met expectations, rising 0.9%qtr, although the annual pace disappointed at 4.3%yr. Year-to-date growth remains on track to meet expectations of 4.7%ytd, although this sits towards the lower end of authorities' 4.5%–5.0% full-year guidance. The detail suggests growth continues to rely on external demand, with domestic businesses and households lagging (see here).

Local Data

In New Zealand, **retail card spending** fell 1.4%mth in June, with declines broad-based as cost-of-living pressures remain a key concern for households (see here).

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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
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16 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautious risk-on tone after softer-than-expected US PPI data reduced expectations for further Fed tightening, with equities and US Treasuries advancing, while the USD weakened. Oil prices continued to rise as the US maintained strikes against Iran.

Equities advanced on the back of stronger earnings and softer inflation data.

US Treasuries continued to rally following the softer US PPI print, although futures markets continue to price an additional Fed hike this year, with December seen as the most likely timing.

The USD weakened following the softer inflation data, with the sterling outperforming on expectations that Shabana Mahmood will be appointed Andy Burnham's chancellor.

Oil prices continued to climb as the US maintained strikes against Iran, while gold recovered to finish higher on the back of the softer inflation print.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	0.6%
AUD/USD	0.7004	0.4%
AUD/JPY	113.60	0.4%
AUD/GBP	0.5171	-0.7%
AUD/NZD	1.1974	-0.2%
AUD/EUR	0.6112	0.1%
AUD/CNH	4.7420	0.4%
AUD/SGD	0.9031	0.2%
AUD/HKD	5.4914	0.5%
AUD/CAD	0.9835	0.3%
EUR/USD	1.1464	0.4%
USD/JPY	162.19	0.0%
USD Index	100.52	-0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.77	0.00
1 year swap	4.54	0.00
2 year swap	4.48	-0.01
3 year swap	4.44	-0.02
4 year swap	4.45	-0.02
5 year swap	4.48	-0.02
6 year swap	4.53	-0.02
7 year swap	4.58	-0.01
8 year swap	4.64	-0.01
9 year swap	4.69	-0.01
10 year swap	4.74	-0.01

Equities	Close	Change
S&P/ASX 200	8,841	0.4%
S&P 500	7,572	0.4%
Japan Nikkei	68,752	1.5%
Hang Seng	24,681	1.4%
Euro Stoxx 50	6,266	-0.2%
UK FTSE100	10,516	-0.1%
VIX Index	15.67	-5.0%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.49	-0.02
10 year bond	4.90	-0.01
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.13	-0.06
10 year bond	4.55	-0.04
Other (10 year yields)		
Germany	3.12	0.01
Japan	2.70	-0.02
UK	4.94	-0.04

Commodities	Current	Change
CRB Index	379.33	0.5%
Gold	4060.55	0.2%
Copper	13582	-0.5%
Oil (WTI futures)	80.35	1.3%
Coal (coking)	232.50	-0.2%
Coal (thermal)	130.50	-0.1%
Iron Ore	100.00	0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.91	-0.02
3 yr bond	4.46	-0.03
3 mth bill rate	4.47	0.00
SPI 200	8,818	0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets adopted a cautious risk-on tone overnight as softer-than-expected US PPI data prompted markets to pare expectations for further Federal Reserve tightening. Equities and US Treasuries advanced, while the USD weakened. Oil prices continued to rise, however, as the US maintained strikes against Iran, with President Trump pledging to intensify the bombardment until Tehran ceases attacks on shipping in the Strait. While easing energy prices were a key driver of the softer US inflation outcome, markets remain cautious about the implications of a prolonged conflict. Trump suggested Iran is seeking talks, although Tehran has not publicly confirmed a willingness to resume negotiations.

- US equities ended the session higher, supported by strong earnings and softer-than-expected inflation data. The S&P 500 gained 0.4%, while the NASDAQ rose 0.6%, and the Dow Jones 0.3%. European equities lagged, with the Euro Stoxx 50 down 0.2% and the FTSE 100 lower by 0.1%.
- Asian equities rallied, with Korea's KOSPI up 6.2%, partially reversing the week's earlier sharp decline. The Nikkei 225 gained 1.5%, while the Hang Seng rose 1.4%. Locally, strength in materials supported a 0.4% gain in the ASX 200.
- US Treasuries continued to advance following the softer-than-expected US PPI data. The 2-year yield fell 6bps, while the 10-year yield declined 4bps. Although futures markets have pared expectations for an additional Fed hike this year, a move in December remains priced, with the implied year-end terminal cash rate at 3.89%.
- Australian government bond yields were relatively steady, although they moved lower in line with the previous session's gains in US Treasuries. The 3-year yield fell 2bps, while the 10-year yield declined 1bp. Swap markets remain unconvinced of an additional RBA hike, with the implied year-end terminal cash rate at 4.51%.
- FX markets saw the USD weaken further following the softer inflation data, with the DXY down 0.4%. The AUD gained 0.4% against the greenback to 0.7004. The sterling rose a notable 1.1% on expectations that Shabana Mahmood will be named Andy Burnham's chancellor, with the appointment seen as supportive of fiscal credibility under the incoming administration. The euro gained 0.4% against the USD, while the yen was little changed.
- In commodity markets, oil continued to rise as the US maintained strikes against Iran. Brent rose 1.2% to US$85.8/bbl, while WTI gained 1.3% to US$80.4/bbl. Gold recovered from earlier losses to finish 0.2% higher, supported by the softer US inflation print. Copper was down 0.5% and aluminium fell 0.8%, while iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
16:00	GB Trade Balance May	-£5500b	-£8435b
22:30	US Phily Fed Manufacturing Jul	13pts	10.3pts
22:30	US Retail Sales Jun	0.2%	0.9%
22:30	US Initial Jobless Claims 11/07/2026	217k	215k
0:00	US NAHB Housing Market Jul	35pts	35pts
0:00	US Business Inventories May	0.3%	0.5%
0:00	US Pending Home Sales Jun	-0.5%	3.8%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

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Australia’s Trade in Goods Account, May

#trade #australia

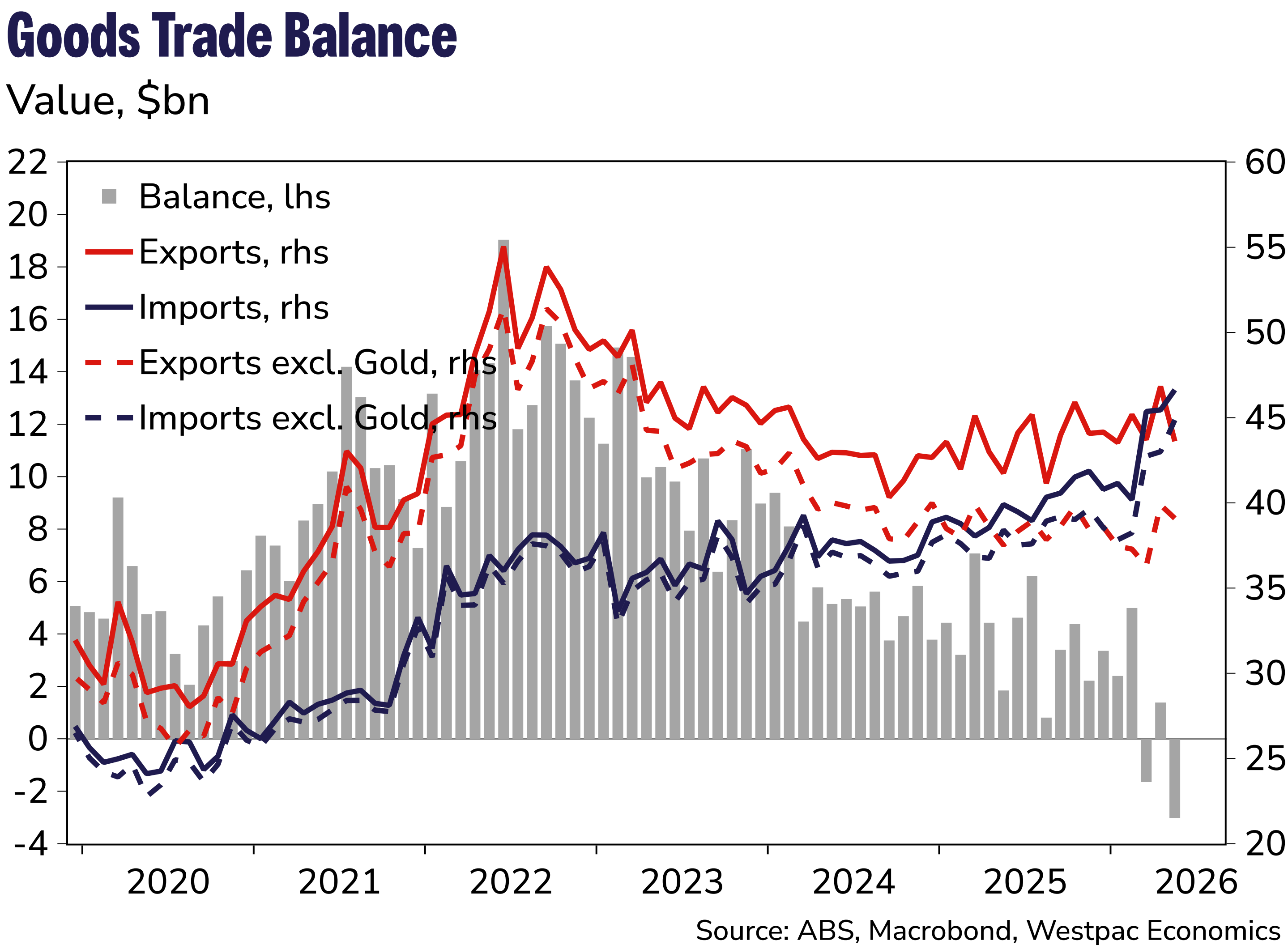
By Mantas Vanagas
Senior Economist, Westpac

15:30 July 02 2026

Share

Trade data remained volatile amid sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Trade balance: -$3.0bn. Export values: -6.9%mth. Import values: 2.6%mth.

The latest trade data surprised to the downside, with the headline goods trade balance falling back below zero in May, just one month after moving back into surplus. The $3.0bn deficit was the largest since the end of 2015. The detail suggests that several factors on both the export and import sides are pulling the balance in different directions. These include sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Most of these influences are likely to persist for some time – in some cases into the medium term – suggesting that trade data are likely to remain volatile.



Exports

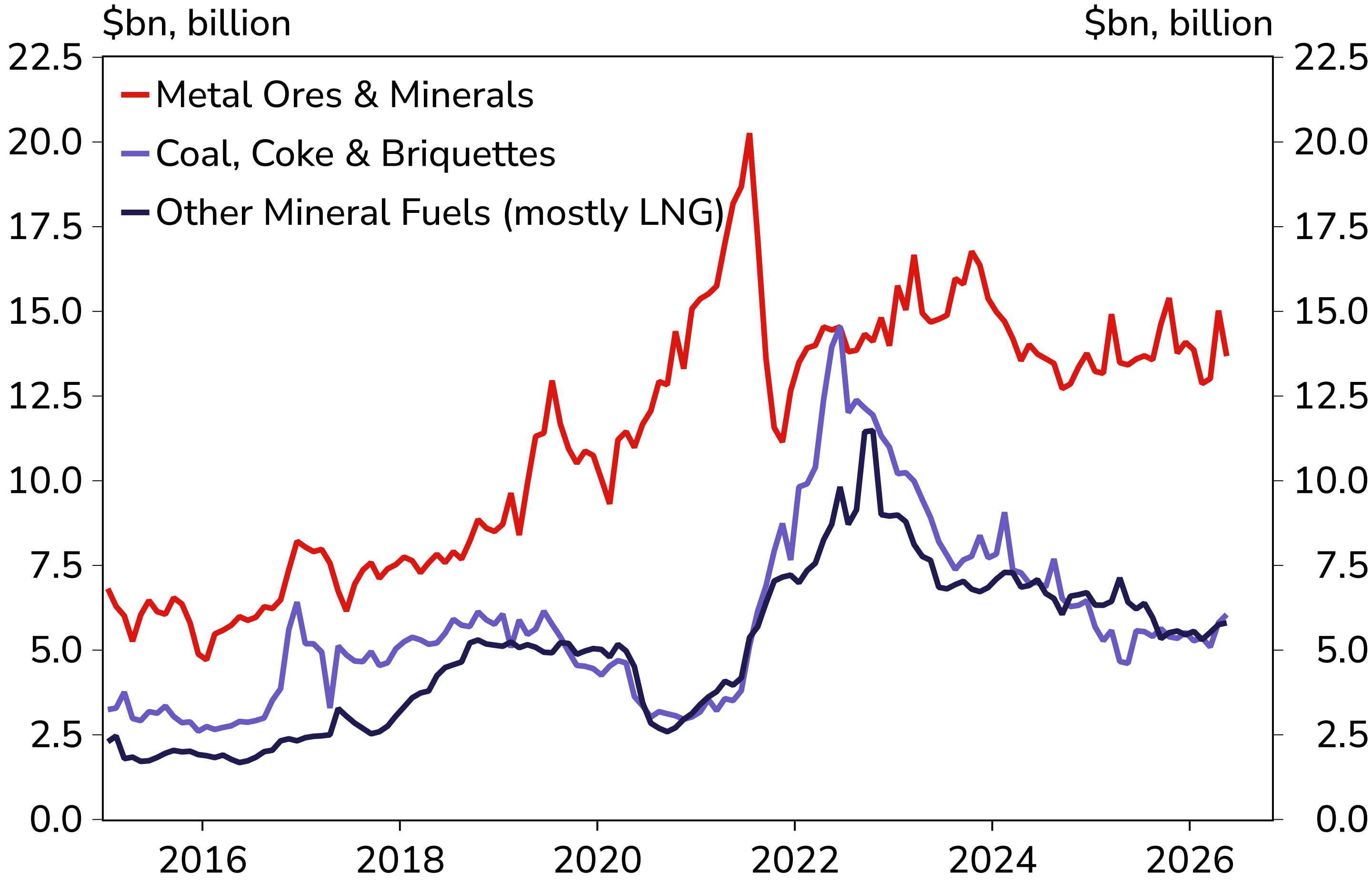
Export earnings fell 6.9%mth in May, one of the weakest results in recent months. This followed a 7.2%mth increase in April and taken together over these two months exports remained 2.5% above their March quarter levels.

- The monthly decline was largely driven by non-monetary gold, which fell 35%mth and accounted for around three-quarters the total weakening in exports. Gold prices have been declining from their peak in early March, and the trend tiled further down in June, signalling a further downward adjustment in exports values going forward.
- Iron ore exports declined 9.0%mth. However, this largely unwound a 15% increase in April, leaving export levels close to their average over the previous twelve months. ABS detail indicates that both

volumes and prices contributed to the decline. With market prices having eased further recently, this drag is likely to persist into June.

- Among other major categories, coal and LNG exports rose by 4.2%mth and 0.9%, respectively. Given strong increases in preceding months, this points to a solid quarterly lift in the June quarter. Rural exports also increased, supported by higher meat exports.

Key Commodity Exports



Source: ABS, Macrobond, Westpac Economics

Imports

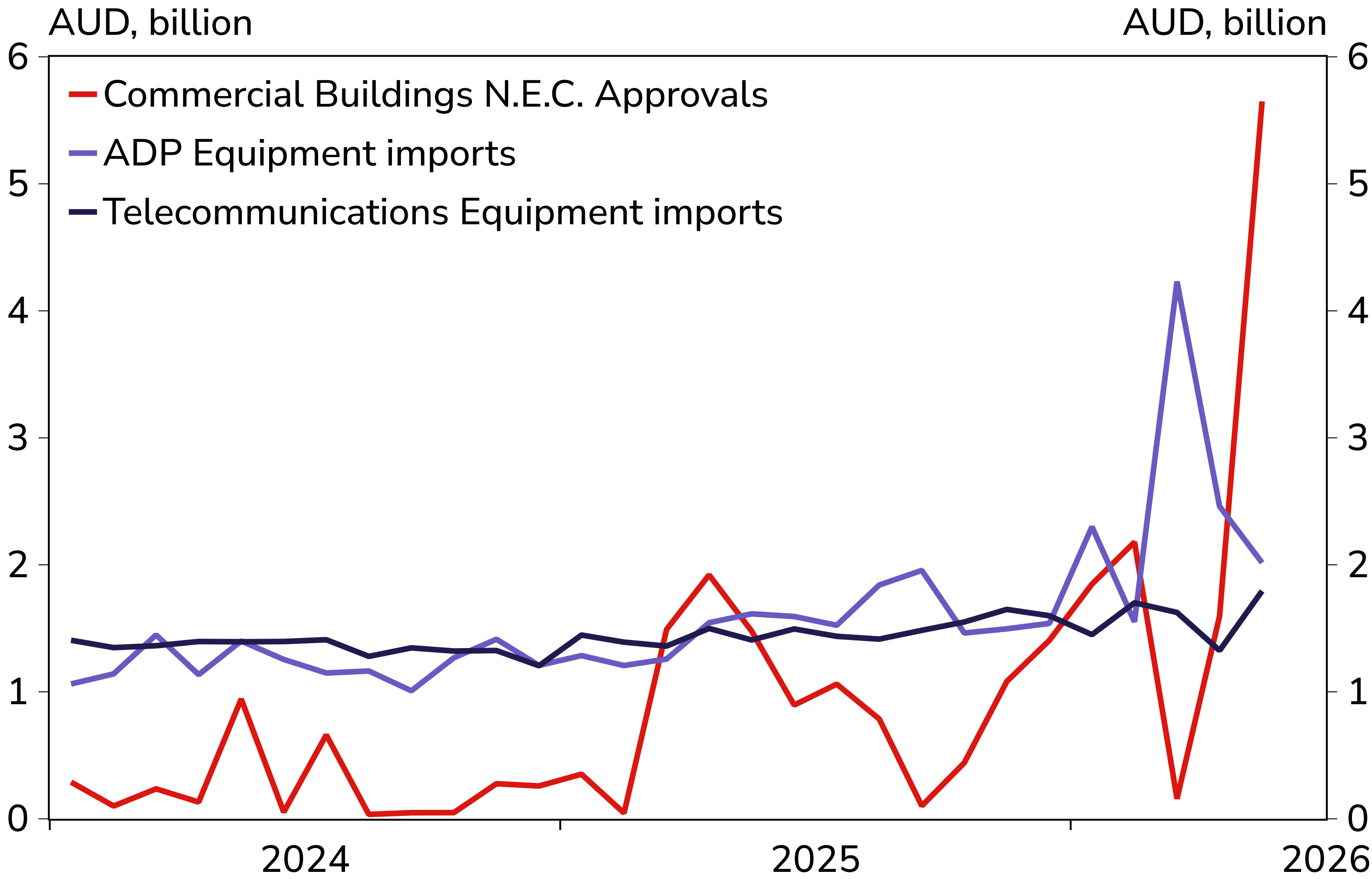
Import values rose 2.6%mth. Following an almost 13% increase in March and little change in April, this suggests that import growth in the June quarter has been strong to date.

- As on the export side, non-monetary gold imports fell sharply, down almost 28%mth. Excluding gold, imports growth was a particularly strong 4.3%mth.
- Fuel imports, which had doubled over the previous two months, were broadly unchanged. ABS estimates suggest that prices declined in May, with this effect likely to intensify, implying that fuel import values may begin to ease.
- The March quarter national accounts highlighted a strong increase in data centre investment. As many fit-out components are imported, the trade data provide a partial guide to this activity. Automated Data Processing (ADP) imports fell almost 20%mth in May, marking a second consecutive steep decline. However, following the surge in March – when values nearly tripled –

levels remain above historical norms. Telecommunications equipment, which is also most likely used in data centres, rose 35% after softer outcomes in the prior two months.

- Civil aircraft imports – a volatile component – rose by more than 150%, contributing to an 8.2%mth increase in capital goods imports.
- Consumption goods imports rose at a very similar pace, with transport equipment imports the standout category, increasing by almost 25%mnth. This category appears to be gathering momentum and is likely to reflect higher imports of EVs, as consumers respond to elevated fuel prices and a broader range of EVs becomes available in the domestic market.

Data centre equipment imports and building approvals



Source: ABS, Macrobond, Westpac Economics

Looking ahead

Outcomes for both exports and imports in coming months are likely to be influenced by the dynamics in key commodity markets. With several key prices having declined recently, softer results in major trade categories – including commodity exports and fuel imports – appear likely in June.

The headline trade balance will also be influenced by the evolution of data centre investment. Our previous analysis has highlighted the significant expansion potential in this sector and its broader economic implications. However, the latest trade data illustrate that this expansion is likely to proceed unevenly, with imports associated with the build-out remaining lumpy. Importantly, capital goods imports associated with data centre fit-outs provide only a partial view of the underlying activity. Construction activity, which relies more heavily on domestic inputs and labour, represents another major component of the build-out. The strength of this activity was reflected in the non-residential building approvals data released yesterday, which showed a substantial increase over recent months.

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ECONOMIC BULLETIN

CPI preview, June quarter 2026 –
Tuesday 21 July, 10:45am.

17 Jul 2026 | **Satish Ranchhod**, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

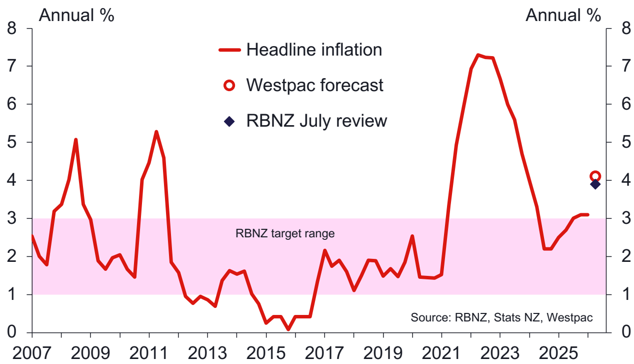
Pain at the pump

- **With the war in the Middle East pushing oil prices sharply, consumer price inflation is set to rise to a two-year high.**
- **We estimate that New Zealand consumer prices rose by 1.5% in the June quarter. That's slightly higher than our previous forecast, consistent with the firmer than expected increases in prices for volatile items like holiday accommodation in Stats NZ's June update.**
- **The annual inflation rate is expected to rise to 4.1% (up from 3.1% previously).**
- **Core inflation has been softening but remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.**
- **Our forecast is close to the RBNZ's updated forecast for 3.9% annual inflation.**

Consumer price inflation

	Mar-26 actual	Jun-26 forecast	
		Westpac	RBNZ (Jul MPR)
Headline inflation			
Quarterly	0.9%	1.5%	
Annual	3.1%	4.1%	3.9%
Non-tradables inflation			
Quarterly	1.1%	0.6%	
Annual	3.5%	3.4%	
Tradables inflation			
Quarterly	0.7%	2.6%	
Annual	2.5%	4.8%	

Annual headline inflation

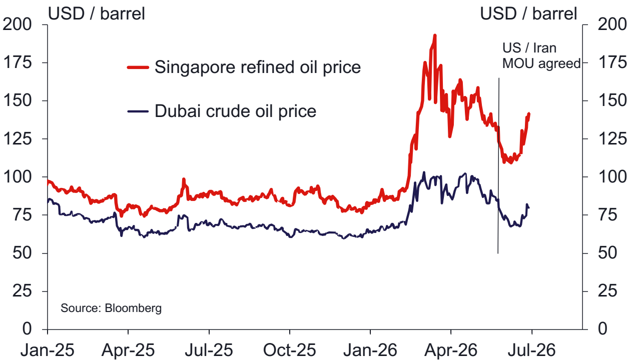


We expect the June quarter inflation report (out on 21 July) will show that New Zealand consumer prices rose 1.5% over the past three months. That would see the annual inflation rate rising to 4.1% – up from 3.1% in the year to March and the highest level in two years.

The main driver of June's spike in consumer prices has been the sharp rise in fuel prices since the start of the

Middle East war. While prices have dropped in recent weeks, petrol prices have risen 20% over the June quarter and diesel prices were up an eye-watering 51% (together, those costs account for around 4% of the CPI).

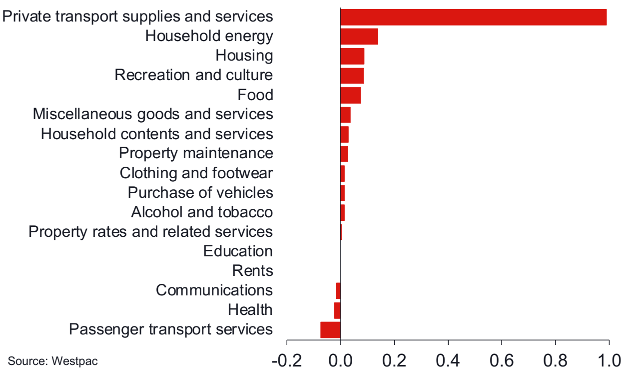
Oil prices



Recent months have also seen further large increases in household energy prices (3% of the CPI). Electricity prices rose 4% over the June quarter and are up 12% over the past year. Similarly, household gas prices rose 2% over the quarter, leaving them up 11% over the past year.

Also adding to inflation has been the 0.4% rise in food prices over the quarter (18% of the CPI).

Contributions to June quarter inflation forecast (percentage points)



Oil spill(overs).

With a sharp rise in energy prices, many businesses have reported large increases in other operating costs, including transportation and materials. For instance, in the construction sector, the cost of PVC piping and other inputs rose sharply in recent months. Consistent with that, we expect the cost of building new home (which makes up close to 10% of the CPI) to take a step higher this quarter after muted gains over the past year.

But while production costs have been rising, soft demand has been a brake on many businesses' ability to pass those higher costs through into output prices. That will limit the rise in overall consumer prices but does mean continued pressure on businesses' margins.

The risk that increased fuel costs spillover into broader inflation pressures is a significant concern for the RBNZ. With that in mind, measures of core inflation will be a key focus. (Note: core inflation measures smooth through the large quarter-to-quarter swings in individual prices and instead track the underlying trend in inflation). In terms of specifics, we expect:

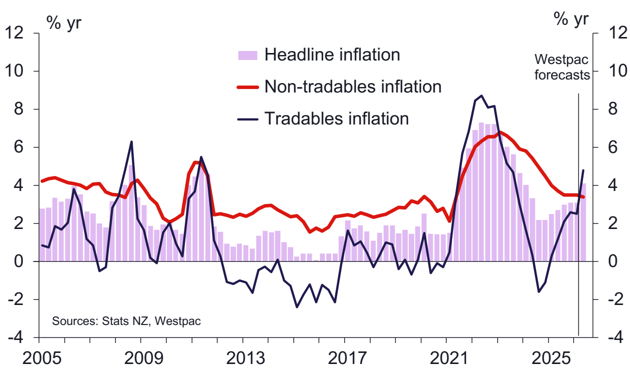
- CPI ex-fuel inflation: +2.8% yr (vs +3.2% previously)
- CPI ex-fuel and food: +2.9% yr (vs +3.0% previously)
- CPI ex-fuel, food and household energy: +2.5% yr (vs +2.6% previously)
- 30% trimmed mean: +2.4% (vs +2.3% previously)

Although the various measures of core inflation have been dropping back, we're reluctant to describe them as 'low.' Despite a sharp slowdown in economic growth and softness in the labour market, the various measures of core inflation have lingered above the 2% midpoint of the RBNZ's target range for an extended period. And with the recent oil related lift in inflation pressures, recent business surveys point to the risk of at least a temporary broader lift in inflation over the coming months.

Much of the firmness in core inflation has been due to increases in domestically oriented non-tradables prices. We expect these prices will rise 0.6% over the quarter. That would see annual non-tradables inflation softening to 3.4%, down from 3.5% last quarter but still well above average levels. Much of that strength has been related to continued large increases in administered prices, like council rates and electricity.

Bucking that trend of general firmness in non-tradeable prices, however, has been notable softness in housing rents (11% of the CPI). With abundant supply and low population growth, average housing rents have shown no growth since late last year, and regions likely Wellington have seen outright falls.

Inflation components



On the imported front, higher fuel costs are expected to see tradables prices rising by a huge 2.6% over the quarter. That would result in annual tradables inflation rising from to 4.8% from 2.5%yr previously. But while higher fuel costs have been a significant driver of the rise in imported inflation, the lower New Zealand dollar is also playing an important role. Excluding food and fuel costs, we estimate that tradables prices were up 3.2% over the past year. The average value of the trade-weighted exchange rate (TWI) in the June quarter was almost 4% lower than a year earlier.

How do our forecasts compare to the RBNZ's assumptions?

Under the direction of new Governor Anna Breman, the RBNZ has made efforts to strengthen it communications. That includes the releases of addition information and forecasts updates at its interim policy reviews (previously, such information was only released when the more detailed quarterly Monetary Policy Statements were released). This has been very welcome move from the RBNZ, especially given the significant and rapid changes in the global economic backdrop in recent weeks.

The RBNZ's July update show inflation peaking in the year to June at 3.9%. The RBNZ didn't publish a quarterly inflation track in July, but we estimate that their annual forecast is consistent with a 1.4% quarterly rate in consumer prices.

Our forecast for a 4.1% rise in consumer prices is slightly higher than the RBNZ's expectations. However, given the rapid changes in the economic outlook over the past few weeks and related uncertainty about the outlook, a result in line with our forecast would not be a major surprise to the RBNZ.

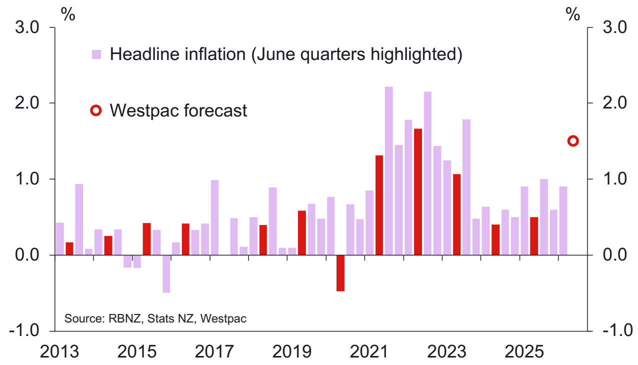
However, even if the overall inflation result is close to forecasts, the underlying detail will be a key interest. The RBNZ will be watching closely for signs that high fuel prices are spilling over into other prices, especially with global oil prices taking another step higher recently. With that in mind, the strength of the various core inflation measures will be a key focus for the RBNZ.

Updates from the June Selected Price report.

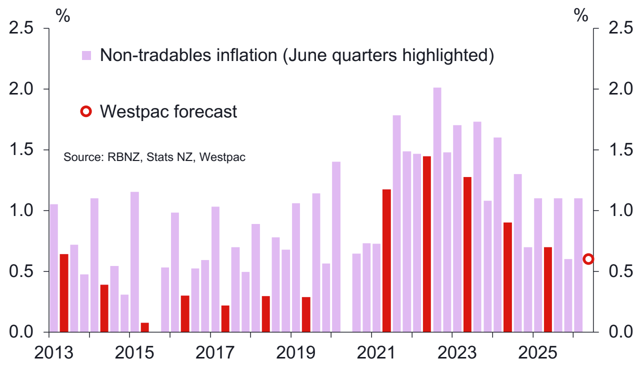
Our updated forecast for a 1.5% rise in consumer prices in the June quarter is slightly stronger than our previous forecast for a 1.4% rise. That reflects updated data from Stats NZ's June Selected Prices report. Of note, June saw a larger than expected increases in the volatile holiday accommodation category. That more than offset a more modest than expected rise in electricity prices.

In the other big categories, food prices were up 0.6% over the month as expected. Housing rental growth remained very muted, rising just 0.1% over the month.

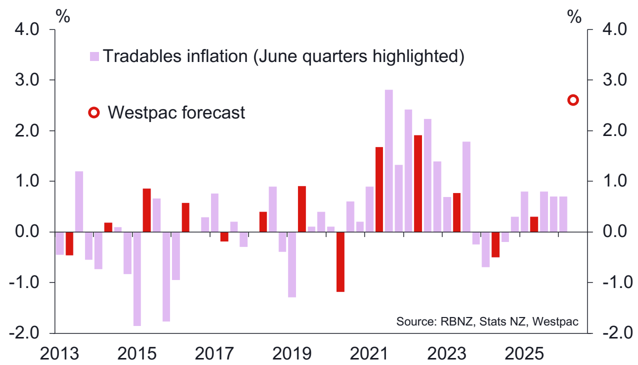
Quarterly CPI inflation



Quarterly non-tradables inflation



Quarterly tradables inflation



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Westpac Banking Corporation.

China has need for urgent stimulus

#china #asia #aud

By Elliot Clarke
Head of International Economics, Westpac

14:33 July 15 2026

Share

Q2 GDP and the June partial data highlighted (yet again) aggregate growth's reliance on external demand. Domestic businesses and households are in need of immediate, pro-active support.

Q2 GDP and the June activity data provided a mixed read on China's economy. Q2 GDP met expectations in the quarter at 0.9%, but the annual rate disappointed, coming in at 4.3%yr. Year-to-date, growth is on track to meet our expectation of 4.7%ytd; however, that rate is towards the bottom of authorities' 4.5%-5.0% full-year guidance.

Delving into the detail, it is evident the industrial sector continues to drive aggregate momentum. Having dipped near 4.0%yr in April and May, growth in industrial production rebounded to 5.3%yr in June, keeping the year-to-date pulse at 5.4%. High-tech manufacturing categories such as integrated circuits (18.8%yr) and industrial robots (28.1%yr) are behind the recent gains, while motor vehicle production is unchanged over the year (-0.2%yr). Note though, within the vehicle category, production of new-energy vehicles is up 29.4%yr.

This rotation towards high-tech manufacturing is likely a negative for employment given the level of automation used in new factories, so too the relocation of assembly work to neighbouring nations –mobile phone production was down 13.5%yr in June. For aggregate activity though, the integration of Asian production and trade combined with rapid technological development continues to produce significant net gains for the trade position, 27%yr growth in exports and a 36%yr gain for imports leaving the monthly trade surplus at USD126bn in June – just inside January 2025's record high and a multiple of the surplus prior to the pandemic.

The domestic growth story remains downbeat overall, primarily due to declining investment. Fixed asset investment's contraction accelerated in June to -5.7%ytd from -4.1%ytd in May. Mining and transport-related investment have grown year-to-date, but manufacturing and utilities investment remain in a lull after years of rapid growth; meanwhile, healthcare, education, recreation and, of course, property investment continue to decline at a rapid rate. Property investment's 18%ytd fall is arguably most notable, coming after a -11.2%ytd, -10.1%ytd and -7.9%ytd result in June 2025, 2024 and 2023 respectively and despite significant support from authorities over the period. Further material losses are likely given residential property sales were down 13.7%ytd in June and as prices are yet to stabilise – new and existing home prices fell 0.15% and 0.32% respectively in the month.

For the consumer though, there are some emerging positives. Having disappointed earlier in 2026, annual growth rebounded from -0.6%yr to +1.0%yr in June, leaving sales 1.3% higher year-to-date. Spending by category was mixed, in part due to volatility created by several past incentive programs. The property sector's decline also continues to weigh heavily on demand for construction goods and appliances, although there was some evidence of accelerating discretionary spending, likely aided by equity market gains over the past year and a half and broadly stable labour markets across the major cities and immediate surrounds.

All told, Q2 GDP and the June partial data highlight China's economic resilience and also give a degree of hope that domestic demand will strengthen over the coming year(s), as authorities intend. That said, as we have recently discussed, there remains a clear disconnect between the income generated by China's major exporters and the financial prospects of the average Chinese household. Until the returns of trade are distributed more equitably to households, through wages, taxes and wealth gains, Chinese authorities need to fill the gap.

Following such significant declines across essential local infrastructure, and with confidence impaired, today there is little risk of wide-spread capital misallocation or speculative excess. Pro-active support in scale via the local governments and state-owned entities is therefore the best course to speed aid. As the property sector stabilises and businesses recognise a broadening uptrend across the domestic economy, the private sector will also contribute. Our 4.7%ytd expectation for 2026 remains in place but, in the absence of immediate stimulus, is likely to become a stretch target.

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From forward guidance to framework guidance

#ecb #boj #boc #fomc

By Illiana Jain
Economist, Westpac

07:47 July 03 2026

Share

Key themes from the ECB’s 2026 Sintra Forum on Central Banking.

The three key themes emerging from this year's ECB Forum in Sintra were:

- Greater flexibility in monetary policymaking, with central banks placing less emphasis on forward guidance and more emphasis on communicating the framework underpinning policy decisions.
- The uncertain implications of AI, which has the potential to reshape productivity and labour market outcomes but is not yet evident in the data.

- A growing focus on non-bank financial risks, as policymakers monitor the rapid growth of leveraged market participants, private credit and other sources of potential financial instability.

The European Central Bank's annual forum brought together leaders from major central banks including the ECB, Bank of England, US Federal Reserve and Bank of Canada. Three key themes were highlighted by the keynote panel: the need for greater flexibility in conducting monetary policy, how AI advances are factoring into decision making and the importance of safeguarding financial stability.

The panel began with the head of the central banks noted above outlining the method behind their recent decisions. Evident in each response is that heightened uncertainty over first round and secondary price pressures combined with mixed messages from incoming activity data necessitate flexibility in setting the policy stance and communicating risks. Constructively, panellists expressed little concern that their economies were facing a return to the stagflationary environment of the 1970s. Strong labour markets and well-anchored inflation expectations were cited as safeguards against such a turn.

ECB President Lagarde went on to discuss the ECB's move away from traditional forward guidance in favour of 'framework guidance', that is communicating the thinking that underpins its decisions versus an expectation of where to next. Governor Bailey and Chair Warsh agreed with the approach, arguing that forward guidance can ultimately make it harder to effectively manage policy if conditions evolve in an adverse manner, to the detriment of the economy. As such, inter-meeting and looking to the medium-term, market participants will be left to discern the future policy path based on policy makers' framework, their latest risk assessments and the data that follows.

A preference for optionality and careful communication was also evident in discussions around the balance sheet. While Chair Warsh again noted a preference for a smaller central bank balance sheet, he recognised that any changes must be clearly signalled to markets before implementation. Although domestic conditions remain the primary driver of policy, the panellists were cognisant that actions in one jurisdiction can have important implications elsewhere and that this should be kept in mind.

AI's impact on the economy and markets received considerable attention throughout the panel. While panellists broadly agreed that AI has the potential to lift productivity and expand the supply side of the economy, there was little consensus on the timing or magnitude of these effects. Chair Warsh did, however, suggest labour market changes could emerge rapidly once adoption becomes widespread. The net impact on inflation of AI adoption is difficult to discern ahead of time, so too the implications for monetary policy.

A discourse on AI and financial stability focused on the benefits of sharing research and coordinating approaches across jurisdictions. More broadly on financial markets, panellists noted the growing power of hedge funds in government bond markets. Though the risks associated with individual funds may be manageable, concerns arise when multiple investors employ similar strategies and rely on the same funding markets. A period of heightened volatility could trigger a rapid unwinding of positions, potentially spilling over into other markets.

Leveraged ETFs and the rapid growth of private credit markets were cited as other potential material risks, particularly given elevated valuations in some markets. Stronger productivity growth and technological innovation could, in time, justify these valuations but, warranted or not, a sharp correction would have lasting implications for market stability and the real economy. Governor Bailey noted that the Bank of England is actively assessing the potential implications of this myriad of risks.

Overall, policymakers are operating in an environment where the outlook can change quickly for many reasons including, but not limited to, shifts in trade policy, technological change and/or developments in financial markets. In this environment, the flexible application of a clearly defined policy framework is the preferred approach to manage the cyclical momentum of the economy, known risks and financial stability.

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Mapping out Asia ...

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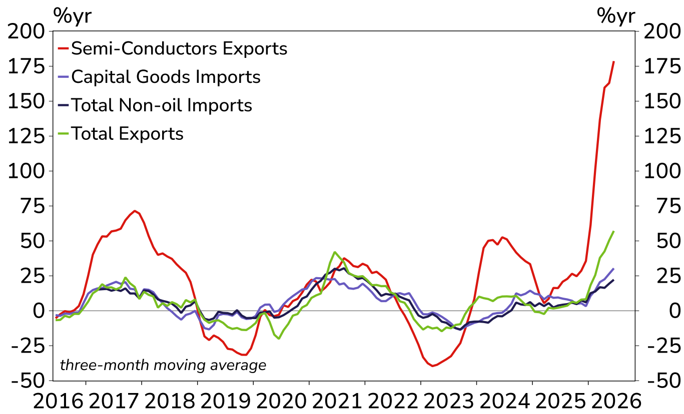
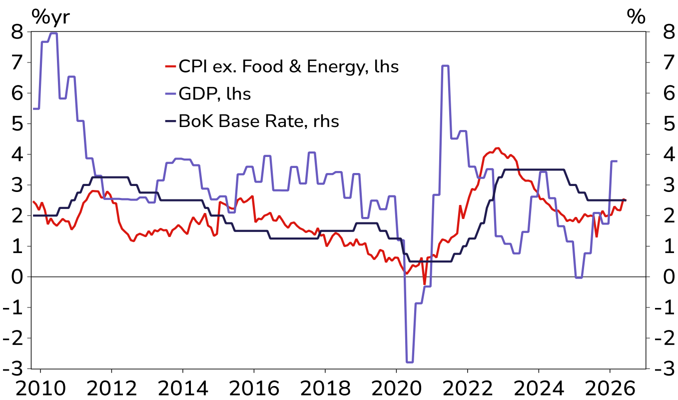
- Korea's technology sector is no longer only passively benefiting from the AI cycle; firms are pro-actively investing to accelerate capacity growth.
- Announced investment plans of US$500bn, spearheaded by Samsung and SK Hynix, together with the government's KRW105trn (US$71bn) National Growth Fund suggests this investment cycle has a lot further to run.
- Warranting this, semiconductor exports have surged 197%yr, highlighting the scale of global technology demand.
- Capital goods imports also increased 35%yr, emphasising that Korea is just one part of the Asian production system.
- The key question is whether today's technology boom can translate into a sustained increase in aggregate growth or just a one-off level shift for industrial activity.

South Korea is just getting started



Source: KCS, Macrobond, Westpac Economics

Tech is turbocharging Korean growth

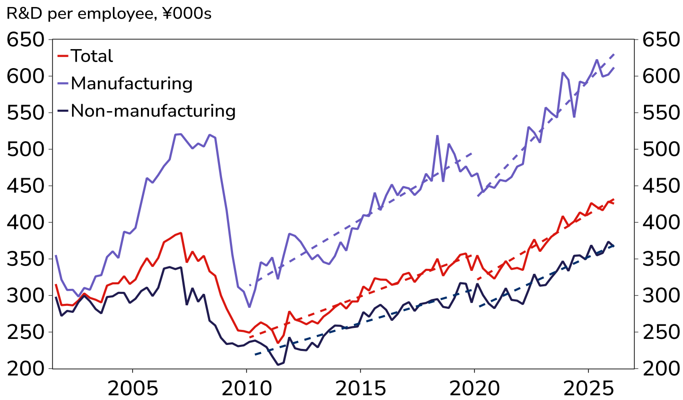


Source: MODS, BOK, Macrobond, Westpac Economics

- The BoK increasingly appears to view the AI investment cycle as a durable source of aggregate economic growth rather than a temporary export boom.
- Large-scale investment in semiconductors and AI infrastructure should increasingly support other business investment, construction activity and productivity growth.
- The BoK has acknowledged these factors, revising its 2026 forecast up to 2.6%yr from 2.0%yr.
- Stronger medium-term growth prospects help explain the BoK's willingness to maintain a tighter policy stance despite soft conditions in other sectors.
- Exports and future income generation should also aid Korea's external position and the won in time.

- Over in Japan, the Q2 Tankan survey provided mixed investment signals. Expected R&D spending slowed to 4.1% in FY26 from 6.5% in FY25, pointing to some moderation in manufacturing investment. Non-manufacturing firms meanwhile expect investment growth to accelerate to 9.2% from 7.0%.
- Justifying an acceleration in investment by non-manufacturers are widespread, structural labour shortages, unable to be fully offset by rising participation amongst women and older workers.
- Until at-target consumer inflation is firmly entrenched in day-to-day life, manufacturers and service firms alike also need greater investment to manage margins through productivity and efficiency.

Labour saving investment is accelerating

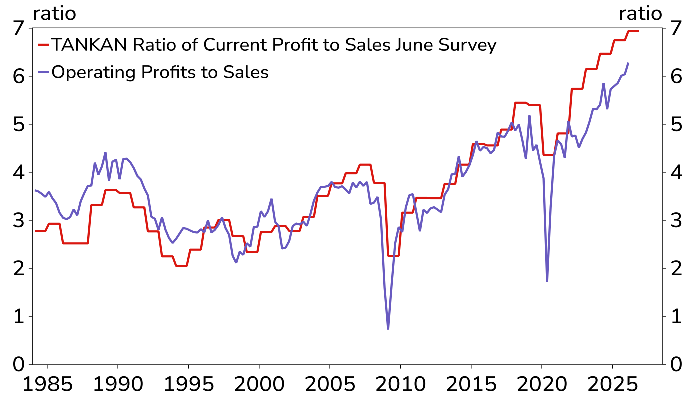


Source: MOF, Macrobond, Westpac Economics

... in charts

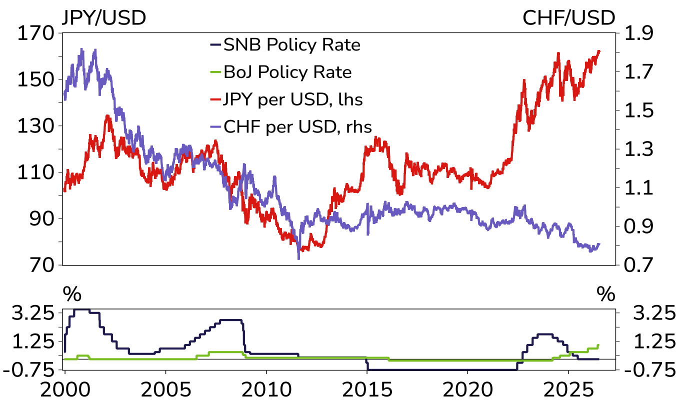
- Japanese services inflation remains well above its pre-pandemic average.
- The missing piece in the virtuous cycle has been real wages, with household purchasing power improving more slowly than expected.
- Corporate profits continue to provide firms with scope to grow investment and wages sustainably, however.
- Future real wage gains should boost discretionary consumption and inflation, giving durability to the inflation mindset.
- Profits and investment are therefore anticpate to build a foundation for persistent consumer and wage inflation, while also offering greater confidence in medium-term aggregate activity growth, warranting further policy normalisation.

Stronger profit to support wage growth



Source: BOJ, MOF, Macrobond, Westpac Economics

Lower policy rates aren't the whole story

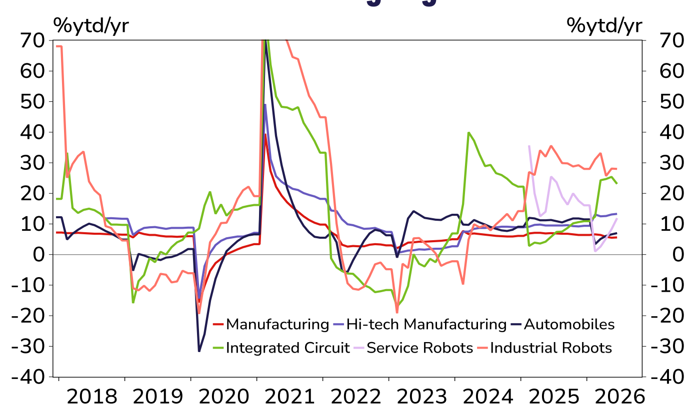


Source: Macrobond, SNB, BOJ, Macrobond, Westpac Economics

- Despite lower interest rates than Japan for much of the past decade, CHF has strengthened as the yen weakened. This suggests the market cares about more than just policy rates.
- Switzerland attracts safe-haven and reserve inflows while Japan remains a net exporter of savings.
- For Japan, a growing share of income earned abroad is also retained there, compounding foreign asset holdings instead of current yen demand.
- Raising policy rates to the level we expect (1.50% from mid-2027) will not reverse this dynamic. But what could?
- A change in capital flows via the repatriation of stockpiled foreign assets and income back to Japan and/or reduced new foreign investment by Japanese investors and/or greater foreign appetite for yen-denominated assets.

- Chinese industrial capacity remains a key source of growth, production rising 5.4%ytd in June.
- Notably, growth is increasingly concentrated in high-tech industries, including integrated circuits (+19%yr), industrial robots (+28%yr) and new energy vehicles (+29%yr).
- These sectors are more capital-intensive and automated than the labour-intensive industries which drove earlier industrial cycles.
- Strong output and export growth may therefore generate fewer and fewer gains in employment and household income compared to the past.
- This helps explain why household demand continues to lag China's industrial and trade performance.

Chinese manufacturers are going dark



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First Impressions: NZIER Quarterly Survey of Business Opinion, June quarter 2026

#businessconditions #newzealand

By Michael Gordon
Senior Economist, Westpac NZ

08:10 July 14 2026

Share

Business confidence picked up a bit in the June quarter, but Middle East tensions and higher fuel prices remained on firms' minds.

Key results (seasonally adjusted)

General business situation: +12 (Prev: +1)

Trading activity, past three months: +1 (Prev: 0)

Trading activity, next three months: +10 (Prev: +13)

Average selling prices, past three months: +37 (Prev: +23)

Average selling prices, next three months: +52 (Prev: +43)

The NZIER's June quarter survey of business opinion showed a modest lift in confidence as the tensions in the Middle East eased. Sentiment about the general business situation rose to a net 12% positive, compared to a net 1% in the March survey. However, the own-activity measures, which tend to have a closer correspondence with GDP growth, were little changed for the quarter.

As in the March quarter, the fast-moving events in the Middle East meant that the averages in this survey hide a lot. While the survey period ran from 10 June to 7 July, nearly all of the responses were received on two dates: on the 10th when the survey was sent out, and on the 17th after the signing of the Memorandum of Understanding between the US and Iran. For general business sentiment, early responses were a net 5% negative, while the second batch were a net 20% positive. With the renewed hostilities this month, the first batch of responses is probably more representative of where sentiment would stand if the survey was re-run today.

Other activity indicators were mixed. Investment and hiring intentions were less negative than in the March quarter, while profitability was expected to worsen further.

Conditions remain mixed across industries. Manufacturing remains relatively upbeat, buoyed by strong export sales, but respondents were more negative about the quarter ahead and noted a particularly large increases in their costs and sale prices. The building industry was a little more positive this quarter, but reported that they have continued to cut their prices despite soaring costs. Merchants (wholesalers and retailers) remained positive, but less so than last quarter.

The rise in fuel prices since March was clearly reflected in the pricing measures of the survey. A net 41% of firms reported raising their prices in the last quarter, up from 22% last quarter the highest reading since September 2023. In the next three months, a net 54% of firms intend to raise their prices, the highest since March 2023.

For the RBNZ, the implications of the survey are unclear. While it's not surprising that a number of firms would be looking to pass on the rise in fuel and other costs, the short horizon for the survey questions (three months ahead) means that it doesn't tell us a lot about the potential for second-round inflationary effects. And while the activity measures improved in some places, they don't really seem to support the RBNZ's assertion that the economy has been running stronger than they expected in their May MPS forecasts.

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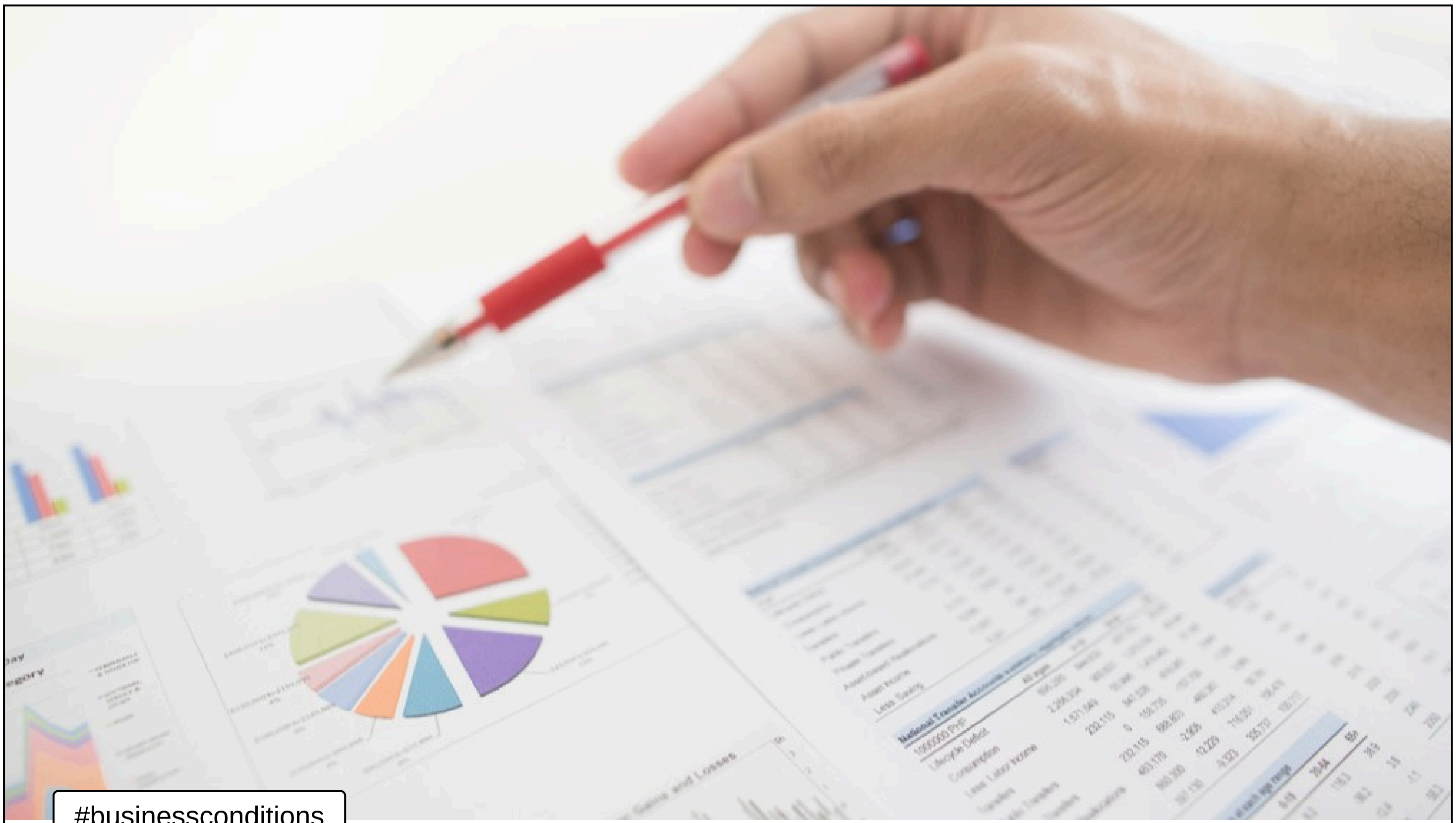

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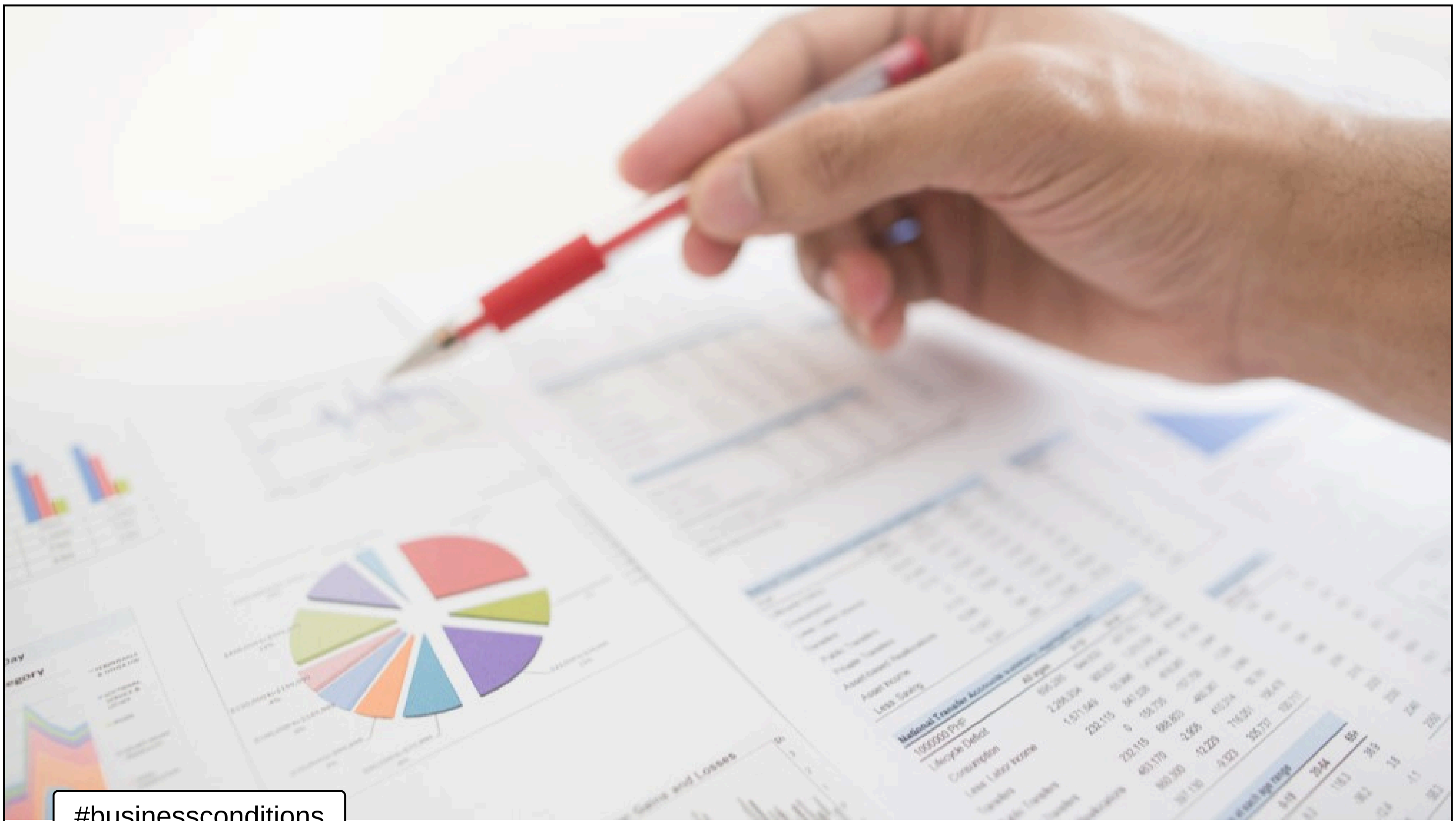

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Week beginning 13 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hawkish near term, cuts brought forward to 2027.

The Week That Was: Testing conditions.

Focus on New Zealand: From nail-biter to head-scratcher.

For the week ahead:

Australia: Westpac-MI Consumer Sentiment, business survey, inflation expectations.

New Zealand: selected price indices, retail card spending, house prices and sales, Q2 NZIER Survey of Business Opinion, RBNZ Chief Economist speaking.

China: Q2 GDP, retail sales, industrial production, fixed asset investment, trade balance.

Euro Area: industrial production, trade balance.

United States: FOMC Chair Warsh testifies before House & Senate, CPI, PPI, industrial production, UoM consumer sentiment, retail sales, regional manufacturing surveys, Federal Reserve's Beige Book.

Canada: BoC policy decision.

Information contained in this report current as at 10 July 2026.

RBA hawkish near term, cuts brought forward to 2027

Luci Ellis
Chief Economist, Westpac Group

- **Our conviction that the RBA will increase the cash rate in August has increased. Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.**
- We have published our July Market Outlook with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.
- We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined. Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.
- Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously. We still think the RBA will be "once bitten, twice shy" from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

"RBA remains hawkish and our conviction regarding a rate hike in August has increased."

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

Forecast changes

- **A full update to our forecasts, including the changes to our RBA cash rate profile and inflation discussed in this article, was published in the Market Outlook publication on July 10.**

Cliff Notes: testing conditions

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

Amid a sparse local data calendar, a speech from RBA Assistant Governor (Economic) Sarah Hunter was scrutinised but had little market impact. The speech focused on supply-side shocks, such as the Middle East conflict, and the conundrum it presents for dual-mandated central banks like the RBA.

Assistant Governor Hunter reiterated the RBA's perspective that these shocks are harder to 'look through' if economic capacity is already tight when the shock occurs, firms can readily pass through costs and/or inflation expectations de-anchor. While the latter is more of a risk than a reality at present, the RBA's take on recent data suggests concern over capacity and pass-through is warranted, particularly in the construction sector. This is why the Monetary Policy Board telegraphed in its June policy decision that rate hikes remain on the table despite their decision to pause at that meeting following three successive hikes. The future scale and pace of tightening will depend on how the risks around each of these factors evolves in coming months.

"The upcoming Q2 CPI will prove critical in understanding the best course."

In New Zealand, the RBNZ delivered a 25bp increase at their July meeting, taking the cash rate (OCR) to 2.50%. A key argument for the hike was concern that financial conditions would have eased further if the OCR was left unchanged. The MPC seems to be comfortable with an end-2026 level for the OCR circa 2.75%-3.00% – broadly in line with the May forecasts. Our New Zealand economics team expects follow-up 25bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. That means the peak OCR of 4.00% will now be reached in September 2027 instead of December.

Across in the US, the minutes of the June FOMC meeting showed participants felt a high degree of uncertainty over the outlook and wanted to consider a broad range of incoming information over successive months before determining if policy needs to be adjusted. Remaining on hold and removing previous forward guidance which favoured additional easing from the statement were consensus opinions.

On the balance of risks, the discussion amongst members points to a majority view that price risks had risen and labour market uncertainties receded since April. However, following June's decision, energy prices jolted lower and nonfarm payrolls growth moderated again. The disconnect between payrolls and household survey employment also continues to grow, the latter in outright decline. Growth in consumer demand is also materially below trend and looks set to remain soft, limiting the ability of firms to pass through cost increases. Still, price risks remain. Midweek, President Trump stated he believed the ceasefire with Iran was "over" but did not stop negotiators from continuing to engage. This followed strikes on around 80 Iranian military targets by the US in response to 3 ships being hit by projectiles in the Strait. Another 90 sites were hit in a second day of strikes, and Iran retaliated against US military assets in the region on both occasions.

President Trump has made clear he intends to order additional strikes in scale every time Iran threatens shipping on the Omani side of the Strait, which Iran has done to force shipping through the lanes it controls. A renewed blockade of Iranian cargo was also threatened by President Trump, with a view to increasing domestic pressure and restricting Iran's ability to sell oil into global markets. However, President Trump also felt this escalation would prove short lived. Brent oil rose close to USD81 initially but has since eased back to around USD76. This compares to a low of USD71 early in the week.

Data received in the US and elsewhere in the northern hemisphere this week was secondary in significance and broadly in line with recent trends. Most notable was the ISM services index which reported a deterioration in new orders but also a pairing of input price pressures and improvement in employment, albeit for the latter only to near the 20-year average after three successive contractionary readings.

China's headline and core inflation rates meanwhile stabilised around 1.0%yr in June as producer price inflation edged up to 4.1%yr. Weak domestic demand continues to limit Chinese firms' ability to pass through higher production costs, which have primarily been driven by energy prices. Excess capacity and cautious consumers are likely to restrict consumer inflation in the absence of targeted (and effective) fiscal support.

From nail-biter to head-scratcher

Michael Gordon
Senior Economist

The RBNZ kicked off a new tightening cycle this week, raising the OCR by 25bps to 2.50%. That went against our expectation of an 'on hold' decision, but analyst opinion was split going into the meeting and market pricing strongly favoured a hike. So the decision itself wasn't out of left field, but some of the reasoning behind it left us scratching our heads a bit. Ultimately, though, it amounted to a difference of opinion about timing rather than the direction of policy, and we've adjusted our OCR forecast track only by as much as needed.

In contrast to the 3-3 split vote at the May meeting (with Governor Breman casting the deciding vote in favour of no change), the decision this time was reached by consensus and hence no vote was required. That said, the summary record of the meeting suggests that the distribution of views with the Committee was much the same as in May: external members Gai, Gourley and Hansen remain on the hawkish side, while internal members Breman, Conway and Silk remain more dovish.

The RBNZ acknowledged that oil prices and inflation risks had receded significantly since the May meeting, although the effects of the oil price shock were expected to linger for some time. Meanwhile, the risks around the global growth outlook are now better balanced. With New Zealand inflation already above the target range, and with growth expected to gather momentum as the oil shock fades, the RBNZ concluded that it was time to start removing some of the stimulus that had been put in place last year.

As we discussed in our OCR preview, we felt that the sharp pullback in oil prices since the May meeting gave the RBNZ some breathing room to pause and assess the swathe of data that will be released between now and the 2 September Monetary Policy Statement (compared to the paucity of data releases ahead of this week's meeting). Following the May meeting, Governor Breman in particular had been emphasising the need to take a data-driven approach to assessing the extent of inflation pressures. But that element of patience was missing this time around.

A case for earlier tightening ...

There is certainly a case for an earlier start to hikes compared to the RBNZ's pre-war assessment in its February MPS. One is that global growth is looking perkier than expected, which in turn has been supporting demand for New Zealand's key exports. Indeed, the market consensus has been too downbeat on world growth for some time, through tariffs, wars, and any other perceived headwinds. Some of that reflects the ongoing surge in AI-related investment; supportively low interest rates have probably been a factor too.

Another reason is that, while many aspects of the oil price shock have reversed since May, the exchange rate is not one of them. The New Zealand dollar is lower than it was at the time of the May MPS, and even lower than it was in February. A lower dollar, if sustained, means higher prices for imports while providing an additional boost to exporters' incomes.

Finally, the March quarter CPI showed that even before the US-Iran conflict, inflation was not as well-contained as the RBNZ would have hoped. The headline inflation rate remained at 3.1%, while the various core measures were all on the higher side of the 2-3% target range. That's not a comfortable starting point if you expect that the economy will be gaining momentum in the years ahead, and it suggests that the RBNZ's February MPS projections (which implied a December start to hikes, and a very gradual path beyond that) were too benign.

... but perhaps not yet?

What surprised us the most is that the RBNZ was prepared to start tightening without waiting to see the June quarter inflation data (due on 21 July), which is the period when prices will be most affected by the oil shock. The record of meeting noted that "the recent shock in the Middle East may generate greater inflation persistence due to changes in firms' price setting behaviour". That seems somewhat speculative at this point, and it seems that some MPC members were more persuaded of this than others.

In that respect, we'll be very interested in RBNZ Chief Economist Conway's speech on Tuesday morning, titled "Finding signal in the inflation noise: oil shocks, price setting, and the path back to 2% inflation". The blurb notes that Conway will "share findings from [their] recent research on how rising costs shape business and household inflation expectations, and how these expectations influence price-setting behaviour across the economy." The speech is at the same time as the release of the NZIER's quarterly survey of business opinion, which will also shed some important light on firms' pricing behaviour.

Another reason given for this week's hike was that the economy has actually been running stronger than the RBNZ expected in its May MPS forecasts. This is a tenuous claim. As of the March quarter, the level of GDP is only 0.1% higher than the RBNZ expected, and much of that difference reflects upward revisions that go back several years. Stats NZ has revised up its estimates of the size of the housing stock; these houses in turn provide a flow of services to renters and owner-occupiers, which is included in GDP. That means this should be treated as an upward revision to both the actual and potential level of GDP, with no impact on the RBNZ's estimate of the output gap.

What about the forward-looking view? The record of meeting notes that the RBNZ's "Kiwi-GDP" nowcasting model currently predicts 0.6% growth in the September quarter, which compares to a forecast of just 0.2% in the May MPS. But this is conflating two different forecasts. The nowcast does not represent the RBNZ's official forecast, although it can be a useful guide to the direction of change as new data arrives. In this case, the RBNZ's nowcasts for both the June and September quarters have been largely unchanged over recent weeks – the flow of data has not 'surprised' the model on balance. (In the case of the September quarter, the lack of movement is not really surprising – we don't yet have any data relating to that period, so the nowcast at this point will largely reflect a reversion to the mean growth rate.)

Finally, the RBNZ contended that since the market had already largely priced in a July hike, not delivering on that would have led to a fall in interest rates and an easing in financial conditions that would have been "unwarranted". But it also noted that this follows a material tightening in financial conditions in previous months, which was presumably "warranted". Was it though? The run-up in interest rates over March and April was predicated on a much more alarming inflation outlook than what we face today.

Where to next?

Ultimately, this week's result came down to a difference of opinion about the appropriate timing. We had previously expected the RBNZ to begin tightening at its September review – with a fuller set of data in hand – followed by a series of hikes to reach a peak of 4% by the end of 2027.

We've now brought that profile forward. We expect two more OCR hikes this year, most likely at the September and December reviews. We note that the 28 October review falls ten days before the General Election, which is not in itself a reason for inaction, but it's an easy one to skip if the RBNZ feels comfortable that it already has a couple of hikes under its belt by that point.

Thereafter, we continue to forecast a peak OCR of 4% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting.

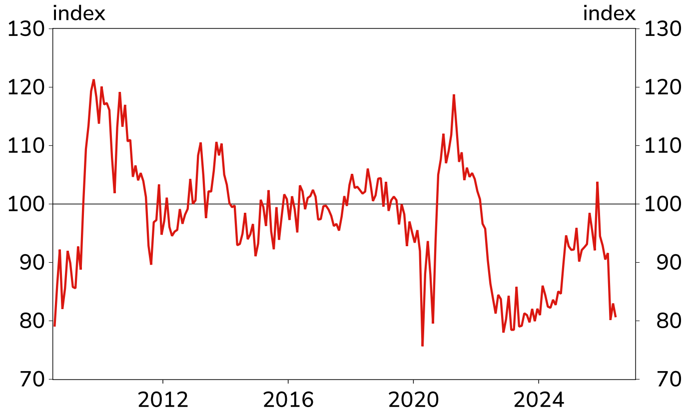
AUS: Jul Westpac-MI Consumer Sentiment (index)

Jul 14, Last: 80.6

Consumer sentiment declined 2.9% to 80.6 in June, remaining deeply pessimistic. The survey detail showed cost-of-living issues remain front and centre, the temporary halving in fuel excise tax providing only a small and brief reprieve.

The last month has seen some positive developments around the energy crisis with US and Iran agreeing to a ceasefire and a tentative reopening the Strait of Hormuz (albeit with a significant flare-up over the course of the survey week). Local pump prices have fallen to around $1.60/litre on average compared to $1.72/litre at the time of the June survey and well above $2 in March-April. This is despite a partial roll back in the fuel excise tax cut. Domestic news has been somewhat mixed, May updates showing the labour force relatively steady but inflation still elevated and a more material weakening in housing markets.

Consumer Sentiment Index



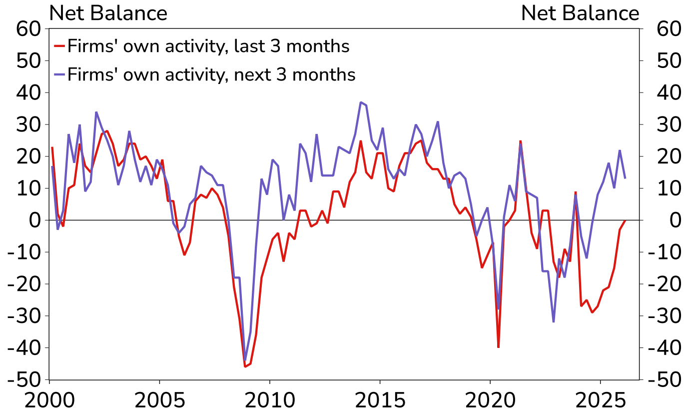
Source: Westpac-MI, Macrobond

NZ: Q2 NZIER Survey of Business Opinion (index)

Jul 14, General Business Confidence, Last: 1

The Q1 survey showed a marked fall in business confidence following the US-Iran conflict. However, the long survey period – from early March to early April – meant that the average results hid a lot, with later responses much weaker than early ones as the severity of the situation became clearer. Similarly, the survey period for Q2 will have straddled the peace agreement that was reached in mid-June, which means that a breakdown of the later responses would likely be more informative than looking at the averages. Probably of most interest to the RBNZ will be whether the survey points to any persistence in firms' pricing intentions even as oil prices receded back towards pre-conflict levels.

QSBO past vs expected activity



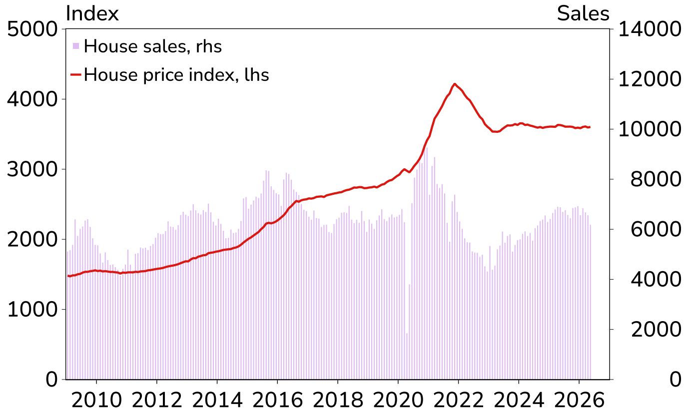
Source: NZIER, Stats NZ, Macrobond, Westpac Economics

NZ: Jun REINZ House Sales & Prices (%yr)

Jul 15, Sales, Last: –12.6; Prices, Last: –0.6

The housing market remained soft in May, with sales down about 6% for the month in seasonally adjusted terms, leaving them nearly 13% lower than a year ago. Rising mortgage rates have weighed on the market over recent months, and the US-Iran conflict and the resulting pressure on household budgets will also have prompted potential buyers to hold back. Some signs of relief on the latter front may have given the market some support in June, but we expect that turnover and prices will remain subdued through the second half of the year.

REINZ house sales and prices



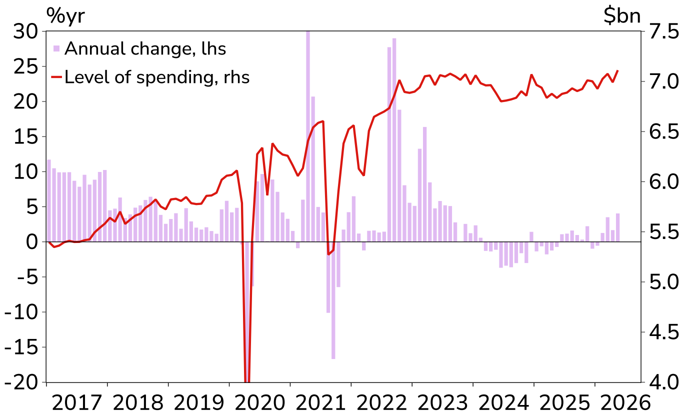
Source: REINZ, Macrobond, Westpac Economics

NZ: Jun Retail Card Spending (%mth)

Jul 15, Last: 1.7, Westpac f/c: 0.1

Retail spending has been choppy over the past couple of months, with large swings in fuel and discretionary spending categories in the wake of the Middle East conflict. We're forecasting a modest 0.1% rise in spending over June. Fuel spending has fallen sharply as prices have dropped. However, the related boost to households' disposable incomes is likely to lift spending in other categories. The broader 'total' spending category, which includes online purchases of items like airfares, is likely to show an even larger rebound after households delayed spending in these categories earlier in the year.

NZ retail card spending



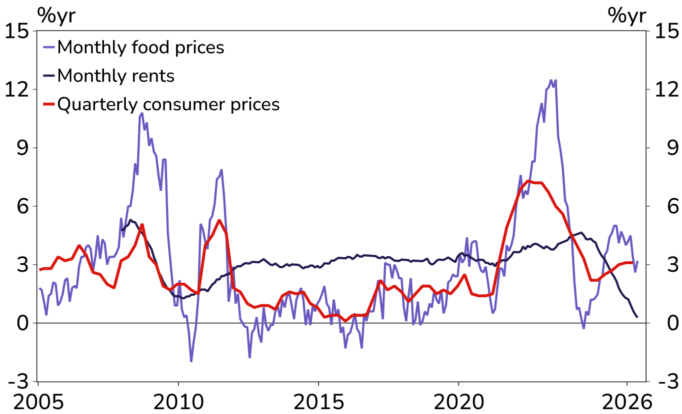
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Jun Selected Consumer Prices (%mth)

Jul 17

This will be the final monthly update before the full quarterly CPI on 21 July. Fuel costs have fallen sharply through the quarter, and as a result we recently revised our forecast for inflation in the year to June down to 4.0% (from 4.5% previously). We'll also be watching to see if there is broader softness in other travel related categories after both airfares and holiday accommodation costs were softer than expected last month. In the other big categories, we expect a 0.6% lift in food prices (boosted by the seasonal rise in vegetable prices), along with flat housing rents.

NZ selected consumer prices



Source: Stats NZ, Macrobond, Westpac Economics

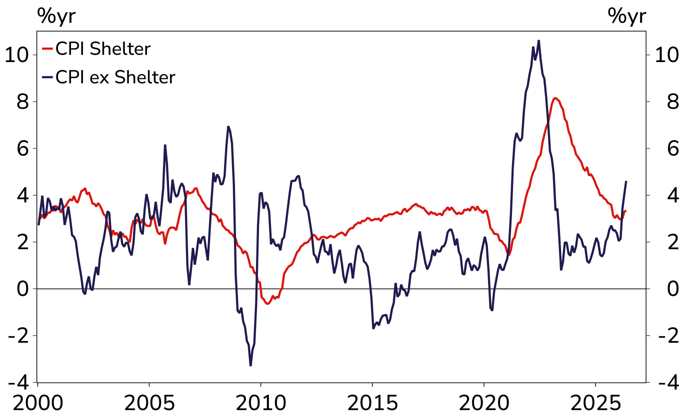
US: Jun CPI (%mth)

Jul 14, Last: 0.5, Market f/c: –0.1, Westpac f/c: flat

Energy price pressures saw an outsized increase in headline inflation in May, 0.5%. Core inflation remained moderate at 0.2%, however, with little-to-no evidence of secondary price effects in the data. Instead, core inflation was supported by housing and medical services.

In June, the sharp reversal in oil prices following the US/Iran memorandum of understanding will suppress headline inflation. Market participants will remain on the look out for pass-through to other components of inflation. Given the state of the US consumer, we expect this to be limited, with core inflation instead determined by domestic capacity constraints, most notably in housing. If the truce holds, annual inflation is likely to return near target over the coming 12 months.

Energy spike set to reverse



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13							
NZ	Jun	Performance Services Index	index	47.5	–	–	Services sectors have underperformed so far this year.
US		Fedspeak	–	–	–	–	Bowman, Waller.
Tue 14							
Aus	Jul	Westpac–MI Consumer Sentiment	index	80.6	–	–	Cost-of-living issues remain front and centre.
	Jun	NAB Business Conditions	index	3	–	–	Eyes on confidence as Middle East (tentatively) eases.
NZ		RBNZ Chief Econ Conway speech	–	–	–	–	"Oil shocks, price setting, and the path back to 2% inflation"
	Q2	NZIER Survey of Business Opinion	index	1	–	–	Indicators of pricing pressures will be especially important.
	May	Net Migration	no.	3090	–	–	Balance turning more positive as outflows of NZers slow.
Chn	Jun	Trade Balance	US$bn	105.43	120.35	–	Export performance is likely to remain resilient.
US	Jun	NFIB Small Business Optimism	index	95.3	95.5	–	Firms contend with higher borrowing costs and policy shifts.
	Jun	CPI	%mth	0.5	–0.1	0.0	Sharp reversal in oil prices will suppress headline inflation.
		FOMC Chair Warsh	–	–	–	–	Testifies before House Financial Services Committee.
		Fedspeak	–	–	–	–	Barr, Goolsbee, Cook, Bowman.
Wed 15							
NZ	Jun	REINZ House Prices	%yr	–0.6	–	–	Higher mortgage rates and soaring fuel prices ...
	Jun	REINZ House Sales	%yr	–12.6	–	–	... have dampened buyer enthusiasm in recent months.
	Jun	Retail Card Spending	%mth	1.7	–	0.1	Lower fuel prices supporting spending in other areas.
Jpn	May	Core Machinery Orders	%mth	8.7	–4.6	–	An important gauge of investment intentions and confidence.
Chn	Q2	GDP	%ann	5.0	4.5	–	Growth is expected to remain constrained by weak ...
	Jun	Retail Sales	ytd %yr	1.4	–	–	... domestic demand and ongoing challenges in the property ...
	Jun	Industrial Production	ytd %yr	5.4	–	–	... sector. Data will indicate need for further stimulus to ...
	Jun	Fixed Asset Investment	ytd %yr	–4.1	–5.0	–	... rebuild consumer confidence.
Eur	May	Industrial Production	%mth	0.1	0.3	–	Activity remains subdued as challenges persist.
US	Jul	Fed Empire State Manufacturing	index	5.7	8.6	–	Mixed manufacturing conditions across the US.
	Jun	PPI	%mth	1.1	–0.1	–	Watched closely for signals on upstream inflation pressures.
		FOMC Chair Warsh	–	–	–	–	Testifies before Senate Banking Committee.
		Fedspeak	–	–	–	–	Williams, Cook.
	Jul	Federal Reserve's Beige Book	–	–	–	–	A qualitative update on conditions across the regions.
Can		BoC Policy Decision	%	2.25	2.25	–	A cautious approach is warranted as excess capacity endures.
Thu 16							
Aus	Jul	MI Inflation Expectations	%ann	5.5	–	–	RBA watching closely for signs of persistence.
Kor		Bank Of Korea Policy Decision	%	2.50	–	–	Hike on the cards as domestic inflation ticks up.
Eur	May	Trade Balance	€bn	1.3	–	–	Lower energy prices and better external balances to come.
UK	May	Monthly GDP	%mth	–0.1	0.1	–	Activity has softened amid pressure from restrictive policy.
US	Jul	Phily Fed Manufacturing	index	10.3	15.0	–	Mixed demand and uncertainty regarding the outlook.
	Jun	Retail Sales	%mth	0.9	0.3	–	Consumption at risk of slipping below trend.
		Initial Jobless Claims	000s	215	–	–	Remain low by historical standards.
		Fedspeak	–	–	–	–	Musalem, Logan, Schmid, Jefferson.
Fri 17							
NZ	Jun	Selected Price Indices – Food	%mth	1.0	–	0.6	Seasonal lift in vegetable prices.
	Jun	Selected Price Indices – Rents	%mth	–0.1	–	0.0	Remains subdued with large numbers of homes available.
US	Jun	Import Price Index	%mth	1.9	–0.6	–	Useful indication of external cost pressures.
	Jun	Industrial Production	%mth	0.1	0.2	–	Activity remains uneven across sectors.
	Jul	Uni. Of Michigan Sentiment	index	49.5	51.3	–	Sensitive to inflation developments.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.43	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.47	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.89	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	33	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.83	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.52	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.59	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	3	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	162.36	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.4
USD/CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2053	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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Week beginning 6 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: China's greatest opportunity and biggest threat.

The Week That Was: On the minds of policy makers.

Focus on New Zealand: Keep calm and focus on the data.

For the week ahead:

Australia: RBA Assistant Governor Hunter speaking.

New Zealand: RBNZ policy decision, Matariki public holiday.

Japan: Household spending, current account balance.

China: CPI, PPI, new lending data.

Euro Area: Retail sales, PPI, Sentix investor confidence.

United States: FOMC minutes, ISM services PMI, existing home sales, initial jobless claims.

Information contained in this report current as at 3 July 2026.

China’s greatest opportunity and biggest threat

Elliot Clarke
Head of International Economics,
Westpac Group

- **The first half of 2026 has highlighted China’s industrial strength. Ahead, China’s greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.**
- **If authorities take the initiative and reset the consumer story, GDP growth at or above 4.5% can be sustained, even as the impetus from trade fades.**
- **Successfully holding Chinese GDP growth around 4.5% through 2028 should allow the Renminbi to sustainably appreciate back to 2022 and 2018’s, then short-lived, highs against the US dollar around USD6.30.**
- **The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand its sourcing network across Asia, Africa and Latin America. Australia is therefore unlikely to receive a material, sustained dividend from increased commodity volumes.**
- **However, if we lean into Asia’s development, our productivity and income prospects will grow, and our dollar strengthen.**

The first half of 2026 has highlighted China’s industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities’ strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China’s greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China’s monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025’s USD99bn and roughly triple 2019’s USD35bn. May’s 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn’t just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline.

With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

“the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. "

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors’ long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China’s industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth ‘at risk’. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

Cliff Notes: on the minds of policy makers

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

This week's RBA minutes provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, "increasing the cash rate target" will be considered if required.

Last week's speech from Deputy Governor Hauser shed more light on the RBA's thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA's successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. Cotality's latest home value index fell 0.4% in June, Sydney and Melbourne's correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing credit growth, evidence that the RBA's rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and tight supply will limit their scale.

Before moving offshore, a final note on trade. The goods trade balance surprised materially to the downside in May, flipping from a surplus of $1.4bn to a deficit of $3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June's result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from 2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the ECB's Sintra Forum on Central Banking, highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

Keep calm and focus on the data

Westpac New Zealand
Economics team

We expect the Reserve Bank of New Zealand (RBNZ) will leave the Official Cash Rate (OCR) unchanged at 2.25% at its 8 July policy meeting, while maintaining a data-dependent tightening bias. The Monetary Policy Committee (MPC) is likely to emphasise that future policy adjustments will depend on evidence of second-round inflation pressures, sustained wage growth, and rising medium- to long-term inflation expectations. In addition, signs that the economic recovery is gaining traction and that the output gap is narrowing will also be important considerations in determining when policy tightening becomes appropriate.

The RBNZ's communications are expected to retain language indicating that OCR increases are likely at upcoming meetings. However, this guidance will increasingly be framed as conditional, rather than indicative of a predetermined path. This shift is important, as it reflects the MPC's intention to re-anchor expectations around the flow of data, particularly after markets became overly focused on the prospect of a July rate hike following the May Monetary Policy Statement (MPS).

While it is notable that three MPC members voted in favour of a rate hike in May, developments over the past six weeks have significantly altered the economic backdrop. In particular, the easing of tensions in the Middle East and the associated sharp decline in oil prices have materially reduced inflation risks. As a result, it is entirely plausible that a formal vote on raising the OCR may not be required at the July meeting.

If a vote does take place, we expect only a small minority to support an immediate increase. It is unlikely that members who favoured holding rates in May will shift towards tightening at this stage. In addition, those who previously supported a hike may instead prefer to wait for the upcoming flow of key economic data before revisiting the case for higher interest rates at the September meeting.

A key objective for the RBNZ's communications at this meeting will be to redirect market attention towards upcoming data releases as the key determinants of future OCR decisions. The MPC is likely to use this opportunity to correct the perception that a July hike was effectively "pre-committed." Instead, the Bank will reaffirm that its forward guidance is conditional and responsive to evolving economic conditions.

Looking further ahead, we expect the RBNZ to continue signalling a path towards eventual policy normalisation, but with a recalibrated timeline. Prior to the war in the Middle East, the MPC's baseline view, as articulated in their February Statement, was for a single OCR increase no earlier than the end of 2026. Given that inflation remains above previous forecasts, the Bank may now indicate that the first increase could occur as early as September. However, this will likely be presented as a possibility rather than a certainty, with a clear emphasis on the need for supporting evidence.

The trajectory of tightening beyond the initial move is also expected to be gradual, particularly if second-round inflation pressures remain contained. And on that front, this week's business confidence survey showed that the number of businesses who are planning on raising prices has been dropping back again as oil prices have eased. This week's consumer confidence survey similarly showed that inflation expectations have dropped back to pre-Iran war levels. Evidence on persistent second round pricing pressures from oil prices now looks very thin indeed.

While consecutive rate increases from September cannot be ruled out, this scenario is unlikely to be presented as the central case. A slower pace of tightening would be more consistent with the gradual recovery in activity and less-worrying inflation outlook. Indeed, if incoming data point to weaker growth or if the detail of the June quarter inflation report (out on 21 July) is softer than expected, the start of the tightening cycle could be pushed back to December.

In terms of financial markets pricing, we anticipate some moderation in expectations for policy tightening over the remainder of 2026. Pricing is likely to converge towards one to two 25 basis point increases by year-end, with further adjustments contingent on the evolving data flow.

Arguments in favour of a July hike

Arguments in favour of an immediate rate hike have centred largely on interpretations of the May MPS as signalling a July move. However, we think that is a misinterpretation of what the RBNZ's projections intended to signal. While the RBNZ's May Statement did indicate that the OCR was expected to rise over the coming months, that was not a precommitment. The projected path for the OCR is always dependent on the evolution of economic conditions. Indeed, the Governor's remarks at the time deliberately emphasised uncertainty, noting that rate increases would depend on factors such as oil prices, the strength of growth, and evidence of persistent inflation pressures. Similarly, comments from Assistant Governor Silk have reinforced the message that all policy options remain on the table heading into the July review.

Other arguments for tightening include the recent depreciation of the New Zealand dollar, driven in part by widening interest rate differentials with other economies. While a weaker currency does add to inflation pressures, its persistence remains uncertain. Moreover, currency depreciation also supports the tradable sector and contributes to a rebalancing of the economy. As such, exchange rate movements alone are unlikely to justify an immediate policy response.

On the growth side, the easing of tensions in the Middle East is expected to provide some support to activity in the second half of 2026. Lower energy prices have improved the terms of trade and have already underpinned modest gains in business and consumer confidence. However, these improvements are unlikely to fully restore the more optimistic growth outlook presented in the February MPS. Survey evidence continues to point to weak momentum, with backward-looking indicators suggesting that the recovery remains in its early stages.

Arguments in favour of no change

In contrast, the case for holding the OCR steady is supported by several factors. Most notably, the sharp decline in oil prices (down around $40 /barrel since May) has significantly altered the inflation outlook. Oil prices are now well below the levels assumed in the RBNZ's May projections, and forecasts for inflation have been revised lower. We now expect CPI inflation will peak at 4% in the June quarter before slowing to 3.5% by the end of this year. That would be well below the 4.1% rate the RBNZ assumed for year-end inflation in its May MPS projections.

Furthermore, with lower oil prices and near-term inflation, the risk of higher fuel costs passing through to a broader uplift in inflation pressures is also lower. That risk was a key concern highlighted by MPC members who voted for a hike in May. Measures of shorter-term inflation expectations have eased as energy prices have declined. Similarly, the labour market remains relatively soft, limiting the risk of wage-driven inflation.

Crucially, a substantial amount of new data will become available between the July and September meetings. This includes the June quarter CPI, business surveys, labour market indicators, and key measures of inflation expectations. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action, we suspect even more hawkish MPC members will now be content to see what this data reveals.

Economic activity also appears to have been subdued in the June quarter, with most indicators pointing to little or no growth. This suggests that the output gap may have widened, reinforcing the case for patience.

Globally, expectations for further interest rate increases have also moderated, with many central banks adopting a more cautious stance. This international backdrop supports a more measured approach by the RBNZ.

Scenarios

The most likely outcome remains a balanced approach that retains a tightening bias while underscoring data dependence. However, more hawkish and dovish possibilities exist including:

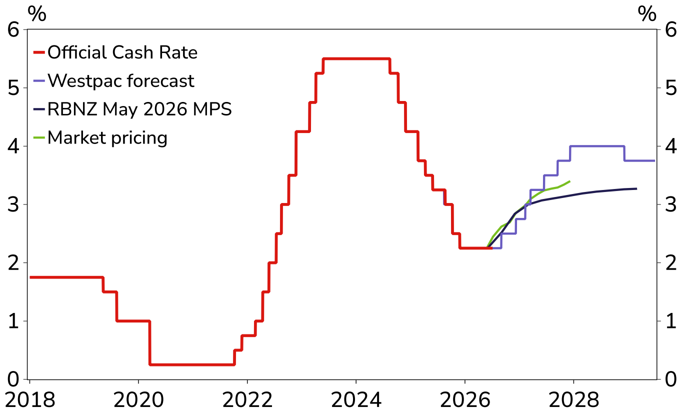
- A hawkish scenario where the OCR is increased and language suggesting the RBNZs views haven't shifted much. In such circumstances, markets would assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. The press statement could note that evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and that such evidence is lacking at this stage. This is more plausible and we attach a 30% probability to this scenario.

NZ: RBNZ Monetary Policy Review

July 8, Last: 2.25%, Westpac: 2.25%, Market: 2.50%

We expect the RBNZ to leave the OCR at 2.25% at its 8 July Review. Much has changed over the past six weeks, most notably oil prices have fallen much more rapidly than expected. The related moderation in inflation pressure gives the RBNZ more time to wait-and-watch how the economy is tracking, especially with a large amount of important economic data to be released after the July review. Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the May Statement. While three MPC members had voted for a rate hike in May, we think the "on hold" decision may well be reached by consensus.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
Aus	Jun	MI Inflation Gauge	%ann	4.4	–	–	Provides a general gauge of inflation pressures.
	Jun	ANZ–Indeed Job Ads	%mth	1.8	–	–	Indicative of broadly stable labour demand.
NZ	Jun	ANZ Commodity Prices	%mth	0.7	–	–	Favourable supply and demand conditions supporting prices.
Eur	Jul	Sentix Investor Confidence	index	–13.4	–	–	Better news on US-Iran should support a recovery.
	May	PPI	%ann	4.9	–	–	Upstream price pressures mounting across Europe ...
	May	Retail Sales	%mth	–0.4	0.3	–	... and consumers are starting to feel the pinch.
US	Jun	S&P Global Services PMI	index	51.3	51.3	–	Final estimate.
	Jun	ISM Services PMI	index	54.5	54.1	–	Activity burgeoning, employment rising, prices surging.
Tue 07							
Jpn	May	Household Spending	%ann	–0.5	–2.3	–	Still in decline despite solid real wage gains.
US	May	Trade Balance	US$bn	–55.9	–78.7	–	US upped oil exports materially in recent months.
Wed 08							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter speaking at 11:00am AEST.
NZ		RBNZ Policy Decision	%	2.25	2.50	2.25	RBNZ to hold the OCR but signal data-dependent rate rises.
Jpn	May	Current Account Balance	¥bn	3908	4120	–	Surplus strengthening underneath usual seasonal noise.
US	May	Wholesale Inventories	%mth	0.3	0.3	–	Final estimate.
	Jun	FOMC Minutes	–	–	–	–	Will provide more colour on the Committee's deliberations.
	May	Consumer Credit	$bn	20.7	17.5	–	Credit flowing against a backdrop of income pressures.
Thu 09							
NZ	Jun	Manufacturing PMI	index	49.9	–	–	Business conditions starting to firm as oil prices have dropped.
Chn	Jun	CPI	%ann	1.2	1.1	–	Consumer inflation benign despite pressure from Middle East ...
	Jun	PPI	%ann	3.9	4.1	–	... aiding much-needed discretionary spending capacity.
	Jun	New YTD Loans	CNYbn	9110	11110	–	Credit growth softer than last year as domestic demand ...
	Jun	M2 Money Supply	%ann	8.6	8.4	–	... struggles to gain momentum note data due 9–15 July.
US		Initial Jobless Claims	000s	215	218	–	Still at low levels versus history.
	Jun	Existing Home Sales	%mth	3.2	0.9	–	Elevated mortgage rates keep sales volumes range-bound.
Fri 10							
NZ		Matariki Public Holiday	–	–	–	–	Public holiday, markets closed.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (3 July)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.39	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.41	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.80	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	32	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.48	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.73	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.39	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.45	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–4	–10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (3 July)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6940	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5697	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.19	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1444	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3365	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7813	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2147	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	–	–	–	–
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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2 JUL 2026

WESTPAC-DATAX CARD TRACKER

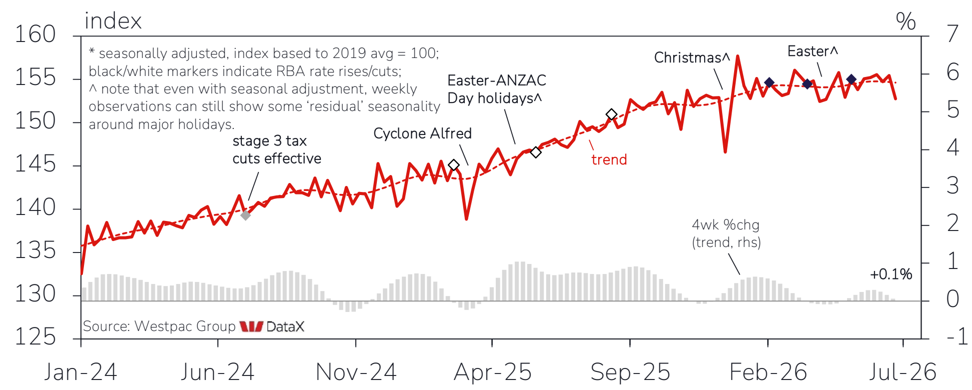
Powered by DataX

Card activity still looking very subdued

- The **Westpac-DataX Card Tracker Index*** moved sideways through late May and most of June, declining sharply in the latest week. At 152.8, the Index read for the week ending June 27 is 2.3pts lower than month ago and on a par with Easter lows.
- The softening reflects a mixture of lower fuel prices and continued weakness in non-fuel spending.
- Quarterly growth momentum has seen a further slowing to around 0.2% in the most recent week, down from the 0.5% pace a month ago. This compares to a 1.3% pace seen in Q1 and the 2% average over the second half of 2025.
- Despite the pull back in the latest week, the monthly and weekly data suggest there has been a slight improvement in momentum since the start of June. This likely reflects some easing in budget pressures as fuel prices have declined.
- At a broad category level, the slight improvement in recent weeks has centred on discretionary segments, services in particular. Growth across essentials has dipped into slight negative, partly due to lower fuel prices rather than weaker volumes. Some of the pick-up in discretionary may also be price-related.
- By state, both the slowing in momentum compared to a month ago and the slight lift in recent weeks have been fairly broad based. Activity has been weaker in NSW where consumer-related card transactions are contracting at a 0.4% quarterly pace with a much more muted lift over the last month. Notably, Victoria is now seeing gains more in line with the pace nationally, having underperformed materially over Q4 and Q1.
- While there are still a few days of transactions and potential revisions to come, the latest figures suggest Q2 is headed for a subdued 0.2%qtr gain in nominal consumer-related card activity. That in turn points to a likely decline in real, inflation-adjusted terms. The broader consumption measure in the national accounts will get some additional positives. In particular, vehicle sales, which are undercovered in the card data, look to have posted a robust 5%qtr gain in Q2. But at this stage the risks to our forecast of a flat result for real spending look tilted slightly to the downside.

"…. Q2 is headed for a subdued 0.2%qtr gain …"

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.
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Email: economics@westpac.com.au
This issue was finalised on 3 July 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

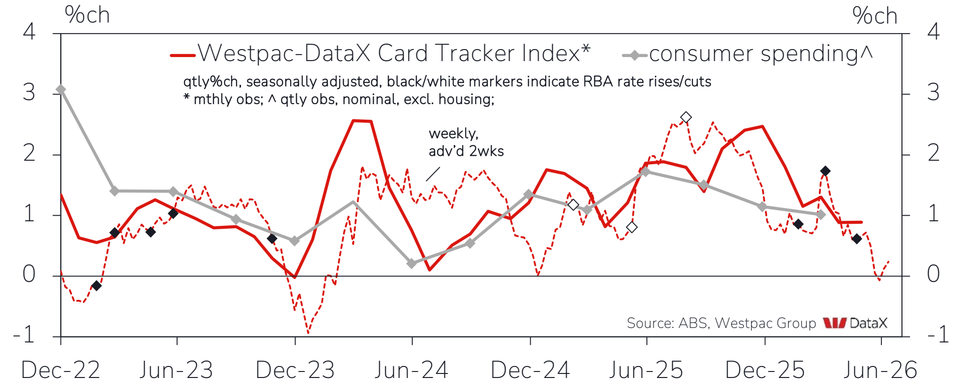
Quarterly momentum stalls but partly due to lower fuel prices

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a further moderation since early June, dropping to just 0.2% in the latest week, down from 1.3% in Q1. This is the slowest pace since the start of 2025, and prior to that, since the start of 2024.
- The same growth rate excluding fuel is 0.3%qtr, a slightly firmer pace with the slowdown on this measure coming through more in May than June.
- The implication is that some of the more recent softening in quarterly growth is due to a price-driven slowing in fuel spend. The latest weekly updates point to monthly growth holding about flat. Fuel price effects are likely to turn positive again as the temporary fuel excise tax cut is reduced from July 1.
- The ABS household spending indicator recorded a 1.3%mth rise in May, fully reversing April's –1.1%mth fall but broadly in line with the signal from our card tracker (see here).
- The June update, including estimates of real spending for Q2 will be released on August 4.

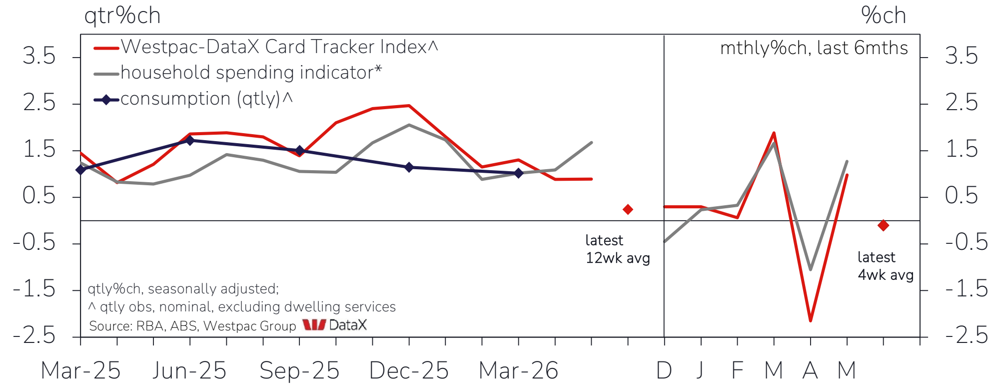
qtly%ch	Q3	Q4	Q1	latest^
Westpac–DataX Card Tracker	**1.4**	**2.5**	**1.3**	**0.2**
ABS monthly household spending indicator*				
Nominal	1.1	2.1	1.0	1.7
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.5	1.1	1.0	n.a.
Real	0.5	0.4	0.5	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



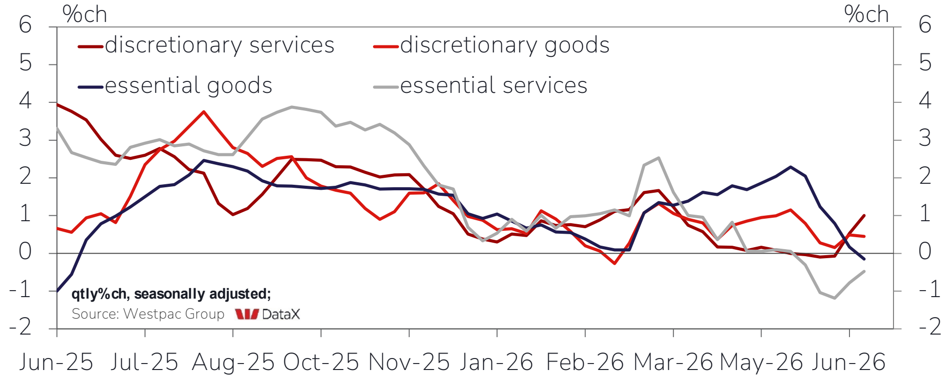
Essentials contract, discretionary perks up a little

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown since Q1 has been fairly broad-based but slightly more pronounced for essentials which have seen quarterly growth dip into negative (noting that for essential goods that this is partly due to the uwnwinding fuel price spike).
- Discretionary categories have also seen growth moderate. However, momentum has perked up a little in recent weeks, particularly for the discretionary services segments. The sub-category detail here points to slightly firmer tone to travel and hospitality spend. Note that this may also be partly a price story.
- Chart 5 shows card activity across the major states. Again the picture is of a broad-based slowing since Q1. NSW has posted a slightly more pronounced moderation with quarterly growth now weak at –0.4%qtr. This compares to flat growth in Queensland and South Australia and slight positives in Victoria (+0.3%qtr) and Western Australia (+0.4%qtr).
- Card activity is notably firmer in Victoria compared to the lows in late 2025/early 2026 when the state was a marked underperformer. South Australia has also improved in a relative sense although growth is a touch weaker in absolute terms.

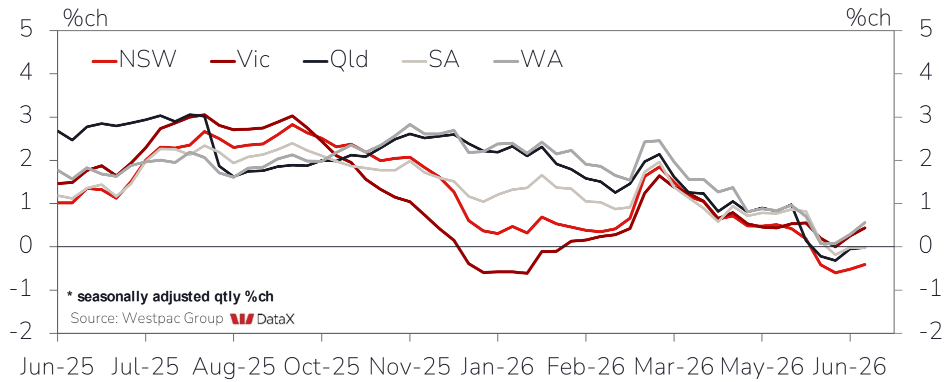
	Mar	Apr	May	27/6
Westpac–DataX Card Tracker	**157.4**	**154.0**	**155.5**	**152.8**
By category				
– discretionary*	156.4	153.8	157.1	155.6
– essential*	155.9	151.5	151.2	147.3
By state				
– NSW	149.1	148.8	149.0	147.4
– Vic	147.7	144.3	146.2	145.7
– Qld	169.4	168.9	169.1	168.4
– WA	172.1	169.9	172.1	171.1
– SA	165.5	162.1	163.6	159.8

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

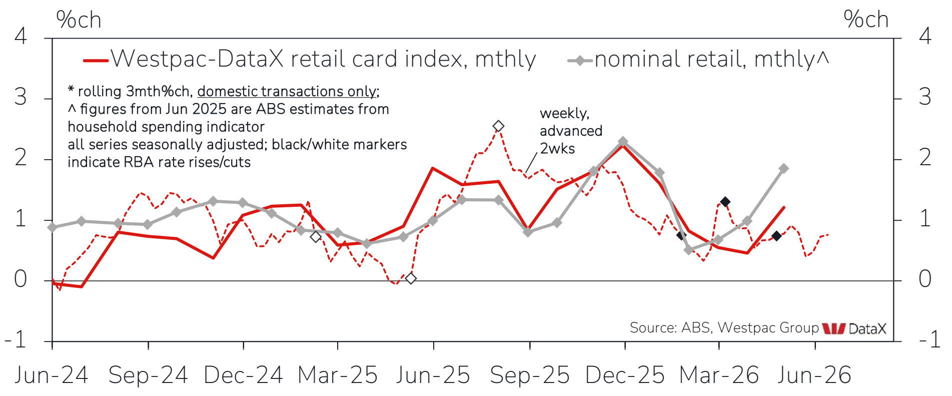


Retail segments faring slightly better than others in May

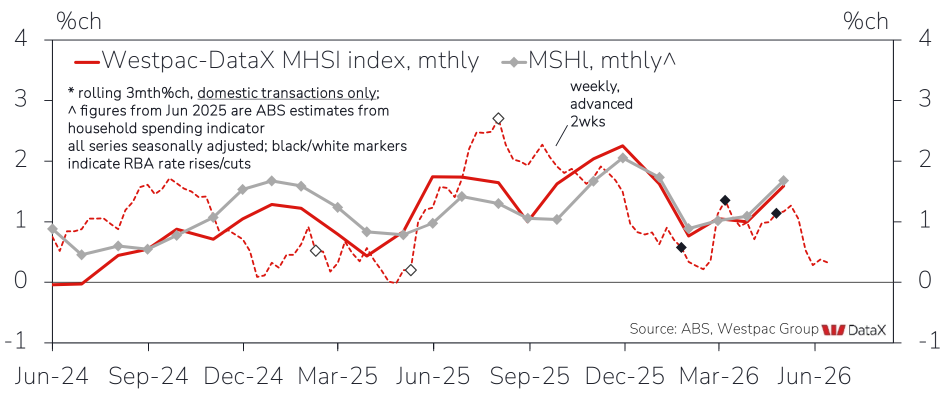
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures show quarterly momentum slowing with retail outperforming wider measures of spending slightly. Note that fuel spend is in-scope for the MHSI measures but out of scope for the retail card index.
- As noted, the latest ABS MHSI showed a 1.3% rise in May, quarterly growth lifting to 1.7%qtr.
- Our MHSI index had the quarterly pace running at 1.7% in May, the latest weekly read point to an abrupt slowing to 0.3%qtr in June. That points to a significant pull-back in the June month. While much of that reflects lower fuel prices, our retail index suggests retail components have also moderated in the month.
- Note that compared to our wider WCTI index, these measures exclude electricity, education, insurance and other services as well as international transactions. The ABS MHSI also includes separate data on new vehicle sales.

	Mar	Apr	May	27/6
MHSI card index	**154.6**	**152.1**	**153.4**	**150.7**
– qtly%ch	1.0	1.0	1.6	0.3
– qtly, ann%ch	6.2	6.1	6.2	4.9
ABS MHSI				
– %ch	1.7	-1.1	1.3	n.a.
– qtly%ch	1.0	1.1	1.7	n.a.
– qtly ann%ch	5.4	5.6	5.4	n.a.
Retail card index	**152.3**	**151.8**	**154.4**	**151.8**
– qtly%ch	0.6	0.5	1.2	0.8
– qtly, ann%ch	5.6	5.3	5.6	5.1
ABS retail sales				
– %ch	1.2	-0.6	-0.4	n.a.
– qtly%ch	0.7	1.0	1.9	n.a.
– qtly ann%ch	4.8	5.0	4.8	n.a.

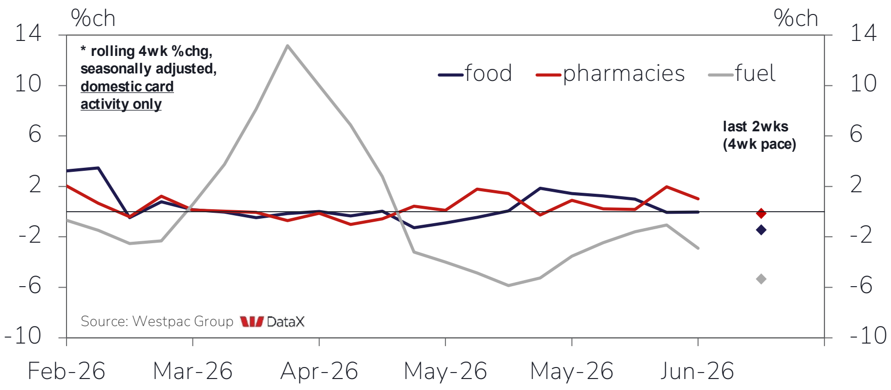
6. Card activity: retail



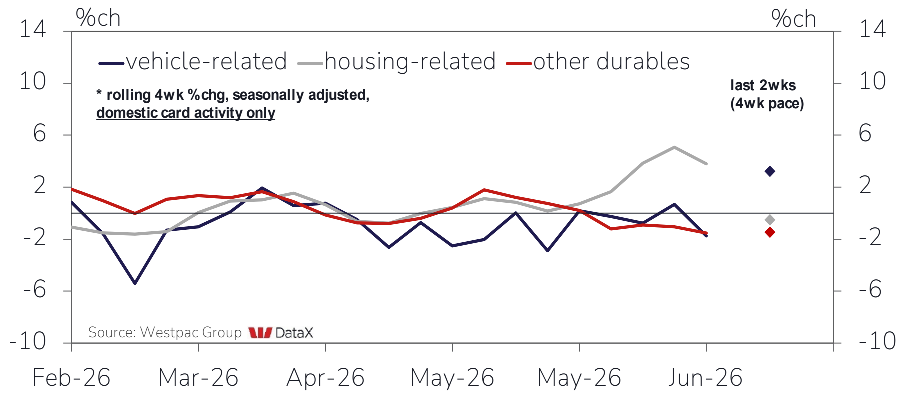
7. Card activity: MHSI measures



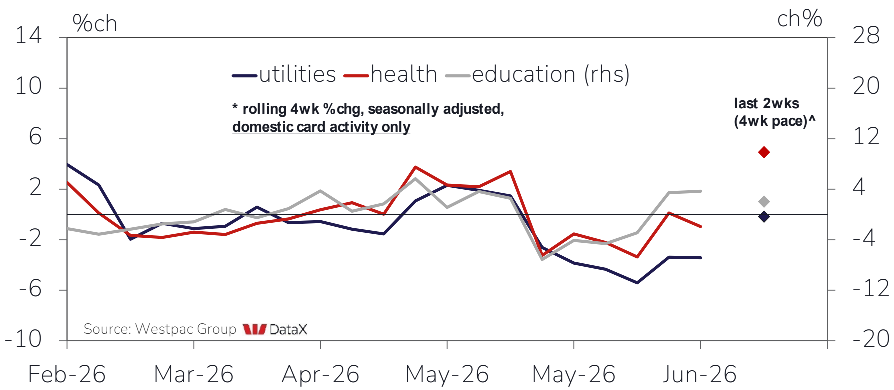
12. Card activity: essential goods



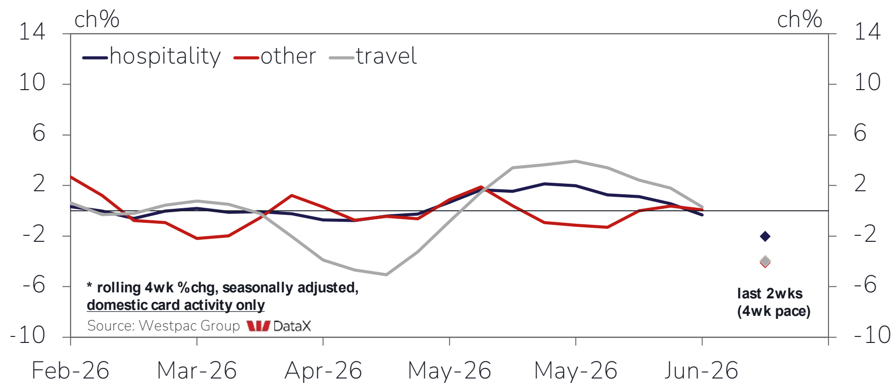
13. Card activity: discretionary goods



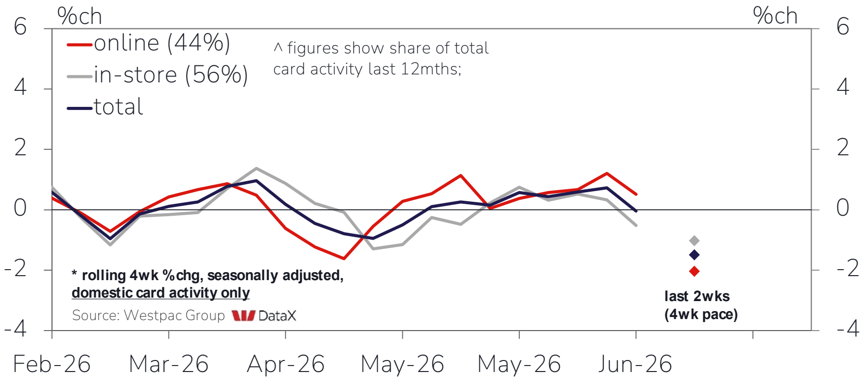
14. Card activity: essential services



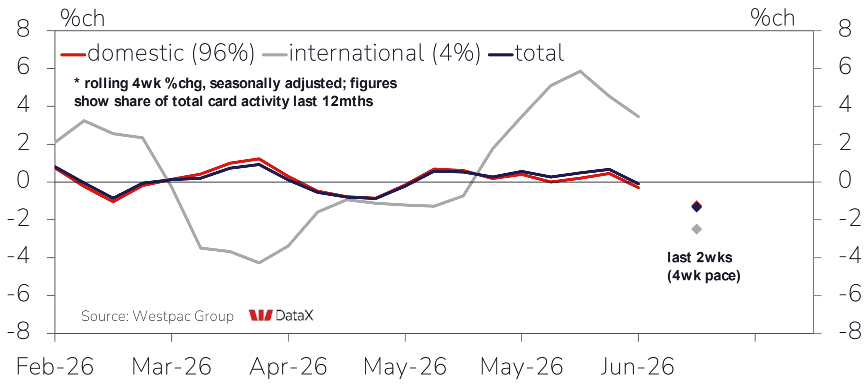
15. Card activity: discretionary services



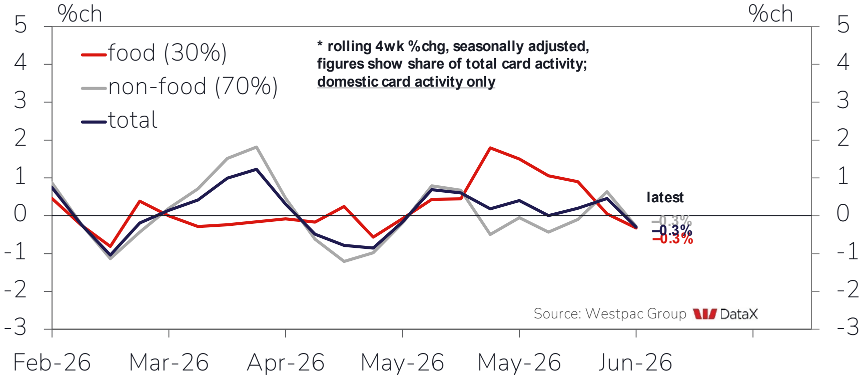
16. Card activity: online and in-store



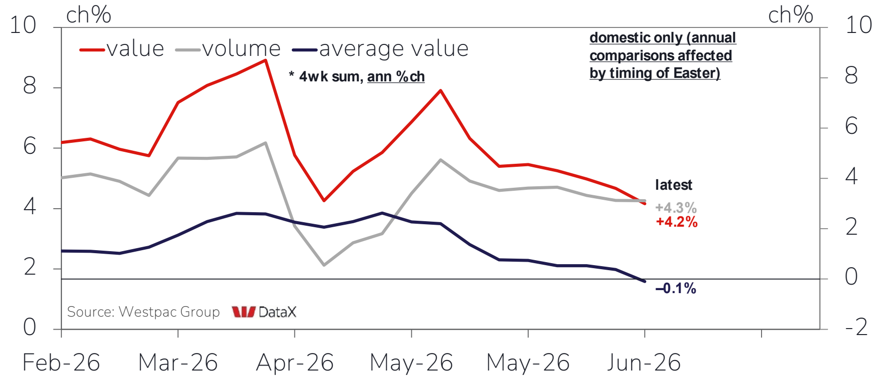
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

	2024			2025				2026				week ending:			
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Mar	Apr	May	6/6	13/6	20/6	27/6
Westpac–DataX Card Tracker Index	**140.2**	**141.2**	**142.9**	**145.0**	**147.7**	**149.7**	**153.4**	**155.4**	**157.4**	**154.0**	**155.5**	**155.6**	**154.7**	**155.5**	**152.8**
qtly%ch	0.7	0.7	1.2	1.4	1.9	1.4	2.5	1.3	1.3	0.9	0.9	0.0	-0.1	0.1	0.2
qtly, ann%ch	4.2	4.0	5.3	4.1	5.3	6.1	7.4	7.2	7.2	6.8	6.4	5.7	5.5	5.4	5.3
By category															
– discretionary	141.6	143.1	145.5	146.2	149.3	151.2	155.4	156.0	156.4	153.8	157.1	158.1	157.1	159.0	155.6
– essential	137.8	138.0	138.4	141.6	143.6	145.9	148.4	151.7	155.9	151.5	151.2	150.7	149.8	149.6	147.3
services	145.5	147.6	150.4	153.2	156.4	159.9	164.3	166.2	166.2	161.8	164.7	167.0	165.4	166.6	164.1
– discretionary services	148.0	151.0	154.5	155.1	158.7	161.2	166.3	166.9	166.5	162.3	166.5	170.2	167.9	170.1	167.1
– essential services	141.8	142.8	144.7	150.5	153.1	157.9	161.3	165.3	165.7	161.2	162.2	162.5	161.8	161.6	159.7
goods	135.1	134.9	135.2	136.4	138.4	139.3	141.9	143.8	147.8	145.2	145.6	144.1	143.7	144.4	141.4
– discretionary goods	134.8	134.7	136.0	136.7	139.3	140.5	143.7	144.5	145.5	144.7	147.2	145.2	145.6	147.2	143.4
– essential goods	135.4	135.1	134.6	136.1	137.7	138.4	140.3	143.2	149.8	145.6	144.2	143.2	142.2	142.0	139.7
MHSI card index*	140.0	140.8	142.3	143.4	145.9	147.3	150.7	152.2	154.6	152.1	153.4	152.9	152.3	154.0	150.7
qtly%ch	0.3	0.5	1.0	0.8	1.7	1.0	2.3	1.0	1.0	1.0	1.6	0.5	0.3	0.4	0.3
qtly, ann%ch	3.3	3.2	4.6	2.7	4.2	4.7	5.9	6.2	6.2	6.1	6.2	5.6	5.3	5.0	4.9
retail card index*	140.0	141.1	142.6	143.4	146.1	147.3	150.6	151.5	152.3	151.8	154.4	153.6	153.5	153.9	151.8
qtly%ch	-0.3	0.7	1.1	0.6	1.9	0.8	2.2	0.6	0.6	0.5	1.2	0.4	0.5	0.7	0.8
qtly, ann%ch	2.6	2.9	4.1	2.1	4.3	4.4	5.6	5.6	5.6	5.3	5.6	5.4	5.3	5.1	5.1
By state															
– NSW	135.7	136.4	138.5	139.6	142.4	144.2	148.2	148.6	149.1	148.8	149.0	149.9	148.4	149.7	147.4
– Vic	134.6	135.8	136.9	138.2	139.8	142.8	144.8	146.1	147.7	144.3	146.2	148.6	148.2	148.9	145.7
– Qld	148.9	151.0	153.2	154.8	159.4	162.3	167.8	168.7	169.4	168.9	169.1	171.2	170.2	170.8	168.4
– WA	148.7	151.1	153.4	156.5	159.7	162.8	167.8	170.4	172.1	169.9	172.1	175.5	176.1	174.3	171.1
– SA	146.9	147.8	149.9	152.2	154.4	157.3	160.3	162.0	165.5	162.1	163.6	163.9	161.8	164.2	159.8

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

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July 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

WESTPAC MARKET OUTLOOK
July 2026

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NB: Quarterly forecasts for commodities on page 26 are now reported on a quarter-average basis. Forecasts on an end-of-quarter basis will be made available the week after Market Outlook is published.

Vibe check

Shortly after our last *Market Outlook* went to print, the US and Iran signed a memorandum of understanding that set the terms for a formal ceasefire, gave the green light for shipping traffic to resume through the Strait of Hormuz and, among other concessions, established a framework for further negotiations on pricklier issues, including Iran's nuclear capability. Markets embraced the shift, taking crude oil futures all the way back to pre-conflict levels, bond market rallying and 'risk' assets picking up steam. It was unlikely to all be smooth sailing, however.

As we go to press, the situation is looking much more combustible – Iran attacking ships navigating the Strait of Hormuz along the Omani coast and the US responding with multiple rounds of strikes against Iranian military assets and revoking the sanction waiver that had allowed Iran to sell oil legally on the open market. Whether this marks yet another short-lived 'tit-for-tat' or the early stages of a complete unravelling remains to be seen. For now, these developments have served as a bit of a 'vibe check' for markets which have given back part of their early optimism but stopped short of pricing in the risk of a sustained re-escalation.

The Middle East remains the through-line for the global outlook, but underneath that layer of uncertainty are numerous local subplots that policymakers are having to grapple with. In China, the benefits from robust industry and trade are still showing a limited flow through to households, meaning more pro-active stimulus is likely later this year. In the US, the market's conviction over Fed rate hikes remains questionable given labour market weakness that is being masked by a volatile path for monthly payrolls. Meanwhile, the UK is set to usher in Andy Burnham as its seventh Prime Minister in ten years who will inherit the perennial task of trying to revive productivity growth and restore the uptrend in real incomes.

Closer to home, the RBNZ kicked off its tightening cycle with a 25bp rate hike in July, with more to come over this year and next as policymakers look to lean against inflation pressures. Recent communications from the RBA have increased our conviction for an August rate hike, though the need for a follow-up in September will depend crucially on how the inflation data and Middle East situation evolves over the coming weeks and months.

Australia: The full effects of the global energy shock will become more evident with the release of official June quarter data in coming weeks. Policymakers can usually 'look through' the price effects from small, short-lived supply shocks but with Australia coming into the shock with inflation already above the 2–3% target band, the RBA is much more alert to upside inflation risks. We expect the June quarter data to be troubling enough for the RBA deliver two additional rate hikes through 2026, with policy easing unlikely to begin until the second half of 2027, once it is clear that inflation is back on a sustainable path back towards target.

Commodities: Commodity prices fell sharply in June as markets responded to the US–Iran memorandum of understanding and the reopening of the Strait of Hormuz. Our broadest commodities index declined 3.2%mth, with oil leading the sell-off and coal the notable exception. Reflecting recent dynamics, we have revised our September quarter average Brent forecast lower to US$83/bbl.

Global FX Markets: The past month, participants have shown less concern over global oil supply while holding on to the belief that US economic risks are asymmetrically skewed towards inflation, warranting action from the FOMC.

New Zealand: An unexpectedly rapid decline in oil prices has improved both the near-term growth and inflation outlook in New Zealand. Weighing up these competing influences on the medium-term inflation outlook, the RBNZ decided to begin moving the OCR back to neutral levels this month. Further rate hikes seem likely over coming meetings, but the exact timing will be data and event dependent.

United States: With the three-month average of payrolls growth above estimates of current labour supply, participants are still wary of further policy tightening. But a holistic take of the labour market suggests this is unlikely.

China: The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Asia: Despite a softer growth outlook, we expect the BoJ to raise rates to 1.5% by mid-2027. Inflation expectations have become more entrenched, nominal wage growth remains strong and productive capacity is improving. However, uncertainty around neutral should see policy normalisation proceed gradually.

Europe & UK: UK remains politically divided and its economic stagnation is fuelling political instability. Without stronger growth, higher living standards and improved public finances, the next government risks repeating the same cycle of public frustration and leadership turnover.

Fragile calm fractures ...

Luci Ellis
Chief Economist, Westpac Group

Consistent with a general tendency to fade geopolitical risk, markets leant into the positive signal of the US–Iran agreement struck in mid June. As negotiations proceeded and evidence of a recovery in traffic through the Strait of Hormuz emerged, oil prices returned to around pre-war levels. Market pricing also implies that this lowered near-term inflation expectations as well as those further out. This flowed through to bond yields, with 10-year benchmarks declining over the second half of June.

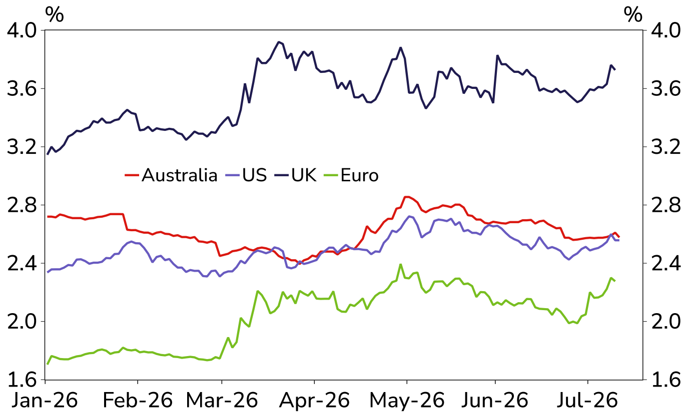
We have flagged for some time that even with a ceasefire agreement in place, the Middle East conflict could flare up periodically. This risk has crystallised in recent days, with both sides unleashing missile attacks and shipping being targeted. Oil prices have bounced back, up 6% over the past week as we go to press. Inflation expectations implied by financial market pricing have increased along the curve with nominal bond yields moving accordingly, up 20–30bps since end-June in the major markets. An interesting exception that probably relates more to the illiquidity of the market than an explicit view is that the near-term (1 year) inflation expectations implied by swaps for Australia has not risen, even though the equivalent measures for major markets have done, as have implied inflation for Australia further out (1-year, 1-year forwards and beyond).

The expected policy reaction to the latest flare-up has been somewhat muted by comparison. Market pricing for end-2026 policy rates is up only a little since end-June, around 5bps for major markets, compared with around double that for swaps-based measures of inflation expectations. It should be emphasised that the policy outlook reflects a broader context than inflation shocks emanating from energy prices alone.

In particular, the outlook for Fed policy had been re-rated already in mid-June following the FOMC meeting and publication of members' forecasts (other than new chair Kevin Warsh). We have long been of the view that the previously expected cuts to the Federal funds rate were overdone given the structural and policy-driven constraints on supply capacity in that economy, especially labour supply. Core inflation remains materially above target in the US and looks to remain so for some time yet. A slim majority of members now expect one rate increase this year; we expect the current uncertainty to stay the FOMC's hand for a bit longer. We also now expect the Bank of England to remain on hold for the remainder of the year, while the ECB is likely to deliver one more hike still.

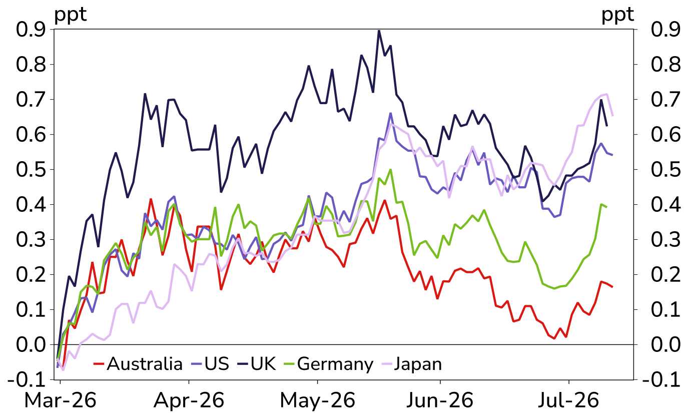
Currency markets have also responded to the recent flare-up in hostilities in the usual way, with the USD picking up a little and risk currencies such as AUD ticking down. Shifts in rates differentials have also played a role in these movements.

1-year-1-year fwd Inflation Expectations (Swaps)



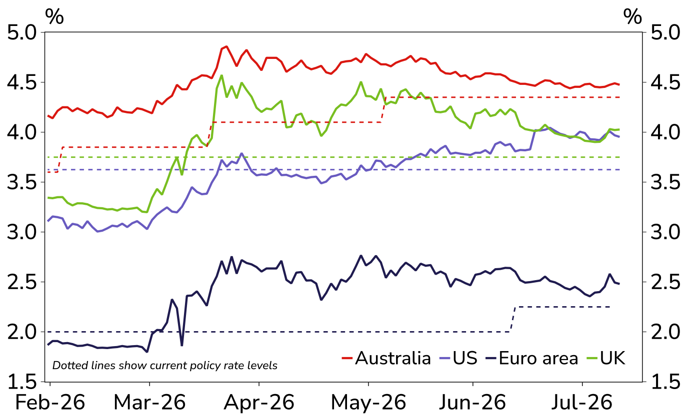
Source: Bloomberg, Macrobond, Westpac Economics

Change in 10-year bond yields since war started



Source: Bloomberg, Macrobond, Westpac Economics

Market-implied policy rates for December 2026



Source: Bloomberg, Macrobond, Westpac Economics

... while RBA finds reasons to be hawkish

The RBA kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication noted that policy tightening was affecting the economy broadly as expected.

The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend.

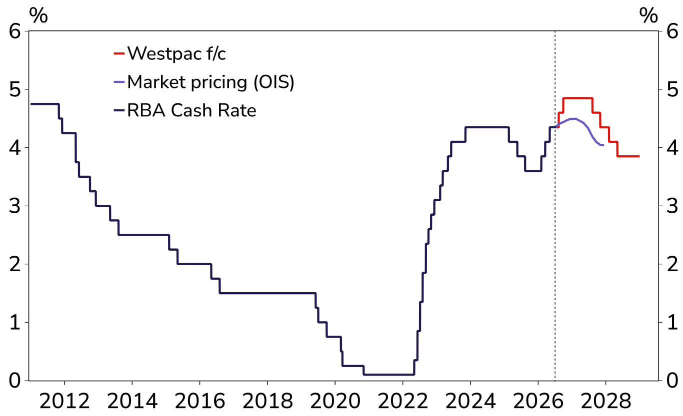
The near-term path for the RBA nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen. The post-meeting communication added language stating that the Monetary Policy Board (MPB) stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess that further (mostly policy-driven) shocks are possible in the period ahead.

By contrast, our conviction around the follow-up hike in September has declined. We are seeing some pull-back in inflation momentum, which suggest that underlying inflation will not exceed the RBA's May forecasts in H2 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all.

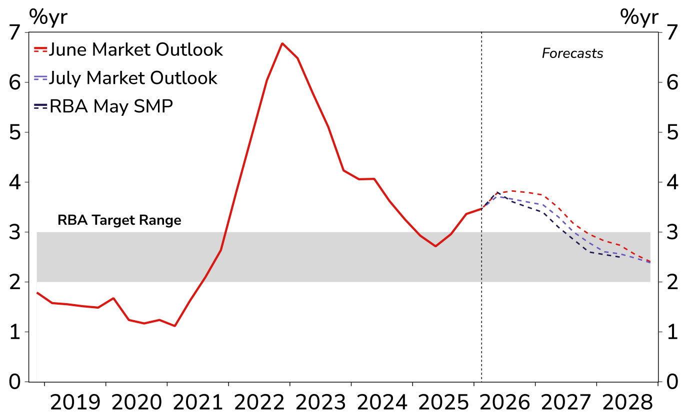
Further out, the outlook is less hawkish than before. Despite the recent flare-up in hostilities in the Middle East, the inflation outlook in 2027 looks a bit more benign than a couple of months ago. We have therefore brought forward the expected future cuts to start in August 2027, rather than 2028 as previously.

RBA Cash Rate



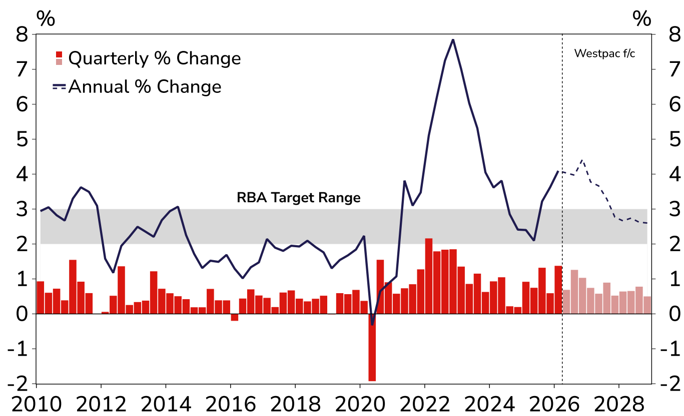
Source: RBA, Macrobond, Westpac Economics

Trimmed mean forecast revisions



Source: ABS, Macrobond, RBA, Westpac Economics

Headline CPI Inflation



Source: ABS, Macrobond, Westpac Economics

Rate hikes impacting interest-sensitive sectors ...

Matthew Hassan, Head of Australian Macro-Forecasting
Pat Bustamante, Senior Economist

The full effects of the global energy shock will become more evident with the release of official June quarter data in coming weeks. As a supply shock, it has reduced productive capacity, weighing on activity and pushing up costs. The size, duration and growth vs inflation mix of the shock all remain uncertain. Policymakers can usually 'look through' the price effects from small, short-lived supply shocks but with Australia coming into the shock with inflation already above the 2–3% target band, the RBA is much more alert to upside inflation risks. It will be particularly sensitive to any signs that energy price increases are flowing through more fully and rapidly to a broader range of prices. We expect the June quarter data to be troubling enough for the RBA deliver two additional rate hikes through 2026, with policy easing unlikely to begin until the second half of 2027, once it is clear that inflation is back on a sustainable path towards target.

This in turn points to a challenging near-term outlook for the economy. The significant cumulative tightening in financial conditions will weigh on demand and activity across interest-sensitive sectors. Growth is expected to be flat in Q2 (+1.6%yr) dropping to an annual pace of just 0.7%yr by year-end, before gradually lifting back to 1.5%yr over 2027. Underlying inflation is expected to rise to 0.9%qtr and 3.7%yr in Q2, remain elevated at 3.6%yr through 2026, and gradually ease to 2.8%yr by the second half of 2027.

Rate rises contributing to softer consumer

The tightening in financial conditions is already contributing to a slowdown in consumer spending. The shifting interest rate situation saw consumer sentiment fall sharply through the turn of the year. In line with this, the March quarter national accounts pointed to a moderation in consumption growth, particularly when electricity rebate effects are excluded. The June quarter looks weaker still, with sentiment dropping to historical lows and our **Westpac Card Tracker Index** suggesting consumption stalled flat in real terms. While much of that reflects the spike in fuel prices, the February, March and May rate rises have had a hand in the weakness as well.

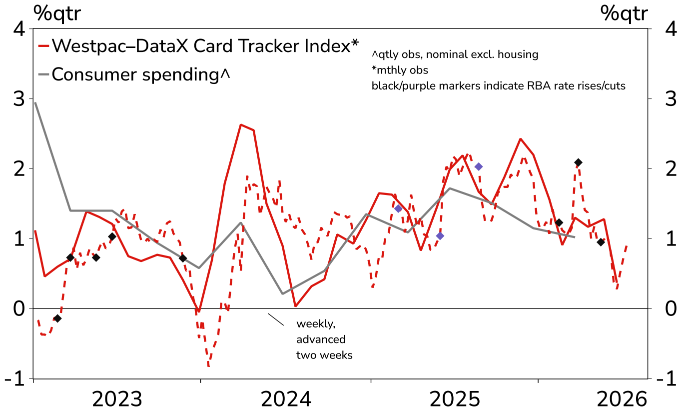
Housing slowdown also in play

As one of the most interest rate sensitive sectors of the economy, housing often sits at the centre of the monetary policy transmission mechanism. Purchases are typically debt financed through variable-rate loans, meaning demand is heavily impacted by interest rate changes. All else equal, higher interest rates reduce demand for housing, impacting turnover, dwelling prices and new construction.

Note that all else is often not equal. Housing turnover, price and construction cycles are affected by a range of other factors that can sometimes override even quite powerful interest rate effects. The most compelling recent example of this was in 2023, when housing markets posted a surprisingly solid rebound despite an aggressive tightening that saw a cumulative 4.25ppt rise in interest rates between mid-2022 and late 2023. The apparent driver at the time was a post-COVID surge in population growth.

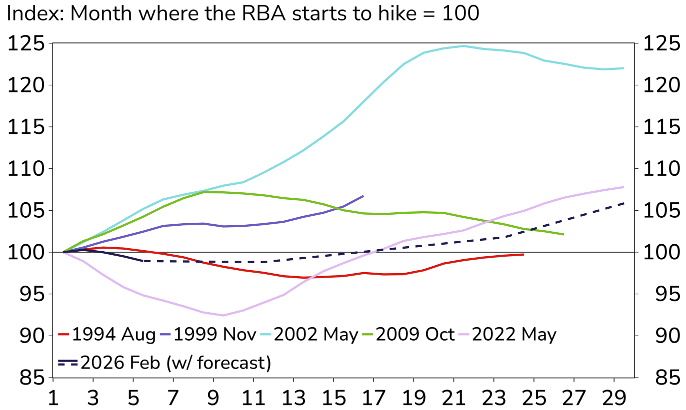
The main 'other factor' currently impacting housing is the investor housing tax policy overhaul announced in the Federal budget. As set out in our assessment, these changes are set to accentuate rate rise impacts with an investor-led pull-back expected to see total turnover decline by around 20% and a moderate price correction – a 2ppt decline nationally leaving annual price growth flat by year-end.

Westpac–DataX Card Tracker



Source: Westpac-DataX, Macrobond

Dwelling prices across different RBA hiking cycles



Source: Cotality Australia, Macrobond, Westpac Economics

… consumer, not housing, the main game for growth

Housing only a small drag for economic growth

What is the bottom line here for economic growth? While there are risks and uncertainties, at this stage the combined effect looks set to be quite marginal with the drop in turnover likely to be the most meaningful change.

The housing construction channel is particularly important because of its extensive linkages to the rest of the economy, including manufacturing, transport and professional services. Dollar for dollar, the wider economic impact from residential investment is about 1.5 times that of consumer spending.

However, several factors are expected to limit any slowdown. Firstly, the pipeline of work has been expanding, the number of dwellings under construction rising 10% over the year to March and likely to push higher near term even if new approvals pull back. Just over 40% of these builds are in high-rise projects that typically take over a year to complete.

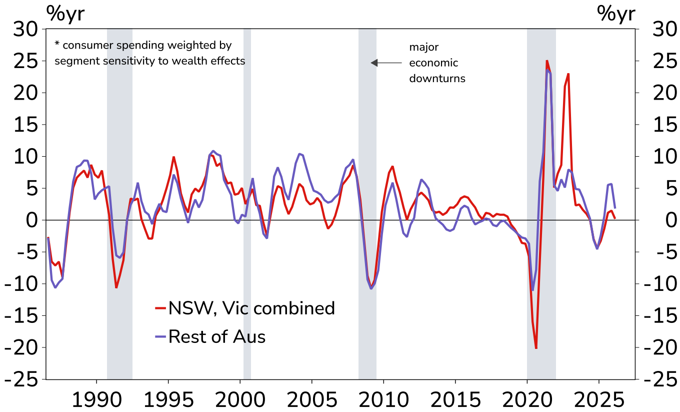
Secondly, governments – both Federal and state – have been actively trying to boost new housing construction for some time now using a variety of policy levers including zoning changes and fast-tracking suitable high-density developments. The Commonwealth's $2bn Housing Support Program, the $10bn Housing Australia Future Fund, and the NSW Government's $6.6bn housing package are all part of this effort. And lastly, new dwelling construction should also get some medium-term support from the Federal tax changes as investment in newly built dwellings will now see preferential negative gearing and capital gains tax treatments.

Overall, we forecast total dwelling investment (including renovations and alterations) to slow from 5.1%yr in 2025 to 4.0%yr in 2026 and 3.2%yr in 2027. While this represents a meaningful moderation, it is less severe than some official forecasts. The RBA, for example, is forecasting dwelling investment growth of just 2.0% in 2026 and a decline of 0.3% in 2027. Our firmer outlook reflects the substantial increase in housing-related spending being pursued by state and federal governments.

Housing can also affect activity indirectly through wealth effects. The wealth gains or losses associated with house price moves can have a significant bearing on discretionary spending – with those benefiting from gains tending to spend more and those impacted by losses tending to spend less. RBA research estimates that on average a 1ppt change in house prices leads to a 0.16ppt change in the long-run level of consumption with about half of that effect coming in the first six months.

Currently, that would amount to a positive tailwind worth 0.5–0.7ppts on annual spending growth, given the recent history of price rises. While this is hard to discern nationally, the detail does suggest some support, with somewhat

Consumption: 'wealth effect' indicator



Source: ABS, RBA, Macrobond, Westpac Economics

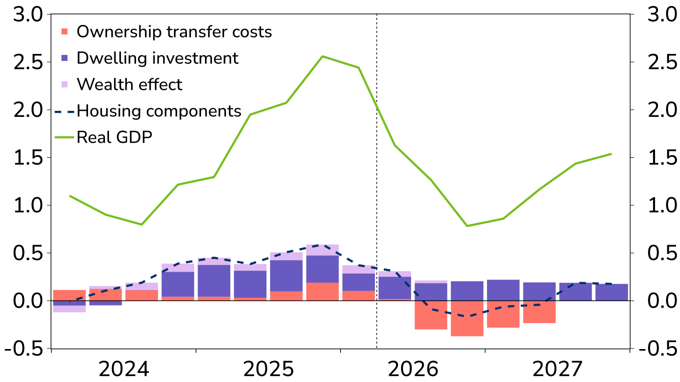
stronger spending in categories that are more sensitive to wealth effects in the states that have seen the largest house price gains in recent years (see chart above). That said, the aggregate effect looks to be more muted than the 0.5–0.7ppt guidance and was already subsiding in early 2026.

Our post-Budget revised price forecasts suggest the wealth effect could become a slight drag by early 2027, reflecting a combination of moderating gains in states that had been seeing strong price growth (Queensland, South Australia and Western Australia) and a drag in states seeing more material price declines (New South Wales and Victoria). Overall, we expect this effect to be worth 0.1–0.15ppts on annual GDP growth, with this likely to show through in late 2026 and early 2027.

There is a more direct impact on activity through swings in housing market turnover as well. The drop in sales volumes will be a significant dampener for real estate agents and a range of associated service providers including legal, accounting, financial services and removalists. Reduced 'churn' may also have some spillover effects on spending on furniture, household goods and small renovations, although these

Housing-related drivers of GDP

Contributions to year-ended GDP growth



Source: ABS, RBA, Macrobond, Westpac Economics are difficult to estimate (partly because they are difficult to separate from similar spillovers coming via construction-related activity and wealth effects). However, the direct impact alone, which is captured by the 'ownership transfer cost' expenditure component of the national accounts, is a large –0.4ppt drag on headline GDP over the second half of 2026.

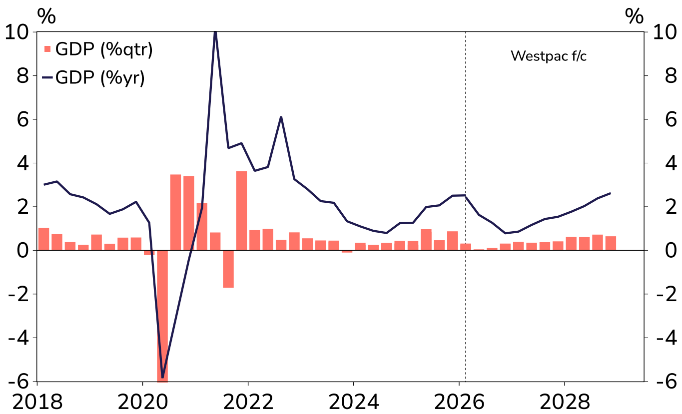
Bottom line

The key takeaway here is that while housing is facing into a material downturn with many of the effects still uncertain, the growth impacts do not look likely to be large. Where drags are set to come through, around turnover and wealth effects, these look to be in the order of around 0.5ppt of GDP on a combined basis. And there are good reasons to expect dwelling investment to be resilient with gains still adding around 0.2ppts to GDP growth in 2026.

And of course, there are other drivers impacting. Two themes that we have been highlighting for some time are the slowing in public demand and a strong lift in investment in data centres and electricity. The last month has seen some important updates on state government budgets (covered in our latest Coast-to-Coast) and the data centre investment boom (see here).

However, the housing, public demand and data centre investment stories are mostly peripheral with the dominant driver of the challenging growth environment in 2026 still the squeeze on household incomes coming from high inflation, higher interest rates and rising tax payments. How this squeeze evolves remains the key question for the growth profile in the back end of 2026 and 2027.

GDP forecasts



Source: ABS, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

The MoU sees commodity prices tumble ...

Luka Belobrajdic
Economist

Most commodities fell in June following the signing of the US and Iran memorandum of understanding on 17 June, which established a 60 day ceasefire and critically, reopened the Strait of Hormuz. Our broadest commodities index fell –3.2%mth over the month. Oil led the falls, with Brent down –16.3%mth, while Japanese LNG was down –2.5%mth. Iron ore too fell sharply, down –7.2%mth as transient sources of price support faded, while gold slid –7.4%mth and aluminium –5.1%mth. Copper was broadly unchanged. Coal was the exception with the Shanxi mining disaster lifting both coking (2.6%mth), and thermal coal (10.4%mth). Reflecting recent developments we have revised our crude oil forecast lower, with a September quarter average Brent price of US$83/bbl, US$4 below our previous update.

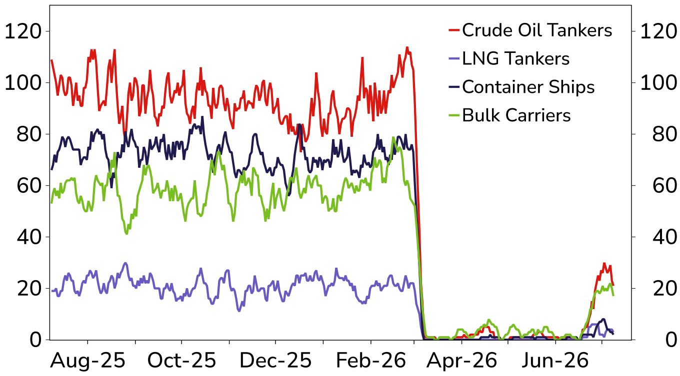
Oil prices slide but volatility likely ahead

Brent prices have fallen over the past month to just above US$70/bbl in early July, fully unwinding the war premium. The initial slide was in line with our view as vessels trapped inside the Strait have exited and empty tankers waiting outside have moved in. That said, supply has come back a touch faster than we expected. UAE and Saudi exports have normalised rapidly, helped by the absence of well shut-ins, ample storage and continued pipeline flows through the conflict. However, as we have previously highlighted, the MoU would always be an uneasy truce. This was evident with flare-ups over the last week pushing prices back up to around US$80/bbl. While hostilities should be short-lived and optimism will re-emerge between flare-ups, we expect demand and supply fundamentals to reassert as the primary driver of prices over the coming months.

Notably, inventories remain very low. OECD government stocks fell 163mb in May to their lowest since December 1990, and a rebuild in government reserves will support demand. Adding to this, Chinese imports have been a key buffer against the global supply shock and is one that will fade as demand returns. In June, China accounted for just 13% of seaborne crude imports, down from 20% a year earlier, and independent refinery operating rates have fallen to a nine-year low of 46%. We look for some return in demand ahead, particularly in Q4 as refiners restock ahead of Chinese New Year. Meanwhile, although supply will continue to recover, inbound vessel traffic through the Strait remains well below pre-conflict levels, with recent Iranian strikes on transiting vessels holding back the recovery. Overall, we expect Brent to average US$83/bbl in Q3, $4 below our June forecast, and US$85/bbl in Q4. Volatility will remain a feature, with much depending on the ceasefire holding and the pace of normalisation in shipping through the Strait, as captured in the two scenarios we published in June.

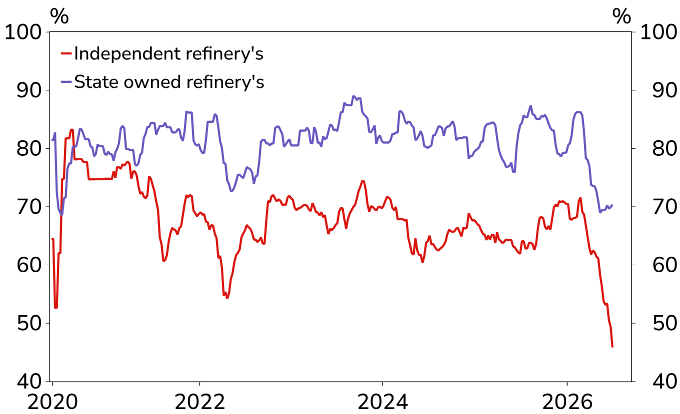
Strait of Hormuz, Inbound Vessels

7-Day Rolling Total, East to West



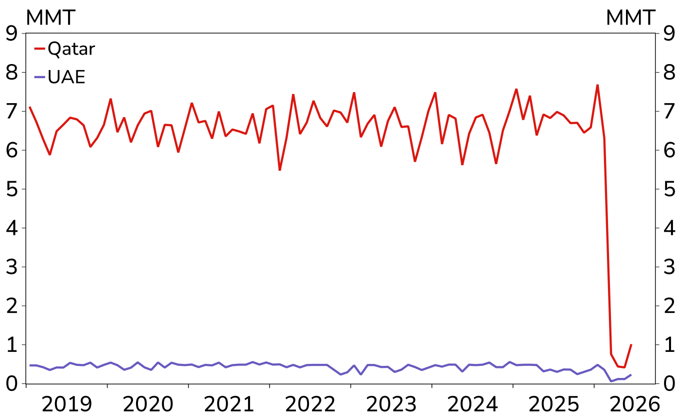
Source: Bloomberg, Macrobond, Westpac Economics

Chinese refinery weekly operating rates



Source: JLC International, Macrobond, Westpac Economics

Monthly LNG Exports



Source: Bloomberg, Macrobond, Westpac Economics

… but physical markets are yet to fully recover

LNG markets remain tight

LNG markets, unlike oil, remain relatively tight. Damage to the world's largest LNG export complex at Ras Laffan in Qatar, limited LNG vessel availability and constrained spare liquefaction capacity continues to weigh on supply. As a result, Japanese LNG prices have not fallen as much since the signing of the MOU. At around US$16-17/mmbtu in early July, prices remain at circa 50% above pre conflict levels.

While we have revised lower our expected peak in Japanese LNG prices to average US$18.6/mmbtu in the September quarter, we expect the recovery in supply to the region to remain constrained, with prices unlikely to return to pre conflict levels until 2028. Domestically, however, the Australian gas market remains relatively insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the equivalent of 20% of gas exports to the Australian market.

Aluminium market tighter than prices imply

Aluminium prices have retraced sharply from their conflict highs, falling to below US$3,100/t by early July. Markets appear to have largely priced in a rapid return of Gulf supply with the region accounting for circa 9% of global smelting capacity, and a considerably larger share of global trade. The price decline has occurred despite the IAI reporting that GCC aluminium production remained 38% below pre conflict levels in April.

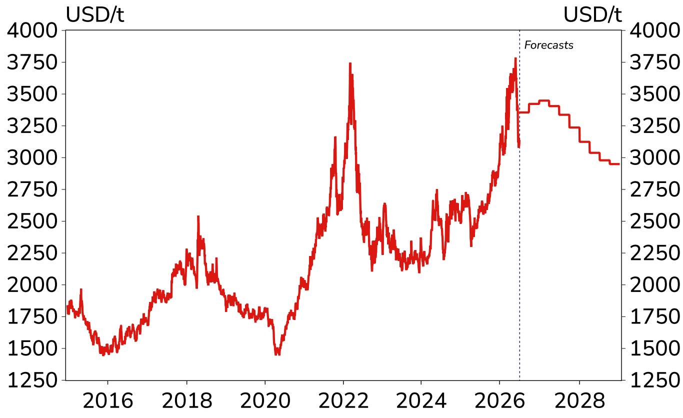
Given the time and capital intensive nature of restarting Gulf smelting capacity, combined with the ongoing loss of African supply from Mozal, current prices appear inconsistent with underlying market tightness. Further price support is likely to come from China which has only marginally increased output, while Guinean bauxite export controls present an additional source of risk. Although a full return of the conflict premium appears unlikely, we expect aluminium prices to strengthen through the remainder of the September quarter, averaging US$3,360/t, around 10% below our previous update. Tight market conditions are expected to persist into the March quarter of 2027 before easing as supply stabilises and new Indonesian capacity comes online. Longer term support is expected to come from EV, grid infrastructure and data centre investment, while growing competition with datacentres for power may constrain future smelting capacity expansion.

Iron ore breaks below US$100/t

Iron ore prices fell below US$100/t at end June amid the broader commodities sell off. While prices have since oscillated either side of the psychological threshold, downward pressure is building as several sources of temporary support begin to fade. Higher freight costs linked to the energy shock have started to unwind. Global ore supply is also ample, supported by improved weather conditions in Australia and Brazil that has lifted shipments, and The Shanxi mining disaster has driven coking coal prices higher, further compressing steelmaker margins. While recent CMRG restrictions on some Fortescue inventories may provide modest support, the impact is likely to be limited given abundant existing stockpiles. We continue to expect the 62% Fe index to average US$97/t in the December quarter.

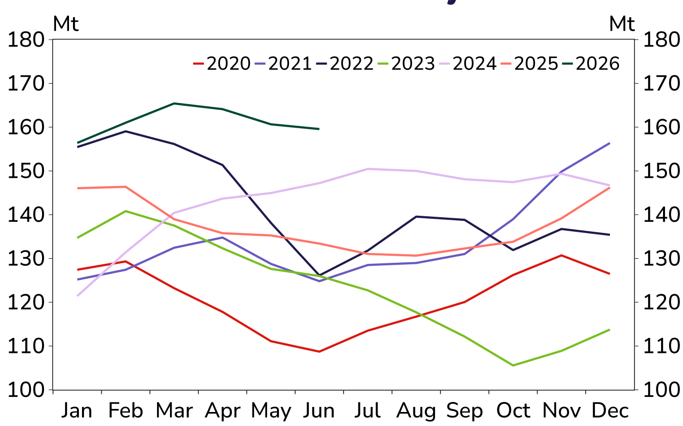
The medium term outlook is becoming increasingly challenging, with surplus conditions expected to emerge. Supply side pressures are building as new low cost output from Simandou enters the market. Persistently high inventories in China and softer global steel demand, as major economies contend with the effects of recently elevated energy costs, are expected to add further downside pressure. The ongoing structural decline in Chinese steel production is also eroding underlying demand, with growth in India and South East Asia providing only a partial offset. We therefore expect iron ore prices to soften further, averaging around US$83/t in the December quarter of 2027.

Aluminium set to see a partial recovery



Source: LME, Macrobond, Westpac Economics

China Iron Ore Total Ports Inventory



Source: Steelhome, Macrobond, Westpac Economics

Conviction is a challenge ...

Elliot Clarke
Head of International Economics

The past month, participants have shown less concern over global oil supply while holding on to the belief that US economic risks are asymmetrically skewed towards inflation, warranting action from the FOMC. The consequence has been a tight 2pt range for the DXY index.

The trend decline in the price of Brent crude from USD87 to USD76 currently, via a low of USD70, despite several US/Iran confrontations in the Strait of Hormuz is providing greater confidence in the US and global growth outlook. Nonfarm payrolls growth in recent months consistent with excess demand has also been beneficial for the dollar, so too the promise of AI to US industry and wealth.

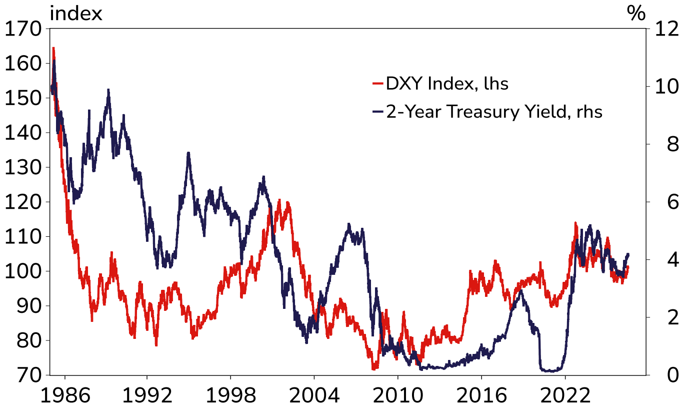
Market participants have therefore largely held to the view that the FOMC will need to tighten over the coming year, with two hikes by March 2027 currently regarded more than an 80% chance. This is despite expectations for higher rates in other developed economies having wavered.

As detailed on page 17, we believe the chances of a US hike(s) are exaggerated, a holistic view of the labour market and demand instead arguing for a steady hand from the FOMC. Still, participants are unlikely to give up entirely on their bias while annual core inflation remains above target. Yield differentials are also likely to remain in the US' favour.

As such, we continue to expect only a modest depreciation in the US dollar index over the forecast period, from 100.9 today to 98.9 at year end, then 95.5 and 94.7 in late-2027 and 2028. That end point for DXY is still above the index's 20-year average, highlighting that the forecast decline is a consequence of burgeoning growth opportunities outside the US slowly attracting capital away, not a marked deterioration in the US economy or financial markets. However, it is worth remaining aware of the potential downside risks evident in household survey employment, consumer sentiment at multi-decade lows and persistent weakness in business investment outside of tech – all risks that could jolt the currency lower.

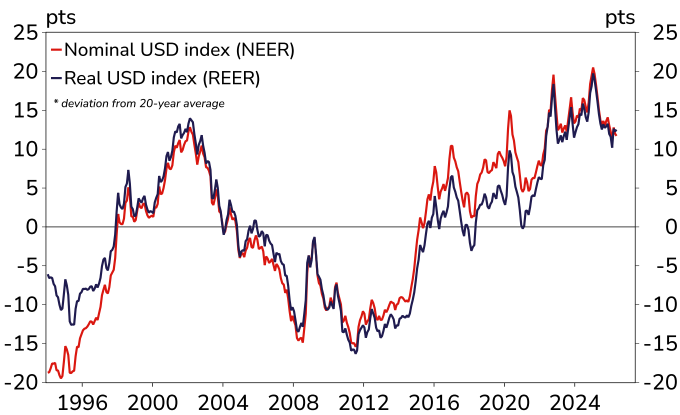
The high weight of the euro will see it contribute the most to this downtrend through end-2028. Over the period, euro is forecast to gain around 7%, EUR/USD rising from USD1.14 today to USD1.17 at end-2026, then USD1.22 by early-2028. The justification for euro appreciation from Europe's perspective rests on improving growth opportunities, not higher rates. Of the major developed economies, the euro area has arguably been most successful at containing inflation in the recent past, allowing policy to remain broadly neutral and the labour market strong.

USD demand is holding up ...



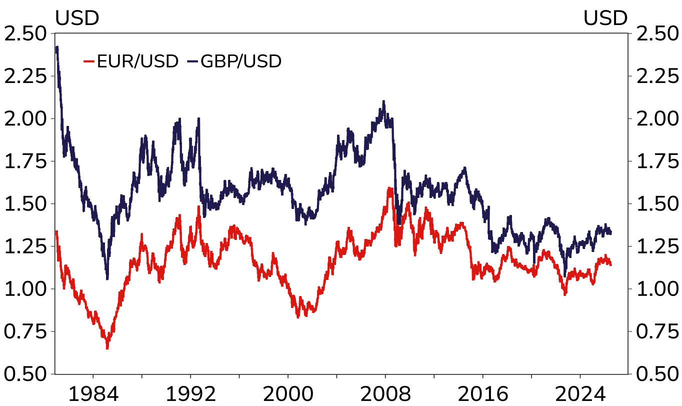
Source: Bloomberg, Macrobond, Westpac Economics

... at elevated levels



Source: BIS, Macrobond, Westpac Economics

Euro and UK risks to recede



Source: Bloomberg, Macrobond, Westpac Economics

... amid a myriad of risks

Sterling is also expected to appreciate sustainably, roughly in line with euro's trend, GBP/USD forecast to reach USD1.41 in mid-2028 from USD1.34 today. However, as discussed on page 21, this out-turn is arguably more susceptible to disappointment, with both political and economic risks against the UK economy, and highly likely to remain that way.

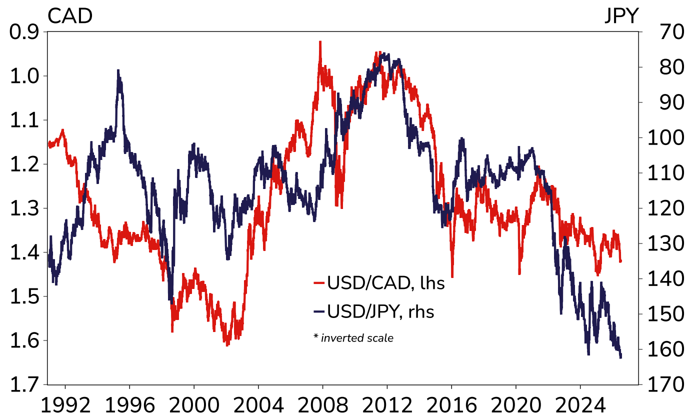
Over the past month, the Canadian dollar has been hit by the declining oil price and weakness in the domestic economy. But, if we are right in anticipating an improving global growth backdrop and the need to refill energy inventories, Canada's dollar should recover well, particularly if the domestic economy begins to benefit from a return to neutral policy. By the end of the forecast horizon, we forecast USD/CAD to fall to CAD1.32 from CAD1.42 today. Though, like the UK, we have less conviction in this call versus the euro given known risks, particularly over the coming year.

Turning to Asia, market participants are intent on continuing to test the Bank of Japan's resolve on defending JPY160 against the US dollar. Indeed, the past fortnight has seen USD/JPY hold above this mark and, at times, threaten JPY162.50–163.00. Being a significant importer of energy, the decline in the oil price should have been a favourable development. Instead, participants are basing their valuation judgements on yield differentials, including using the yen as a funding source, and the comparatively weak growth of Japan versus the US and other (similarly) developed economies in Asia.

A moderation in US policy expectations, paired with further gradual moves towards normalisation in Japan, is expected to bring USD/JPY back below JPY160 in early-2027. Thereafter, we look for improving growth and a historic differential to the long-run average to justify a slow, partial reversal of the historic weakness the yen has suffered since the start of the pandemic. Note though, circa JPY150 is our target for end-2028, a rate still 40% above the average of 2019. Capital and investment outflows also threaten to make this a stretch target.

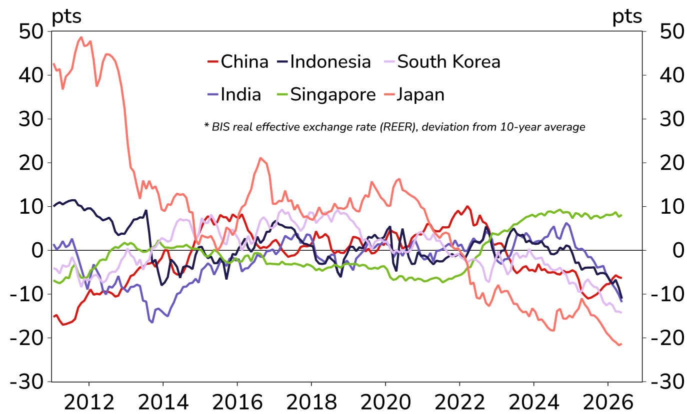
In stark contrast to the yen, China's Renminbi is forecast to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar, circa USD6.30. Indeed, a break of that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis then, the anticipated currency gains will be limited, and likely offset by continued productivity wins, providing scope for an extended uptrend over many years.

JPY challenged short and long-term



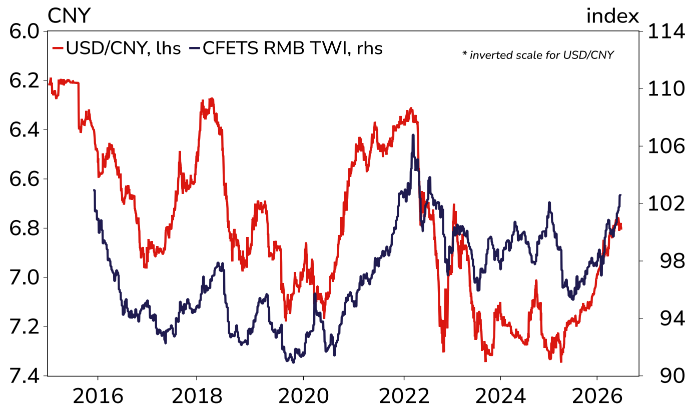
Source: Bloomberg, Macrobond, Westpac Economics

Asia's outlook still promising



Source: BIS, Macrobond, Westpac Economics

Renminbi to sustain rally



Source: Bloomberg, Macrobond, Westpac Economics

The inflation outlook has improved ...

Darren Gibbs
Senior Economist

A great deal has changed since the last Market Outlook, leading to a significant revision to our forecasts for the New Zealand economy. The key driver has been the much faster-than-expected easing in Middle East tensions and the resulting sharp decline in prices for energy and related commodities. The implications for New Zealand are significant. Lower fuel and transport costs have reduced inflationary pressures directly while also easing cost pressures on businesses and households. The improved outlook has also lessened concerns about the impact of high energy costs on global growth and domestic activity. While it remains too early to conclude that geopolitical risks have disappeared entirely, recognising these developments, we have recently incorporated a less severe energy shock into our economic forecasts.

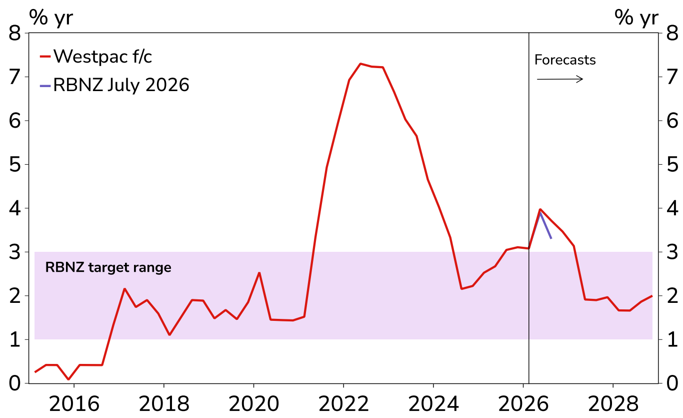
We now forecast GDP to have declined by just 0.1% in the June quarter, compared with our earlier expectation of a 0.3% contraction. Growth is forecast to resume at around a 0.6% pace in the current quarter and strengthen to 0.7% in the December quarter. As a result, we now expect economic growth of 2.0% in 2026, up from our previous forecast of around 1.5%. The economy is forecast to grow 2.9% in 2027. In essence, we now expect that it will regain its pre-conflict momentum sooner than seemed likely a month ago – henceforth following a path closer to that expected at the beginning of the year – as lower fuel prices contribute to a rebound in household spending, business confidence and economic activity.

The labour market outlook has also improved modestly. Employment growth is likely to remain subdued in the near-term as ongoing uncertainty continues to weigh on hiring for a period, but the stronger activity outlook has reduced the risk of a significant deterioration in labour market conditions. We now expect the unemployment rate to rise only slightly from its current 5.3% to peak at 5.4% in the June quarter. This compares with our previous expectation that a more prolonged period of sluggish employment growth would see it peak at 5.6% during the second half of the year. Thereafter, unemployment is expected to trend gradually lower, falling below 5% by late 2027.

While housing market conditions remain relatively soft, they have been more resilient than expected. We now expect house prices to rise modestly by around 0.3% in 2026, rather than falling slightly as previously forecast, with an annual gain of around 2% expected in 2027.

The largest revisions have been to the outlook for inflation. Reflecting the unexpectedly rapid decline in fuel prices, annual CPI inflation is now expected to peak at around 4.0% in the June quarter, down from our previous forecast of 4.5%. Thereafter, inflation is expected to ease further to around 3.5% by the end of the year. Lower petrol and diesel prices are directly reducing inflation and are also limiting the broader pass-through of transport and energy costs into other goods and services. The shortened duration of the energy price shock also makes it less likely that it will generate second-round inflation pressures across a broader range of goods and services.

CPI inflation forecasts



Source: Stats NZ, Macrobond, RBNZ, Westpac Economics

Turning to the outlook for monetary policy, the RBNZ lifted the Official Cash Rate (OCR) by 25bps at its July meeting to 2.50% (in contrast to our expectations for a hold). The decision was reached by consensus, meaning a formal vote was not required. While the RBNZ acknowledged that inflation and global risks have eased since its May Monetary Policy Statement, it nevertheless concluded that policy tightening was warranted.

A key feature of the decision was the RBNZ's updated assessment of inflation. Falling oil prices and a reduction in some inflation risks have led the Bank to revise down its near-term inflation forecasts. Annual inflation is now projected to reach 3.9% in the June quarter and 3.3% in the September quarter. Although lower than the forecasts published in May – and lower than our own forecasts – these inflation outcomes are still considered sufficiently elevated to justify additional OCR increases.

The RBNZ also sees a more balanced global outlook than it did in May. At that time, elevated energy prices and geopolitical concerns posed material upside risks to inflation. Since then, lower oil prices and improving global conditions have reduced those risks, although uncertainty remains substantial. The RBNZ's policy rhetoric has also evolved slightly. In May, policymakers emphasised second-round inflation

...but not enough for the RBNZ's taste

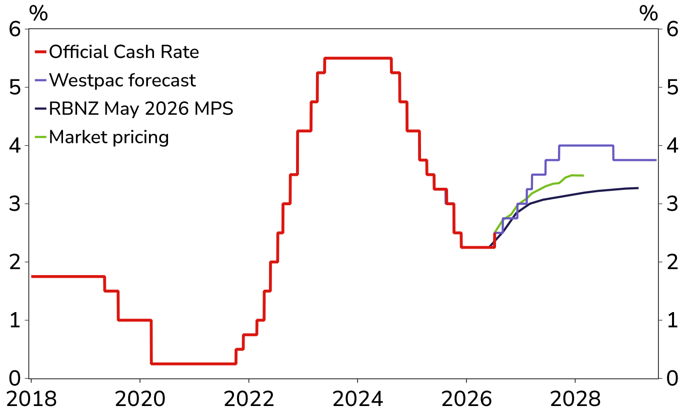
pressures, inflation expectations and wage growth as key indicators for future OCR decisions. These remain important, but the Bank is now placing greater emphasis on signs of strengthening domestic and global economic growth, as well as developments in financial conditions and the exchange rate.

Despite the improved inflation outlook, which has contributed to an easing of financial conditions, the RBNZ was concerned that leaving the OCR unchanged could have resulted in a further unintended easing of financial conditions. Policymakers noted that a hold decision may have encouraged expectations of a lower OCR path and contributed to a weaker New Zealand dollar. Such developments could have stimulated demand and added to inflationary pressures. The Bank therefore appears comfortable with market expectations for an OCR peak in the vicinity of 2.75-3.00% by the end of 2026.

Looking ahead, we continue to expect 25bp increases in the OCR at the September and December meetings, although these will now leave the OCR 25bps higher at year end (at 3.0%) than we had previously forecast. Thereafter, we continue to forecast a peak OCR of 4.0% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting.

In the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data, including the upcoming June quarter inflation report (out on 21 July). Therefore, as the RBNZ noted, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the September 2026 meeting should not be regarded as a "done deal".

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

	2025							2026				
Monthly data	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**
REINZ house sales %mth	–2.7	1.0	–2.8	–1.9	6.3	0.3	0.7	–5.3	4.2	–2.4	–1.7	–5.8
Residential building consents %mth	–5.3	5.4	6.4	7.6	–0.7	3.1	–4.2	2.5	2.8	–0.8	11.1	–4.0
Electronic card transactions %mth	0.6	0.2	0.6	–0.4	0.3	1.2	–0.1	–1.1	1.4	0.7	–1.2	1.7
Private sector credit %yr	3.2	3.5	3.8	4.2	4.6	4.4	4.6	4.6	4.7	4.9	4.7	4.8
Commodity prices %mth	–2.4	–1.8	0.7	–1.1	–0.3	–1.6	–2.1	2.0	4.2	4.2	–0.8	0.7
Trade balance $mn	–535	–376	–105	266	–245	–332	–159	–296	–828	–328	158	–1111

Quarterly data	Q4:23	Q1:24	Q2:24	Q3:24	Q4:24	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26
Westpac McDermott Miller Consumer Confidence	88.9	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7
Quarterly Survey of Business Opinion	9	–27	–25	–29	–27	–22	–21	–15	–3	0
Unemployment rate %	4.0	4.4	4.7	4.9	5.1	5.1	5.2	5.3	5.4	5.3
CPI %yr	4.7	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1
Real GDP %yr	2.2	1.8	1.1	0.5	–0.3	–0.9	–1.1	–0.6	0.3	0.8
Current account balance % of GDP	–6.3	–5.7	–5.5	–5.2	–4.7	–4.2	–3.7	–3.5	–3.6	–3.6

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

China's greatest opportunity ...

Elliot Clarke
Head of International Economics

The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

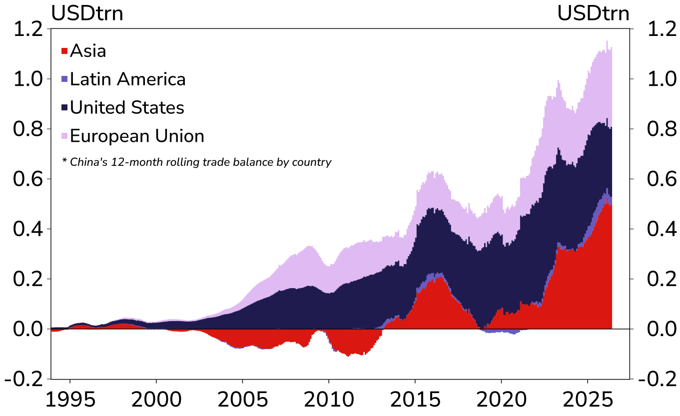
Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are probable on a recurring basis. It isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline. With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having large youthful and driven populations and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of –0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and industry's growth.

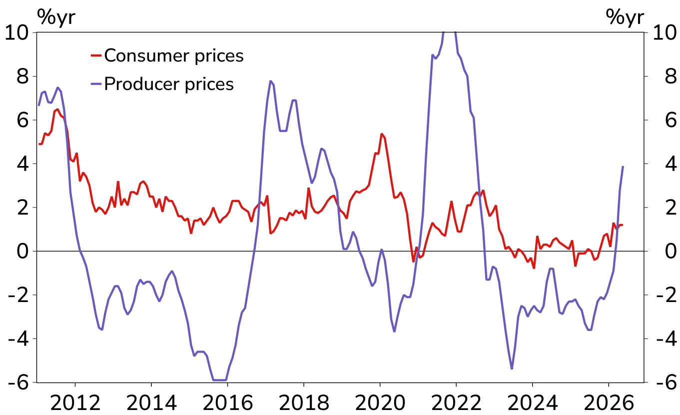
We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary

Trade surplus riding high



Source: GAC, Macrobond, Westpac Economics

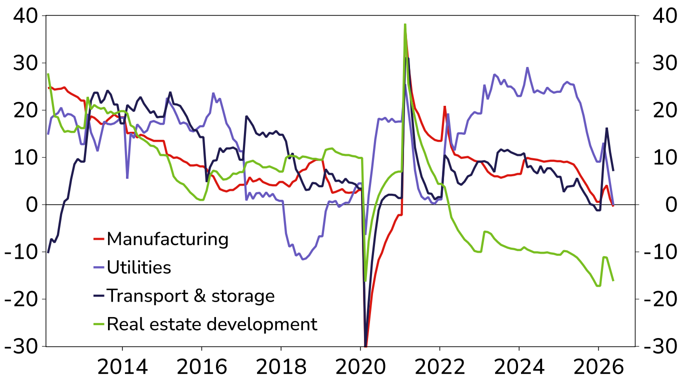
Energy price shock limited for consumers



Source: NBS, Macrobond, Westpac Economics

Property remains in a terrible state

Fixed Asset Investment by Industry (%ytd)



Source: NBS, Macrobond, Westpac Economics

... and biggest threat

consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI.

To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development, but we suspect this is unlikely near term.

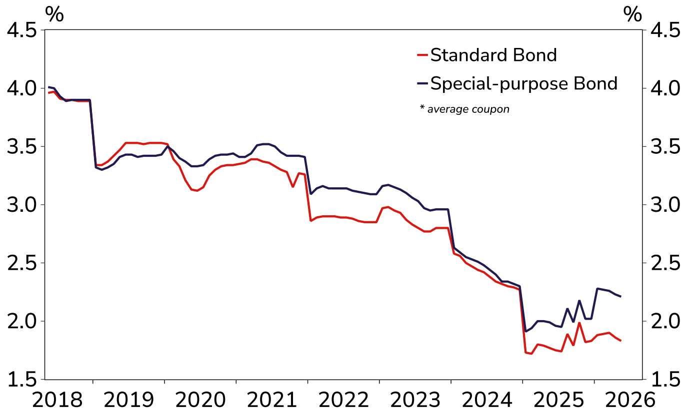
If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around CNY6.30.

Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted.

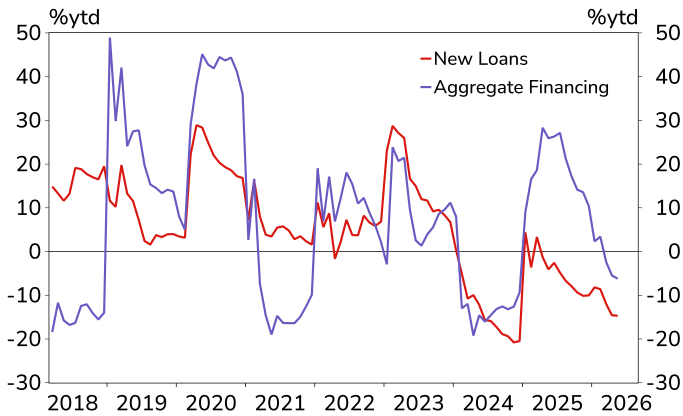
For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

Cost of funds attractive



Source: MOF, Macrobond, Westpac Economics

Credit impulse negative



Source: Bloomberg, Macrobond, Westpac Economics

	2025						2026					
Monthly data %yr	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Headline CPI %yr	0.0	–0.4	–0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2	1.0
M2 money supply %yr	8.8	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5	8.6	8.6	–
Manufacturing PMI (official)	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3
Fixed asset investment ytd %yr	1.6	0.5	–0.5	–1.7	–2.6	–3.8	–3.8	1.8	1.7	–1.6	–4.1	–
Industrial production %yr	5.7	5.2	6.5	4.9	4.8	5.2	5.2	6.3	5.7	4.1	4.5	–
Exports %yr	7.0	4.2	8.2	–1.3	5.8	6.5	10.0	39.6	2.5	14.0	19.4	–
Imports %yr	4.2	1.6	8.0	1.7	2.5	6.3	26.3	14.1	28.3	25.2	27.4	–
Trade balance USDbn	97.4	101.1	88.8	88.1	110.0	112.4	121.2	90.2	50.2	84.7	105.4	–

Quarterly data	Dec–24	Mar–25	Jun–25	Sep–25	Dec–25	Mar–26
Real GDP %yr	5.4	5.4	5.2	4.8	4.5	5.0
Nominal GDP %yr	4.6	4.6	3.9	3.7	3.9	4.9

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

US payrolls offers ...

Elliot Clarke
Head of International Economics

May's employment report jolted markets in early June, the monthly gain of 172k twice the consensus estimate and the prior two months revised up 93k. A month on, the situation reversed, with June's 57k gain half the market's estimate and the prior two months revised down by –74k. With the three-month average still above estimates of current supply, participants remain wary of further policy tightening. But a holistic take of the labour market suggests this is unlikely.

While largely ignored by the market month-to-month, the household survey paints a very different picture of current momentum and labour market slack. Whereas nonfarm payrolls have averaged 111k over the three months to June, the household survey reports an average loss of 195k jobs per month. Annual revisions and population adjustments included each January make it difficult to look further back and compare conditions over the turn of the year. But, if we assess the year to January 2026 to compensate, the household survey implies the labour market has been outright weak for an extended period, the month-average for the year to January coming in at –61k against nonfarm payrolls' +27k.

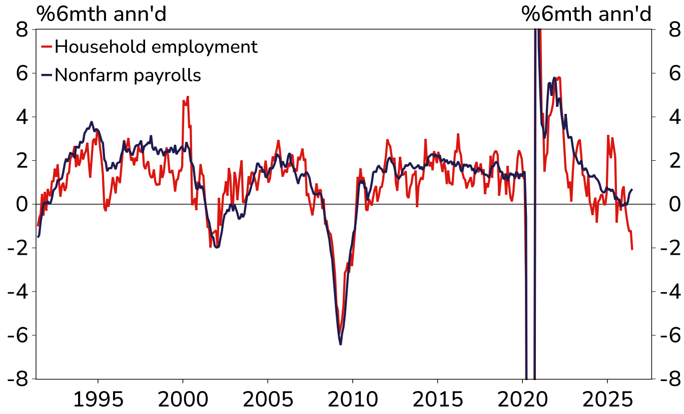
The retort to this analysis is the observation that, compared to January 2025, the unemployment rate is unchanged at 4.2%. However, the participation rate has declined 1ppt over the period. On a constant participation basis then, today the unemployment rate would be in excess of 5.0%, having mirrored the 0.9ppt decline in the employment-to-population ratio. While the trend is slow moving and skills mismatches are still present, the moderation in wage and total compensation growth which began in early-2022 is continuing, consistent with burgeoning spare capacity.

This broad view of the labour market and recognition of the cumulative effect of years of above-target inflation on discretionary incomes, points to an extended period of sub-par US household consumption growth, which the BEA and Atlanta Fed Nowcast data corroborate.

Since Q1 2025, annual growth in household consumption has slowed from an above-trend 3.4%yr to 2.3%yr. And in Q1 2026, the annualised pace was less than half the decade average at 1.4%. With data available to May, the Atlanta Fed GDPNow nowcast is pointing to a similar result in Q2. The risks skew to the downside too given University of Michigan consumer sentiment is at record lows, and with house prices flat to down across the nation.

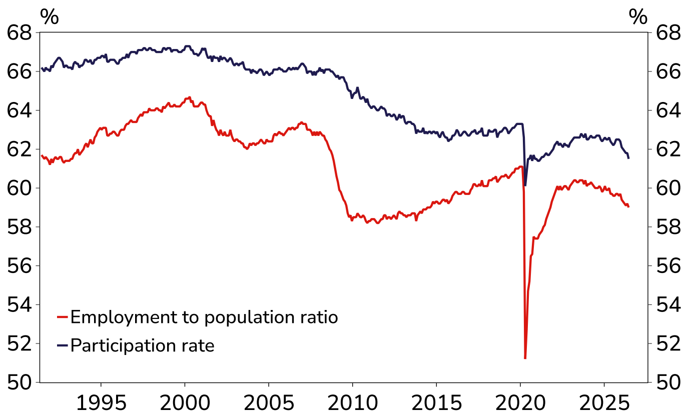
We regard these trends as significant not because we fear an abrupt deterioration in current momentum, but because they are consistent with consumer inflation trending towards the FOMC's 2.0%yr target, removing the need to tighten further.

Jobs measures differ markedly



Source: BLS, Macrobond, Westpac Economics

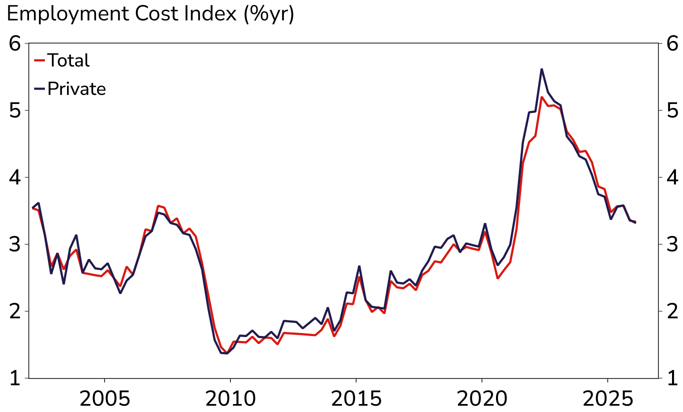
Participation masking emerging slack



Source: BLS, Macrobond, Westpac Economics

Wages disinflation broadbased

Employment Cost Index (%yr)



Source: BLS, Macrobond, Westpac Economics

... more noise than signal

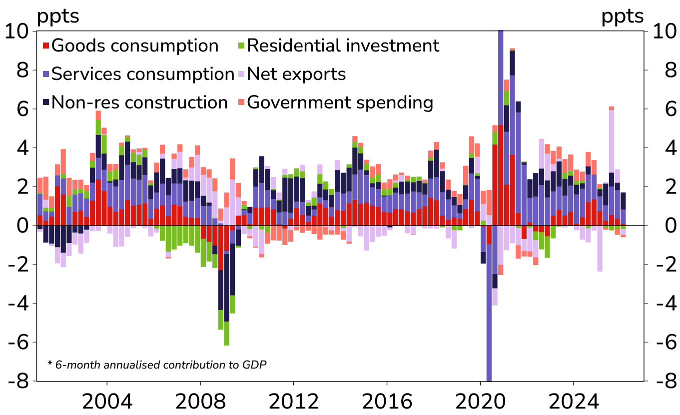
Available consumer and producer price detail is also constructive, with little-to-no evidence of secondary effects of 2026's oil price spike. Indeed, core consumer goods prices were flat March through May, as were transportation services. The impetus for core inflation over the period instead came from shelter (i.e. rents) and medical care services, both largely unrelated to contemporaneous energy price dynamics.

It is not surprising then that, at the ECB's Sintra Forum on Central Banking, FOMC Chair Warsh stated that inflation expectations and risks "have come down" in the weeks since June's FOMC meeting. At that time, by a one-vote margin, the median fed funds rate expectation of the Committee for end-2026 was a single hike. Current circumstances arguably now point to the FOMC remaining on hold through year-end and thereafter. This is a stark contrast to current market pricing, however, which points to a near 80% chance of two hikes over the coming year.

As energy pass-through remains limited and business pricing power constrained more broadly, market participants hawkish take is likely to wane. Still, participants are unlikely to fully give up on price risks being dominant, particularly if GDP growth holds around trend as we expect.

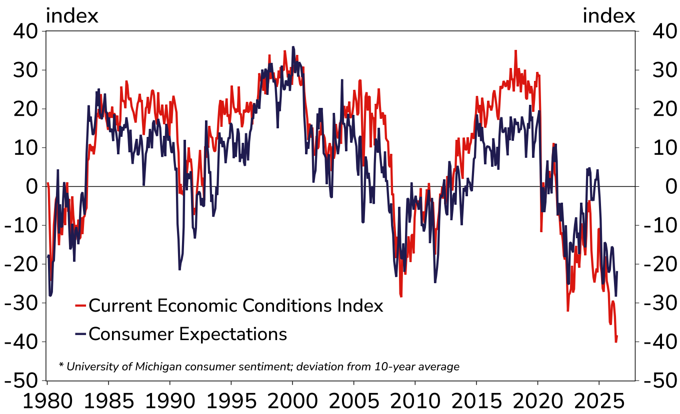
This is likely to manifest in only a slow descent for the US dollar, as discussed on page 11, and an elevated level of term interest rates. On yields, we continue to see risks to the upside given the uncertainty over US fiscal and trade policy, and with clear evidence of global investors diversifying out of US debt while the US dollar remains above average. This dynamic creates two additional economic risks that are worthy of close monitoring hence: the dwindling capacity of the US Government to stabilise the economy if it is hit by a negative shock; and the long-term capacity of the US housing market, which has implications for both activity growth and long-term inflation.

Consumer demand brittle



Source: BEA, Macrobond, Westpac Economics

Households are deeply concerned



Source: University of Michigan, Macrobond, Westpac Economics

	2025						2026					
Monthly data	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**
PCE deflator %yr	2.6	2.7	2.8	2.7	2.8	2.9	2.9	2.9	3.5	3.8	4.1	–
Unemployment rate %	4.3	4.3	4.4	4.4	4.5	4.4	4.3	4.4	4.3	4.3	4.3	4.2
Nonfarm payrolls chg '000	64	–70	76	–140	41	–17	160	–156	214	148	129	57
House prices* %yr	1.8	1.6	1.4	1.4	1.5	1.5	1.3	0.9	0.9	1.1	–	–
Durables orders core 3mth %saar	8.4	4.0	10.9	9.8	9.8	8.9	5.5	8.5	22.0	20.6	19.9	–
ISM manufacturing composite	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3
ISM non–manufacturing composite	50.5	51.9	50.4	52.0	52.4	53.8	53.8	56.1	54.0	53.6	54.5	54.0
Personal spending 3mth %saar	5.1	7.3	6.6	5.5	4.5	4.7	3.6	4.9	7.1	8.2	8.6	–
UoM Consumer Sentiment	61.7	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5
Trade balance USDbn	–75.1	–59.6	–59.4	–37.4	–63.9	–76.1	–54.2	–55.0	–56.6	–54.6	–77.6	–

Quarterly data	**Mar–25**	**Jun–25**	**Sep–25**	**Dec–25**	**Mar–26**	**Jun–26(f)**
Real GDP % saar	–0.6	3.8	4.4	0.5	2.1	1.7
Current account USDbn	–438.2	–254.9	–262.9	–221.1	–226.8	–

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20–city measure.

Slow and steady wins ...

Illiana Jain
Economist

The debate around Japanese monetary policy has increasingly shifted from how far the Bank of Japan can raise rates to whether it can raise them at all. Weak domestic demand, softer business sentiment and a slowing global backdrop have all reinforced market expectations that the hiking cycle is nearly complete. We disagree. While growth is likely to remain subdued, persistence in inflation and signs of a gradual improvement in the economy's productive capacity should allow the BoJ to continue normalising policy. We expect the policy rate to reach 1.50% by mid-2027.

On the surface, the case for further tightening appears limited. The Q2 Tankan survey showed that the outlook for profitability, which ties into wage outcomes, has deteriorated materially and that investment expectations have followed suit.

Real household consumption also remains weak, held back by declining real wages. Export growth has meanwhile been held up by tariff front-running and surging tech demand; however, these are likely temporary, or at least diminishing, contributors to aggregate growth.

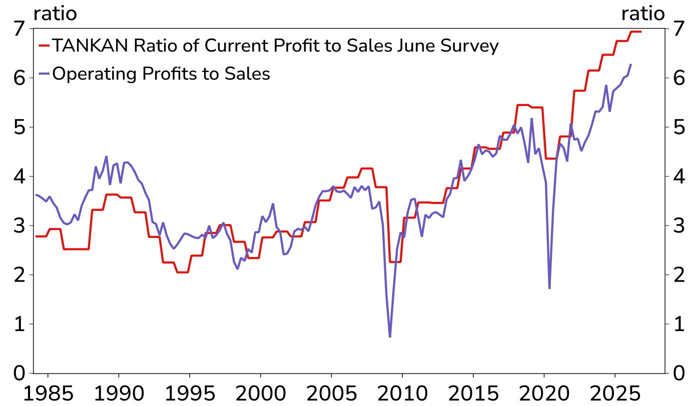
Taken together, these results suggest risks for Japanese activity growth and domestically-driven inflationary pressures are to the downside. Though, this state of affairs does not mean the Bank of Japan cannot progress normalisation further, only that they should do so at a measured pace with caution.

In our view, the Japanese economy remains much more capable of sustaining higher interest rates than prior to the pandemic. Rising participation, a higher level of business investment and improvements in capital allocation are all helping to lift the economy's productive capacity.

Digging deeper, while Japan cannot rely on consistent positive population growth to drive aggregate activity, the participation rate has recently lifted to 64.3%, a high back to 1992. Structural demand for work from seniors and women have been behind this uplift, and the Bank of Japan believe the gains will prove lasting.

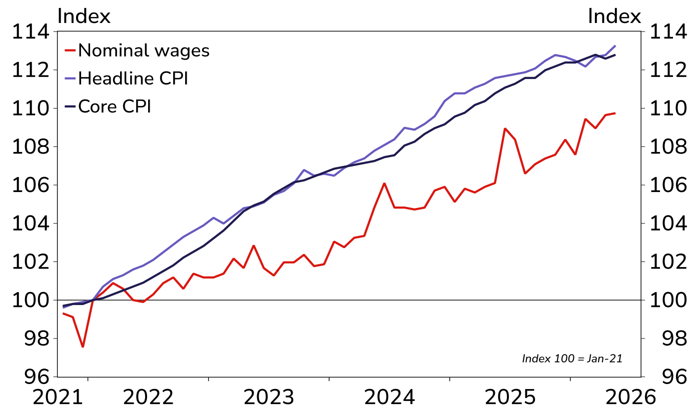
Ahead, continued investment by corporates should also aid productivity. Japan's firms are investing for two reasons: large companies are recognising the global opportunities before them; and smaller companies increasingly have little choice than to invest in new capital, with rising participation unable to fully satiate labour demand. Investment in capacity by the business community also has flow-on benefits for R&D, which is clearly in an uptrend.

Stronger profit to support wage growth



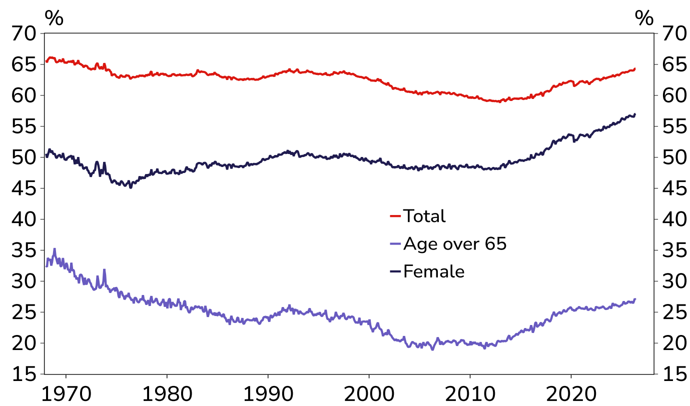
Source: BOJ, MOF, Macrobond, Westpac Economics

Wages still have some way to go to catch up



Source: MHLW, SBJ, Macrobond, Westpac Economics

Lift in participation rate to sustain



Source: SBJ, Macrobond, Westpac Economics

... the Japanese rate race

If investment is well timed and achieves productivity and capacity, it need not be inflationary. But it should lift nominal revenue and, in time, employee compensation, allowing the economy to withstand a higher level of interest rates, all else equal. With tight capacity, there is also a need to manage inflation risks and expectations pre-emptively as price growth is likely to respond more quickly to an economy's strengthening.

Inflation momentum currently appears considerably more entrenched than before the pandemic. The Q2 Tankan shows inflation expectations are holding above 2%. 2026 is also the fourth consecutive year in which firms expect prices to grow near the inflation target after three decades of an entrenched disinflationary/deflationary mindset. Arguably, firms will increasingly become comfortable regularly increasing prices, and consumers accustomed to the process.

The persistence of inflation is clearly evident in underlying inflation. Services inflation, arguably the clearest measure of domestically-generated inflation, has remained above 1.0% for almost four years, a marked departure from the 0.3% average recorded between 2011 and 2021.

Nominal wage growth also remains strong by Japanese standards. Combined with a structurally tight labour market, if repeated, this sequence should recursively entrench wage growth and support for near-target consumer inflation.

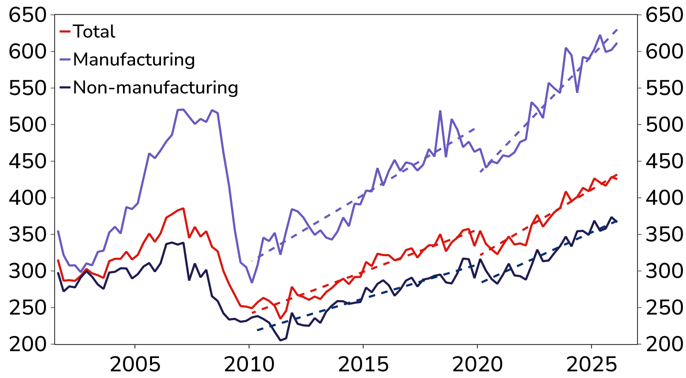
Even at 1.50%, our forecast peak for the benchmark rate, policy would sit near the lower end of the BoJ's estimated neutral range which stretches from 1.00% to 2.50%. This modelling should give the BoJ comfort in taking the next few steps, particularly while the global policy discourse speaks primarily to inflation risks amid robust growth outcomes.

Time between each policy adjustment will allow scope to re-assess the robustness of growth and the labour market as well as inflation's persistence, limiting the chances of an adverse response to policy's recalibration.

In our view, the key question for the BoJ is no longer whether inflation can reach 2.0%yr, but how much accommodation is still required in an economy that continues to steadily move away from the conditions that characterised the lost decades.

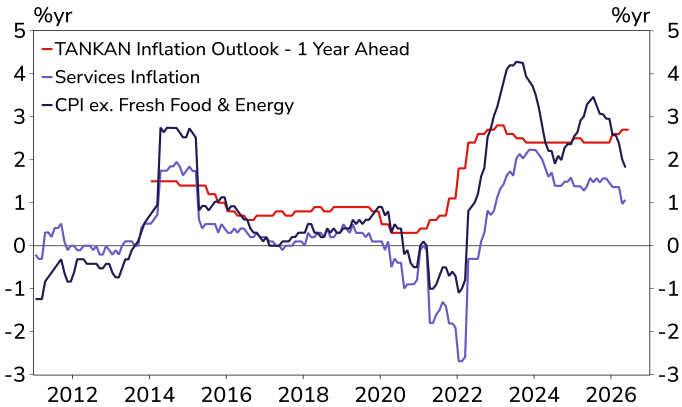
While policymakers will remain cautious, near-target inflation expectations, sustained wage growth and improving productive capacity imply rates can move higher without becoming restrictive. Taking those steps now will also offer greater protection should conditions sour in coming years and monetary policy support become warranted.

Labour saving investment is accelerating



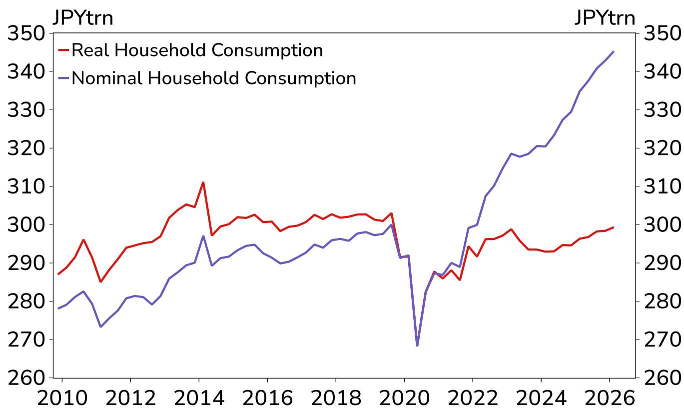
Source: MOF, Macrobond, Westpac Economics

Japan's inflation expectations anchored



Source: SBJ, BOJ, Macrobond, Westpac Economics

Real consumption lags behind nominal



Source: CAO, Macrobond, Westpac Economics

UK's economic stagnation …

Mantas Vanagas
Senior Economist

Two years after leading the Labour Party to a landslide victory in the general election, UK Prime Minister Keir Starmer resigned. The UK have now had six governments in the past ten years, the high turnover raising questions if its political institutions are still fit for purpose in addressing the country's challenges and providing effective leadership.

The Brexit referendum ten years ago exposed sharp political divisions and added a new dimension to the UK's two-party political system. Legally, Brexit was done and dusted some time ago; politically, however, the question is far from closed. Recent polls suggest that well over half of the electorate, including almost a quarter of those who voted to leave, now think the UK was wrong to leave the EU. While estimates of Brexit's economic impact vary, all reliable studies confirm that the economic costs far outweigh its benefits. Nevertheless, the country remains deeply divided, with little common ground between leavers and remainers on what is best for the country.

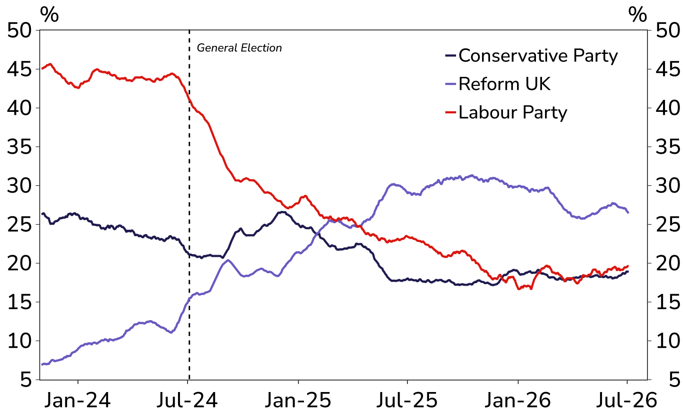
Against that backdrop, Reform UK, the right-wing populist party, has been flourishing, moving sharply into the lead in opinion polls. May's local elections were also disastrous for both Labour and the Conservatives, with Reform UK winning by a comfortable margin.

The central issue pushed by Reform UK is immigration, which is now competing with the economy as one of the electorate's major concerns. Interestingly, public perceptions on this issue do not fully align with what the immigration statistics are telling us. After the Brexit referendum, net immigration from the EU fell significantly, turning negative. Non-EU immigration surged after the pandemic, but has since plummeted as the government sharply reduced the number of work visas issued and also significantly tightened rules around immigrants bringing family members with them.

Starmer has struggled to find answers to rising political pressure and, in turn, growing disagreement within his own ranks. While political analysts point to his own missteps, the sense that the UK continues to struggle economically, with little progress in alleviating the key pressure points, was also arguably an important reason for his loss of support. The economy continues to rank among the top concerns for the British public.

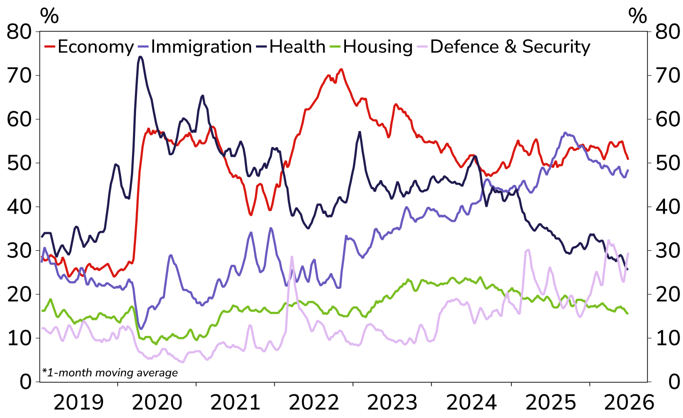
This view finds support in the economic data. Real UK disposable income per capita – a measure of how much purchasing power an average person has – is no higher than it was before the pandemic and has increased by only 3% over the past ten years. Productivity growth – the major force that makes economies richer over time – has been abysmal,

Political support of major UK parties



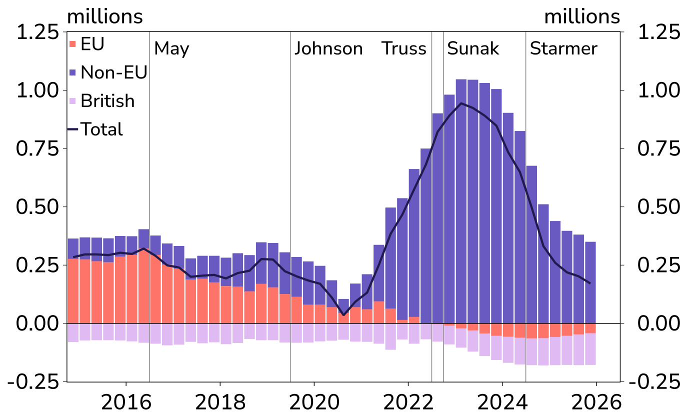
Source: Europe Elects, Macrobond, Westpac Economics

Most important issue facing the UK*



Source: YouGov, Macrobond, Westpac Economics

Net immigration



Source: ONS, Macrobond, Westpac Economics

... is feeding its political divisions

explaining why the UK has failed to raise living standards. Indeed, the UK's productivity growth shifted significantly lower after the GFC in 2007, and the trend has weakened further since the start of the pandemic.

Long-term economic stagnation has also stretched the UK's public finances. When the economic pie is not growing, it becomes harder to direct resources to one area without taking them from somewhere else. While this appears to be feeding political divisions, the alternatives look even worse.

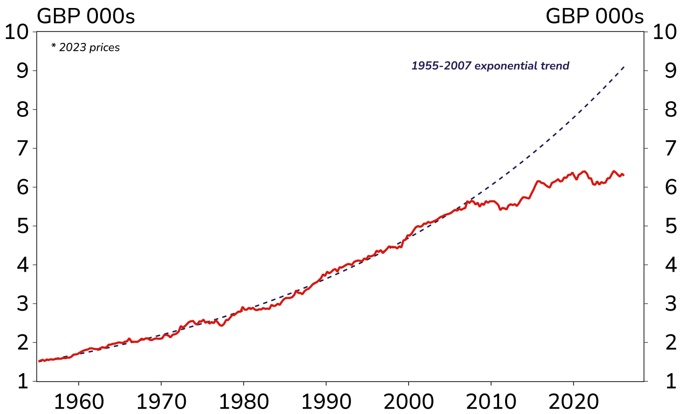
The tax burden is already on track to be the highest on record. Relying on higher borrowing to finance an increase in spending is also no longer a viable policy option for any UK government, especially since disastrous tenure of Liz Truss. Long-term gilt yields continue to underperform peers, suggesting that markets stand ready to punish any policy missteps.

With nobody from the Labour Party ranks willing to go head-to-head against Andy Burnham, currently the most popular politician in the country, he appears to be the Prime Minister in waiting. His political plans so far rely heavily on his experience as Mayor of Manchester. Full details of his economic vision for the country will probably be confirmed once he become the Prime Minister. From what he has announced so far, greater devolution of powers and the establishment of "Number 10 North" appear to be flagship policies, alongside more social housing, new priorities to rebalance the education system towards technical courses, and greater public control of essential services. Although important politically, they hardly suggest that a Burnham government will pursue as a priority the robust and broad-based economic growth the country so desperately needs.

Making poorer regions in the north richer would be a sensible strategy for lifting average living standards, and, politically, it is likely to be the main focus of Burnham's left-wing government. But it will need to be weighed against the economic reality that the UK's economic power lies in financial and professional services, high-end manufacturing, creative industries, life sciences and pharmaceuticals – all of which are located in, or at least closely linked to, London and the South East of England. The UK economy is unlikely to find its fortunes without a thriving capital and surrounding regions.

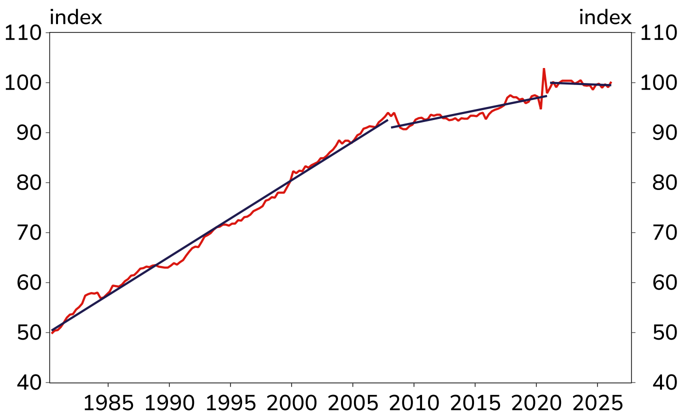
Ultimately, economic growth cannot guarantee the UK's political stability, but its likely required if the next government is to have durability. A convincing lift in productivity, real incomes and fiscal capacity is desperately needed to help to heal political divisions, but this is only possible in time with political and financial stability. Without it, the next prime minister is likely to experience a similar fate as his recent predecessors.

UK real household disposable income per head



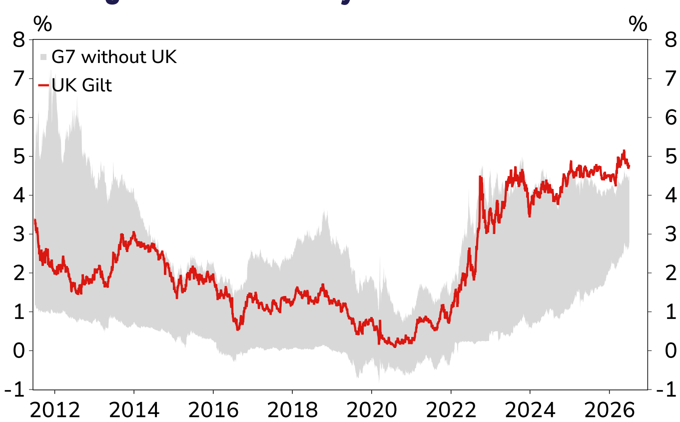
Source: ONS, Macrobond, Westpac Economics

UK output per hour



Source: ONS, Macrobond, Westpac Economics

10-Year government bond yields



Source: , Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Australia

Interest rate forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.43	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.47	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.89	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	33	40	40	35	30	25	20	15	10	5	0

Currency forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep-28	Dec-28
AUD vs											
USD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
JPY	112.72	115	115	114	115	114	112	110	109	107	106
EUR	0.6072	0.61	0.61	0.61	0.61	0.61	0.60	0.60	0.60	0.60	0.60
NZD	1.2053	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10
CAD	0.9836	0.99	0.99	0.99	0.99	0.99	0.98	0.97	0.96	0.96	0.96
GBP	0.5176	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52
CHF	0.5600	0.57	0.57	0.56	0.56	0.55	0.55	0.54	0.54	0.54	0.54
DKK	4.5390	4.58	4.58	4.56	4.59	4.55	4.51	4.47	4.46	4.47	4.48
SEK	6.7083	6.81	6.84	6.85	6.91	6.89	6.86	6.81	6.79	6.81	6.84
NOK	6.7478	6.85	6.88	6.89	6.95	6.93	6.90	6.84	6.83	6.85	6.88
ZAR	11.33	11.5	11.5	11.5	11.6	11.6	11.6	11.6	11.7	11.7	11.7
SGD	0.8972	0.91	0.91	0.91	0.92	0.92	0.92	0.91	0.91	0.91	0.91
HKD	5.4402	5.56	5.60	5.62	5.69	5.69	5.68	5.64	5.62	5.61	5.61
PHP	42.75	43.0	43.0	42.5	42.3	41.6	40.9	39.9	39.1	39.1	39.1
THB	23.17	22.9	22.6	22.5	22.6	22.4	22.2	21.9	21.7	21.7	21.7
MYR	2.8286	2.84	2.83	2.81	2.85	2.81	2.81	2.80	2.75	2.75	2.75
CNY	4.7159	4.79	4.80	4.75	4.75	4.71	4.67	4.61	4.60	4.56	4.56
IDR	12585	12425	12172	12096	12118	11972	11899	11761	11656	11636	11636
TWD	22.35	22.2	22.0	21.7	21.7	21.3	21.0	20.6	20.4	20.4	20.4
KRW	1047	1044	1045	1037	1037	1022	1007	987	970	967	967
INR	66.18	67.5	67.7	67.7	67.9	67.2	66.4	65.3	64.4	63.7	63.0

Australia

Activity forecasts

	2026				2027				Calendar years			
%qtr / %yr end	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Household consumption	0.5	0.0	0.2	0.4	0.4	0.5	0.5	0.6	2.5	1.1	2.0	3.3
Dwelling investment	0.7	1.3	1.0	0.9	0.8	0.8	0.9	0.7	5.1	4.0	3.2	5.5
Business investment *	5.7	0.3	3.8	1.5	3.7	1.1	1.3	1.1	4.5	11.7	7.3	4.5
Private demand *	1.3	0.1	0.6	0.6	1.1	0.6	0.7	0.7	3.2	2.7	3.1	3.7
Public demand *	0.1	0.8	0.6	0.6	0.6	0.6	0.6	0.6	2.1	2.1	2.4	2.6
Domestic demand	1.0	0.3	0.6	0.6	0.9	0.6	0.7	0.6	2.9	2.5	2.9	3.4
Stock contribution	0.0	–0.1	–0.1	0.0	0.0	–0.1	0.0	0.0	0.1	–0.2	–0.1	0.1
GNE	0.9	0.2	0.5	0.6	0.9	0.6	0.6	0.7	3.0	2.3	2.8	3.4
Exports	–1.1	0.7	0.4	0.4	0.6	0.7	0.6	0.6	5.2	0.4	2.5	2.4
Imports	2.1	1.2	2.2	1.9	2.6	1.7	1.6	1.5	6.7	7.6	7.6	5.5
Net exports contribution	–0.8	–0.1	–0.4	–0.4	–0.5	–0.3	–0.3	–0.2	–0.3	–1.7	–1.3	–0.9
Real GDP %qtr / %yr avg	**0.3**	**0.0**	**0.1**	**0.3**	**0.4**	**0.4**	**0.4**	**0.4**	**2.0**	**1.5**	**1.3**	**2.2**
%yr end	**2.5**	**1.6**	**1.3**	**0.7**	**0.9**	**1.2**	**1.4**	**1.5**	**2.5**	**0.7**	**1.5**	**2.6**
Nominal GDP %qtr / %yr avg	0.6	0.2	1.3	0.6	0.5	0.7	1.0	0.8	4.7	4.2	2.8	4.5
%yr end	5.3	4.7	4.1	2.7	2.6	3.0	2.8	3.0	6.1	2.7	3.0	5.1
Real household disp. income	–0.2	–0.2	1.3	–2.0	0.3	0.9	1.6	–0.4	3.8	–1.1	2.5	3.3

Other macroeconomic variables

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Employment %qtr **	0.6	0.1	0.5	0.3	0.4	0.5	0.5	0.4	–	–	–	–
%yr end **	1.5	1.0	1.3	1.4	1.2	1.6	1.7	1.8	1.1	1.4	1.8	2.3
Unemployment rate % **	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4
Current account $bn, qtr	–27.1	–30.9	–29.2	–35.2	–40.0	–42.8	–44.7	–44.7	–	–	–	–
% of GDP	–3.7	–4.2	–3.9	–4.7	–5.3	–5.6	–5.8	–5.8	–3.1	–4.7	–5.8	–5.4
Terms of trade %yr avg	–1.2	–0.6	–0.5	–0.6	–2.1	–3.2	–5.0	–5.7	–2.5	–0.6	–5.7	–1.2
Population %yr end	1.5	1.5	1.5	1.5	1.4	1.4	1.4	1.4	1.5	1.5	1.4	1.4

Calendar year changes are annual through–the–year percentage changes unless otherwise specified.
* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

Macroeconomic variables – recent history

	2025						2026					
Monthly data	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**
CPI %yr	3.0	3.2	3.6	3.8	3.4	3.8	3.8	3.7	4.6	4.2	4.0	–
Employment '000 chg	32.3	–13.2	9.8	33.8	–38.7	57.2	34.7	22.9	19.4	–40.7	40.3	–
Unemployment rate %	4.3	4.3	4.5	4.3	4.3	4.1	4.1	4.3	4.3	4.5	4.4	–
Westpac–MI Consumer Sentiment	93.1	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.2	83.0	80.6
Household spending %mth	0.4	–0.1	0.3	1.4	0.9	–0.5	0.2	0.3	1.7	–1.1	1.3	–
Dwelling approvals %mth	–5.2	–4.3	19.3	–11.0	16.3	–15.5	–14.1	44.4	–13.0	–0.2	–1.1	–
Private sector credit %mth	0.7	0.6	0.6	0.7	0.7	0.8	0.5	0.6	0.7	0.7	0.7	–
Trade in goods balance AUDbn	6.2	0.8	3.4	4.4	2.2	3.4	2.4	5.0	–1.7	1.4	–3.0	–

New Zealand

Interest rate forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.83	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.52	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.59	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US	3	5	15	25	45	45	40	35	30	25	20
10 Year Spread to Aust	–30	–35	–25	–10	15	20	20	20	20	20	20

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
NZD vs											
USD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
JPY	93.52	96	96	99	101	101	102	100	99	98	96
EUR	0.5038	0.51	0.51	0.53	0.54	0.54	0.55	0.54	0.54	0.54	0.55
AUD	0.8297	0.83	0.84	0.86	0.88	0.89	0.90	0.91	0.91	0.91	0.91
CAD	0.8161	0.83	0.83	0.85	0.87	0.88	0.88	0.88	0.87	0.87	0.87
GBP	0.4294	0.44	0.44	0.46	0.47	0.47	0.47	0.47	0.47	0.47	0.47
CNY	3.9090	3.98	4.02	4.09	4.16	4.19	4.22	4.19	4.19	4.16	4.16

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Private consumption	0.5	0.0	0.6	0.8	0.9	1.0	1.0	1.0	1.4	1.0	3.3	4.0
Government consumption	1.5	0.2	0.3	0.3	0.3	0.3	0.6	0.5	2.5	4.3	1.4	2.2
Residential investment	–3.1	3.0	3.0	1.0	1.3	1.8	2.3	2.5	–5.4	1.5	7.5	9.2
Business investment	3.7	1.0	0.8	1.5	1.6	1.4	1.1	0.9	0.5	4.5	5.3	4.0
Stocks (ppt contribution)	0.0	0.0	0.0	–0.1	0.2	0.0	0.1	–0.1	–0.1	0.5	0.1	–0.1
GNE	0.9	0.3	0.7	0.7	1.1	0.9	1.0	0.9	0.9	2.9	3.6	3.8
Exports	3.1	–0.5	–0.4	0.5	1.0	1.1	0.9	0.8	2.8	4.0	2.5	3.1
Imports	4.2	–0.4	0.2	0.7	1.3	2.3	2.1	1.4	3.3	5.2	4.8	4.9
GDP (production)	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	0.3	1.9	2.6	3.2
Employment annual %	0.4	0.7	1.1	1.2	1.7	2.2	2.5	2.5	0.2	1.2	2.5	2.4
Unemployment rate % s.a.	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
LCI, all sect incl o/t, ann %	2.0	1.9	2.2	2.4	2.4	2.4	2.4	2.4	2.0	2.4	2.4	2.3
CPI annual %	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0
Current account % of GDP	–3.6	–3.7	–3.9	–3.9	–3.8	–3.9	–3.9	–3.9	–3.6	–3.9	–3.9	–3.6
Terms of trade annual %	2.0	–0.5	1.1	0.6	3.3	2.4	2.6	3.9	3.4	0.6	3.9	2.5

Sources: Statistics NZ, Westpac Economics.

Commodity prices

Quarter average	Latest (3 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Australian commodities index#	375	401	390	377	365	359	354	351	348	347	347
Bulk commodities index#	**391**	**400**	**377**	**352**	**337**	**337**	**338**	**340**	**343**	**345**	**347**
iron ore finesTSI @ 62% US$/t	100	102	97	89	84	83	83	84	85	85	86
Premium low vol met coal (US$/t)	242	241	221	206	202	204	205	207	208	209	211
Newcastle spot thermal coal (US$/t)	129	136	129	124	123	123	123	123	124	124	125
crude oil (US$/bbl) Brent	73	83	85	84	77	74	69	65	62	60	59
LNG in Japan US$mmbtu	16.1	18.6	17.9	17.7	16.5	15.0	13.0	12.4	11.6	10.8	10.5
gold (US$/oz)	4,071	4,560	4,640	4,590	4,550	4,580	4,610	4,640	4,670	4,700	4,730
Base metals index#	**256**	**262**	**259**	**255**	**251**	**248**	**245**	**240**	**237**	**234**	**233**
copper (US$/t)	13,309	13,290	12,950	12,630	12,380	12,250	12,190	12,120	12,070	12,030	12,010
aluminium (US$/t)	3,083	3,360	3,420	3,450	3,410	3,340	3,240	3,120	3,040	2,980	2,950
nickel (US$/t)	16,150	17,980	17,850	17,760	17,670	17,630	17,710	17,800	17,890	17,980	18,070
zinc (US$/t)	3,529	3,470	3,400	3,350	3,280	3,200	3,110	2,930	2,810	2,720	2,680
lead (US$/t)	1,847	1,960	1,950	1,950	1,950	1,960	1,970	1,930	1,890	1,870	1,860
Rural commodities index#	**138**	**144**	**147**	**146**	**141**	**136**	**130**	**124**	**119**	**115**	**114**
NZ commodities index ##	**406**	**403**	**405**	**406**	**407**	**409**	**412**	**414**	**415**	**416**	**417**
dairy price index ##	333	316	320	326	331	337	344	347	349	351	353
whole milk powder USD/t	3,425	3,440	3,480	3,530	3,580	3,640	3,720	3,770	3,810	3,850	3,890
skim milk powder USD/t	3,135	3,130	3,110	3,110	3,140	3,180	3,230	3,270	3,300	3,330	3,370
lamb price index ##	667	671	664	637	625	622	620	618	614	606	599
beef price index ##	394	422	417	406	398	398	397	396	395	394	393
forestry price index ##	163	163	164	164	164	165	165	166	166	167	168

	levels				% change			
Annual averages	**2025**	**2026(f)**	**2027(f)**	**2028(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Australian commodities index#	**324**	**397**	**364**	**348**	**4.2**	**22.8**	**–8.4**	**–4.3**
Bulk commodities index#	**378**	**396**	**341**	**344**	**–12.6**	**4.7**	**–13.9**	**0.8**
iron ore finesTSI @ 62% US$/t	102	103	85	85	–6.6	0.9	–17.4	0.0
Premium low vol met coal (US$/t)	189	233	204	209	–22.2	23.5	–12.4	2.3
Newcastle spot thermal coal (US$/t)	106	131	123	124	–21.5	22.8	–6.0	0.8
crude oil (US$/bbl) Brent	68	85	76	62	–14.6	24.5	–10.7	–19.1
LNG in Japan US$mmbtu	12.3	16.9	15.5	11.3	3.2	37.5	–7.9	–27.2
gold (US$/oz)	3,440	4,650	4,580	4,690	43.9	35.2	–1.5	2.4
Base metals index#	**208**	**260**	**250**	**236**	**3.1**	**24.9**	**–3.9**	**–5.6**
copper (US$/t)	9,960	13,110	12,360	12,060	8.7	31.6	–5.7	–2.4
aluminium (US$/t)	2,630	3,390	3,360	3,020	8.2	28.9	–0.9	–10.1
nickel (US$/t)	15,220	17,850	17,690	17,940	–9.7	17.3	–0.9	1.4
zinc (US$/t)	2,860	3,400	3,240	2,780	2.9	18.9	–4.7	–14.2
lead (US$/t)	1,970	1,950	1,960	1,890	–5.3	–1.0	0.5	–3.6
Rural commodities index#	**120**	**142**	**138**	**118**	**–4.8**	**18.7**	**–3.0**	**–14.6**
NZ commodities index ##	**390**	**403**	**408**	**415**	**9.2**	**3.2**	**1.5**	**1.7**
dairy price index ##	348	326	335	350	9.7	–6.5	2.7	4.6
whole milk powder USD/t	3902	3561	3617	3829	13.5	–8.7	1.6	5.9
skim milk powder USD/t	2702	3160	3165	3319	0.7	16.9	0.2	4.8
lamb price index ##	587	660	626	609	27.0	12.5	–5.2	–2.7
beef price index ##	337	406	400	394	19.1	20.4	–1.5	–1.4
forestry price index ##	152	160	164	167	–4.9	5.8	2.5	1.4

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Weekly averages except for the Bulks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

United States

Interest rate forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Fed Funds*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
USD vs											
DXY index	100.90	99.8	98.9	98.1	97.3	96.4	95.5	94.9	94.7	94.6	94.7
JPY	162.36	162	160	159	158	156	154	152	150	148	146
EUR	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
AUD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
CAD	1.4168	1.40	1.38	1.37	1.36	1.35	1.34	1.33	1.32	1.32	1.32
GBP	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
CHF	0.8066	0.80	0.79	0.78	0.77	0.76	0.75	0.75	0.75	0.75	0.75
ZAR	16.32	16.1	16.1	16.0	15.9	15.9	15.9	16.0	16.1	16.1	16.1
SGD	1.2923	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8364	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75	7.75
PHP	61.61	60.5	60.0	59.0	58.0	57.0	56.0	55.0	54.0	54.0	54.0
THB	33.38	32.2	31.6	31.3	31.0	30.7	30.4	30.2	30.0	30.0	30.0
MYR	4.0766	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80	3.80
CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	18128	17500	17000	16800	16600	16400	16300	16200	16100	16072	16072
TWD	32.19	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2	28.2
KRW	1507	1470	1460	1440	1420	1400	1380	1360	1340	1336	1336
INR	95.38	95.0	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Activity forecasts

	2026				2027				Calendar years			
% annualised, s/adj	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Private consumption	0.5	1.2	1.2	1.3	1.9	2.0	2.1	2.1	2.6	1.5	1.7	2.1
Dwelling investment	-7.8	–2.0	0.0	0.8	0.8	1.2	1.6	2.0	–2.2	–3.9	0.8	2.0
Business investment	10.6	8.1	6.5	5.6	5.3	4.8	4.7	4.7	4.1	6.6	5.5	4.7
Public demand	4.4	1.2	0.4	0.4	0.4	0.4	0.4	0.4	1.1	0.6	0.5	0.4
Domestic final demand	2.3	2.1	1.8	1.8	2.2	2.2	2.2	2.2	2.4	2.0	2.1	2.2
Inventories contribution ppt	–0.8	0.0	0.1	0.1	0.1	0.1	0.0	0.0	–0.1	0.1	0.0	0.1
Net exports contribution ppt	1.6	0.1	–0.5	–0.5	–0.5	-0.5	–0.4	–0.4	0.4	-0.5	–0.5	–0.5
GDP	2.1	1.7	1.6	1.5	1.9	1.9	1.8	1.8	2.1	2.0	1.8	1.9
%yr annual chg	2.6	2.3	1.6	1.8	1.9	1.6	1.8	1.8	–	–	–	–

Other macroeconomic variables

Non–farm payrolls mth avg	43	115	100	100	105	105	110	110	26	98	108	120
Unemployment rate %	4.3	4.3	4.4	4.4	4.5	4.5	4.5	4.5	4.3	4.4	4.5	4.5
CPI headline %yr	2.7	4.0	3.5	3.2	2.9	2.3	2.3	2.2	2.7	3.4	2.4	2.2
PCE deflator, core %yr	3.1	3.3	3.1	3.0	2.7	2.4	2.3	2.2	2.8	3.1	2.4	2.2

Sources: Official agencies, Factset, Westpac Economics.

Europe & the United Kingdom

Interest rate forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Euro Area											
ECB Deposit Rate	2.25	2.50	2.50	2.50	2.50	2.25	2.00	2.00	2.00	2.00	2.00
10 Year Bund	3.08	3.00	3.00	3.00	2.95	2.95	2.95	2.95	2.95	2.95	2.95
10 Year Spread to US	–147	–150	–150	–155	–160	–165	–170	–175	–180	–185	–190
United Kingdom											
BoE Bank Rate	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50	3.50
10 Year Gilt	4.90	4.85	4.85	4.85	4.80	4.80	4.80	4.80	4.80	4.80	4.80
10 Year Spread to US	35	35	35	30	25	20	15	10	5	0	–5

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
euro vs											
USD	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
JPY	185.64	188	187	188	188	187	186	185	182	179	177
GBP	0.8524	0.86	0.87	0.87	0.87	0.87	0.87	0.87	0.86	0.86	0.86
CHF	0.9222	0.92	0.92	0.92	0.92	0.91	0.91	0.91	0.91	0.91	0.91
DKK	7.4752	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48
SEK	11.05	11.1	11.2	11.2	11.3	11.3	11.4	11.4	11.4	11.4	11.4
NOK	11.11	11.2	11.2	11.3	11.3	11.4	11.4	11.5	11.5	11.5	11.5
sterling vs											
USD	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
JPY	217.78	218	216	216	216	215	214	213	211	208	204
CHF	1.0819	1.07	1.07	1.06	1.05	1.05	1.04	1.04	1.05	1.05	1.05
AUD	0.5176	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Euro area GDP	3.7	0.6	0.9	1.5	0.3	1.1	1.5
private consumption	5.3	0.6	1.3	1.5	0.9	1.0	1.4
fixed investment	2.2	2.8	–2.6	3.1	0.6	1.3	2.1
government consumption	1.3	1.5	2.3	1.4	2.3	2.1	2.0
net exports contribution ppt	–0.1	0.3	0.3	–0.5	–0.6	–0.1	–0.3
Germany GDP	1.9	–0.7	–0.5	0.3	0.7	1.1	1.7
France GDP	2.8	1.9	1.4	0.9	0.5	0.8	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.7	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.2	1.9	2.1
Netherlands GDP	5.0	–0.6	1.1	1.6	1.1	1.2	1.6
United Kingdom GDP	5.1	0.3	1.0	1.3	1.0	1.1	1.5

Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	–0.3	0.1	0.1	1.2	1.3	1.6
Producer prices %yr	10.3	–0.7	–2.7	–2.3	–2.6	2.0	1.2	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.5	5.0	4.8
Retail sales	12.5	–0.2	7.2	3.5	3.7	2.3	4.2	4.4
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.4
Fixed asset investment	4.9	5.1	3.0	3.2	–1.4	1.5	4.0	4.5
Exports %yr	20.9	–9.9	–2.3	10.7	5.2	8.0	4.0	3.5
Imports %yr	19.5	–7.5	0.2	0.9	–0.1	9.0	3.0	2.5

Source: Macrobond, Bloomberg. Year–to–date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1–year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Policy Rate	1.00	1.00	1.25	1.25	1.50	1.50	1.50	1.50	1.50	1.50	1.50
10 Year Bond Yield	2.88	2.85	2.90	2.95	2.70	2.60	2.50	2.45	2.40	2.35	2.30

Currency forecasts

	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
JPY	162.36	162	160	159	158	156	154	152	150	148	146
SGD	1.2923	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8364	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75	7.75
PHP	61.61	60.5	60.0	59.0	58.0	57.0	56.00	55.00	54.00	53.95	53.95
THB	33.38	32.2	31.6	31.3	31.0	30.7	30.4	30.2	30.0	30.0	30.0
MYR	4.0766	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80	3.80
CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	18128	17500	17000	16800	16600	16400	16300	16200	16100	16072	16072
TWD	32.19	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2	28.2
KRW	1507	1470	1460	1440	1420	1400	1380	1360	1340	1336	1336
INR	95.38	95.0	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Source: Bloomberg, Westpac Economics.

Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.2**	**3.3**	**3.3**
United States	6.2	2.5	2.9	2.8	2.1	2.0	1.8	1.9
Japan	3.6	1.3	0.7	–0.2	1.1	0.6	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.5	0.2	1.1	1.5
Group of 3	**5.9**	**2.8**	**1.8**	**1.7**	**1.8**	**1.2**	**1.4**	**1.6**
United Kingdom	8.5	5.1	0.3	1.0	1.4	1.1	1.1	1.5
Canada	6.0	4.7	2.0	2.0	1.9	0.9	1.6	1.8
Australia	5.4	4.2	2.1	1.0	2.0	1.5	1.3	2.2
New Zealand	5.5	2.6	2.2	–0.3	0.2	1.9	2.6	3.2
OECD total	**6.2**	**3.2**	**1.9**	**1.8**	**1.7**	**1.5**	**1.5**	**1.7**
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	2.6	2.3	2.2
Taiwan	6.7	2.7	1.1	5.3	8.8	9.2	5.0	4.0
Hong Kong	6.5	–3.7	3.2	2.6	3.6	3.5	2.7	2.5
Singapore	10.1	4.0	1.5	5.3	5.0	3.5	2.7	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.0	5.1	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	1.8	2.0	2.4
Malaysia	3.3	9.0	3.5	5.1	5.2	4.4	4.5	4.5
Philippines	5.7	7.6	5.5	5.7	4.4	4.0	4.8	5.5
Vietnam	2.6	8.5	5.1	7.0	8.0	7.4	7.0	7.0
East Asia	**7.1**	**3.6**	**4.7**	**4.8**	**4.9**	**4.7**	**4.5**	**4.3**
East Asia ex China	4.4	4.6	3.4	4.5	4.7	4.8	4.2	4.2
NIEs*	**6.1**	**2.3**	**1.6**	**3.4**	**4.1**	**4.8**	**3.2**	**2.8**
India	9.7	7.6	7.2	7.1	7.6	6.7	6.7	6.6
Russia	5.9	–1.4	4.1	4.9	1.0	0.9	1.1	1.3
Brazil	4.8	3.0	3.2	3.4	2.3	1.8	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	–1.9	–1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex–East Asia	**6.8**	3.7	**3.7**	**4.7**	**4.4**	**4.1**	**4.3**	**4.3**
Other countries	**6.7**	**5.2**	**4.9**	**2.0**	**2.3**	**2.8**	**3.0**	**3.1**
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.2**	**3.3**	**3.3**

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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ECONOMIC BULLETIN

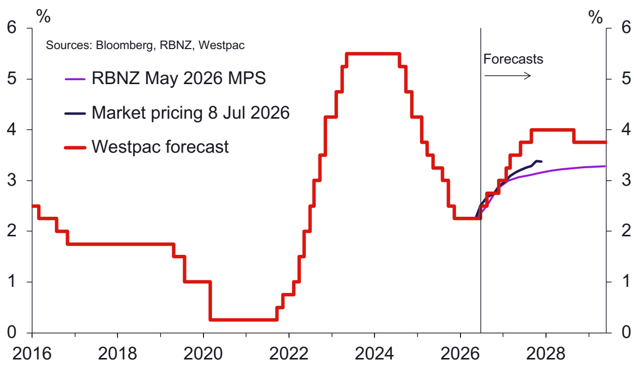
RBNZ July 2026 Monetary Policy Review.

8 Jul 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Dovish hike?

- **The RBNZ raised the OCR by 25bps to 2.5%. The decision was reached by consensus.**
- **The balance of the Committee seems unchanged: Gai, Gourley and Hansen remain hawkish while Breman, Conway and Silk remain more dovish.**
- **A key argument for the hike is a concern that financial conditions would have eased further if the OCR was left unchanged.**
- **The MPC seems to be comfortable with an end 2026 level of the OCR in the 2.75%-3% range – not very different from that shown in the May forecasts.**
- **Westpac expects follow-up 25 bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. Hence the peak OCR of 4% is reached in September, instead of December 2027.**

Official Cash Rate forecasts



OCR raised by 25bps to 2.50%.

Today the RBNZ raised the OCR by 25bps to 2.50%, in contrast to our expectations for an 'on hold' decision. The decision was reached by consensus and hence no vote was required.

A comparison of key quotes from the July MPR statement and Record of Meeting with that from the May MPS meeting is provided at the end of this document.

The RBNZ has recognised the fall in oil prices and inflation risks that has been seen since May. Their forecasts for inflation have been revised down such that annual inflation is expected to be 3.9% in Q2 and 3.3% in Q3. These forecasts are a bit lower than our own (3.7% for Q3 in our case) but still demand OCR increases in 2026 by the MPC's thinking.

The RBNZ recognizes that the risks around the global growth outlook are better balanced relative to those seen back in May when energy prices were much higher.

A key argument cited as supporting the case for an OCR hike today was the risk that an unchanged OCR might have prompted a further easing in financial conditions.

This could have occurred through some combination of expectations of a lower end 2026 OCR and a weaker exchange rate. This suggests the RBNZ remain comfortable with the end 2026 OCR in the 2.75-3% range given where market pricing has sat in the last week or so.

The RBNZ indicates some further tightening is likely over coming meetings but notes the timing of these interest rate increases remains uncertain. The strategy seems to be to bring the OCR back to the neutral zone. For now, an OCR in the low 3% area seems to be viewed as consistent with that objective. However, there is uncertainty around where the neutral OCR is. Prasanna Gai noted a risk the neutral rate is rising in this less certain geopolitical environment. Paul Conway noted in the press conference that short-term estimates of the neutral OCR are being boosted by the higher short term inflation profile and the resultant impact on short term inflation expectations.

The balance of the MPC appears unchanged: the hawks remain Gai, Gourley and Hansen while the more dovish group includes Breman, Silk and Conway. Gai and Gourley see upside risks to the inflation outlook while the rest see the inflation risks as better balanced.

The RBNZ's rhetoric on the key factors driving future OCR increases has shifted a little. In May the Governor emphasized the importance of indicators of second round pricing pressures, rising inflation expectations and wage pressures. No evidence has accumulated since May on these risks. Nevertheless, these factors are still seen as important, but now signs of strengthening domestic and global growth are being added to the list of relevant factors. Trends in financial conditions seem also to be on the list of relevant factors. The potential inflationary impact of the exchange rate is playing a role here.

The RBNZ also decided to bring forward slightly the time at which the LSAP portfolio will be fully extinguished to June 2027. This does not have any monetary policy implications and is portrayed as being largely technical in nature.

Westpac outlook – 4% peak in the OCR reached a little earlier in 2027.

Looking ahead, we continue to expect the 25bp increases in the OCR that we forecast prior to today's meeting – at the September and December meetings – although these will now leave the OCR 25bps higher at year end (at 3.0%) than we had forecast previously. Thereafter, we continue to forecast a peak OCR of 4.0% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting. In the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve (we summarise the near-term economic diary below). Therefore, as the RBNZ noted itself today, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the September 2026 meeting should not be regarded as a "done deal".

Things to watch ahead of the 2 September meeting.

The RBNZ's next policy review is on 2 September, when it will also publish a full Monetary Policy Statement (MPS) and refreshed economic forecasts. How the RBNZ's policy stance evolves between now and then will depend on the path the Middle East conflict takes and what indicators and anecdotes continue to suggest about the impact of the conflict on New Zealand's economic recovery and inflation.

In contrast to the period ahead of today's meeting, there are many important domestic economic indicators scheduled for release ahead of the 2 September meeting. We think the following are the key ones to watch.

- **Q2 CPI** (21 July) and July **Selected Prices** (17 August): These pricing indicators will reveal whether the earlier surge in fuel prices has generated upward pressure across a broader range of goods and services.
- **Q3 RBNZ surveys** (13 August, 14 August, 21 August): Inflation expectations measures from the RBNZ's surveys of professional forecasters, households and businesses will be analysed closely to see whether there has been a reversal of the energy-induced increase in inflation expectations observed in Q2.
- **Q2 QSBO** (14 July) and **July/August ANZ Business Outlook** (30 July/31 August): The data-rich QSBO survey was likely in the field before Middle East tensions eased so it will be interesting to see where the NZIER provide a breakdown of early and late responses. The ANZ surveys may provide a timelier account of how businesses are responding to the easing of the conflict and the resulting decline in oil prices.
- **July/August PMI and PSI surveys** (mid-July/mid-August): These may provide some early insight as to whether GDP growth has resumed in Q3.
- **Q2 labour market surveys** (5 August): Employment and hours worked data from the HLFS and QES surveys will cast light on the performance of the economy in Q2, while the LCI will cast light on underlying inflation pressures.

In addition to the above, we will monitor a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities.

RBNZ comparison table July 2026 vs May 2026

Category	May 2026 quotes	July 2026 quotes
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Committee agreed that while further OCR increases appear likely at upcoming meetings, their timing is highly uncertain. Future OCR decisions will depend on the Committee's judgement about how price-setting behaviour and excess productive capacity affect medium-term inflation pressures. Increasing the OCR at this meeting is intended, in part, to avoid an unwarranted further easing in financial conditions.
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement. With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	With inflation still above target and economic activity expected to strengthen, some further reduction in monetary stimulus is likely to be required to return inflation to the 2 percent target mid-point. The Committee agreed that it was appropriate to start reducing the degree of monetary stimulus to ensure that inflation returns to target over the medium term.
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Committee assessed that the current level of the OCR remains accommodative. However, members noted that there is some uncertainty around where to judge the current level of the neutral interest rate. Prasanna Gai noted that recent geoeconomic shocks may have increased New Zealand's neutral interest rate by reducing global productive capacity and raising investment demand relative to available global savings.
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending. Consumer confidence has fallen sharply, and the housing market remains weak. Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict. These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	New Zealand's economic recovery was underway before the Middle East conflict, but lost momentum in the June quarter as the oil shock weighed on economic activity. Growth is expected to resume in the September quarter as these effects fade and confidence improves. The Committee noted that domestic economic activity slowed in the June 2026 quarter. Domestic economic growth is projected to resume in the September 2026 quarter.
The global economic outlook	The global economic backdrop remains uncertain. On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation. The Middle East conflict poses downside risks to global economic activity.	Global growth has been resilient to the effects of tariffs and conflict in the Middle East, largely because of strong AI-related investment and spending on defence and economic security. The Committee noted that global economic activity had remained robust through 2025 and into early 2026, despite significant headwinds. Consensus forecasts imply that trade-weighted global inflation will moderate close to 2 percent in 2027.
The labour market	The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Unemployment remains elevated, indicative of spare capacity in the labour market. Wage pressures could also arise from labour shortages in some sectors and regions.	Over the medium term, inflation returning to the 2 percent target mid-point will lift household purchasing power and help support a sustained recovery in growth and employment. Members noted that high inflation erodes households' purchasing power and dampens domestic demand. Inflation declining towards the target mid-point will help to ensure a sustainable recovery in economic growth and a stronger labour market.

Category	May 2026 quotes	July 2026 quotes
The short-term inflation outlook	The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. First round direct and indirect effects from higher petrochemical prices will increase inflation this year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.	The forecast for near-term inflation has declined, given that current oil futures pricing is now significantly lower than assumed in the May Statement. Despite progress towards conflict resolution in the Middle East and the recent fall in energy prices, annual consumers price inflation is expected to remain above the Monetary Policy Committee's 1 to 3 percent target range in coming quarters. Annual headline inflation is expected to have peaked at 3.9 percent in the June 2026 quarter, before declining to 3.3 percent in the September 2026 quarter.
The medium-term inflation outlook	Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term. The outlook for medium-term inflation pressures is also uncertain. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.	Although energy prices have decreased, the effects of the shock will linger for some time and the outlook for medium-term inflation pressures remains uncertain. Spare capacity in the economy is expected to limit firms' ability to pass on higher costs, meaning many businesses may need to absorb them in margins. However, some firms may look to rebuild margins as demand recovers. If sustained, a lower exchange rate could also add to medium-term inflation pressures.
The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Committee judged that there are both risks to the upside and the downside. In the discussion, Prasanna Gai and Hayley Gourley assessed that risks were skewed to the upside, while Anna Breman, Paul Conway, Carl Hansen and Karen Silk viewed risks as broadly balanced. The Committee agreed that all these upside and downside risks are relevant for the medium-term inflation outlook and will be important for the monetary policy stance going forward.
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanna Gai noted that, despite the recent decline in energy prices, some indirect effects from earlier increases in energy-related input costs may also still flow through to consumer prices. Prasanna Gai also highlighted the risk that the Middle East shock could coordinate price-setting behaviour, licencing firms to pass on costs more readily than otherwise. Carl Hansen noted that lower energy prices could support a stronger recovery in household and business demand.
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated. Spare capacity in the economy is likely to dampen second-round inflationary pressure.	Anna Breman, Paul Conway, Carl Hansen and Karen Silk viewed risks as broadly balanced. Anna Breman noted that if demand remains weak, firms may have less ability to pass higher costs on to consumers and intelligence from recent business engagements point to divergence in ability to pass on cost increases. Paul Conway noted uncertainty around how quickly the recovery will broaden beyond currently strong sectors and regions. Several members observed that household consumption and investment remain weak, reflecting caution and the lingering effects of repeated shocks.

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Westpac Banking Corporation.

First Impressions: RBNZ Monetary Policy Review July 2026

#rbnz #newzealand

By Kelly Eckhold & Westpac New Zealand Economics

12:26 July 08 2026

Share

The RBNZ unexpectedly raised the OCR to 2.5%. We review some key quotes side by side relative to the May meeting below and provide an initial take on the implications.

The RBNZ has unexpectedly increased the OCR to 2.5%. The decision was reached by consensus. It seems that the balance of the Committee remains similar: Gai, Gourley and Hansen remain hawks while Conway, Breman and Silk remain Doves. There is perhaps a modest shift in the bias of the group regarding the balance of risks for inflation as one hawk (Hansen) sees a balanced inflation outlook now.

The MPC are pointing toward follow on tightening and we still expect an OCR rise at the September Monetary Policy Statement. The MPC seemed concerned that not raising the OCR today would prompt further easing in financial conditions and hence it seems the RBNZ continues to see an end-of-year OCR of 2.75-3% as being reasonable.

A comparison of the RBNZ's updated policy assessment compared to their previous statement is shown in the table below. If the table does not display properly, please click the red 'Read more' button for the desktop version.

We will provide more detail after the press conference.

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RBNZ comparison table July 2026 vs May 2026

Category	**May 2026 quotes**	**July 20**
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Cor increase timing is Future C Commit behavio medium Increasi part, to a financia
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement.	With infl expecte monetar inflation

	With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	The Cor start rec ensure t medium
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Cor the OCF Howeve uncertai of the ne Prasann shocks i interest and rais global s
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending. Consumer confidence has fallen sharply, and the housing market remains weak. Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict. These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	New Ze before th in the Ju econom Growth quarter improve The Cor activity s Domest the Sep
The global economic outlook	The global economic backdrop remains uncertain. On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation. The Middle East conflict poses downside risks to global economic activity.	Global g tariffs ar because spendin The Cor had rem 2026, de Consen global ir 2027.

The labour market	The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Unemployment remains elevated, indicative of spare capacity in the labour market. Wage pressures could also arise from labour shortages in some sectors and regions.	Over the percent purchas recovery Member househo domesti Inflation help to e growth a
The short-term inflation outlook	The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. First round direct and indirect effects from higher petrochemical prices will increase inflation this year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.	The fore given th significa Stateme Despite Middle E annual c remain a 3 percen Annual I peaked before c 2026 qu
The medium-term inflation outlook	Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term. The outlook for medium-term inflation pressures is also uncertain. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.	Althoug of the sh outlook uncertai Spare c firms' ab busines Howeve demand rate cou pressure

The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Cor the upsi In the di assesse while Ar Karen S The Cor downsic inflation monetar
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanr in energ increase flow thro Prasanr Middle E behavio readily t Carl Har support busines
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated.	Anna Br Karen S Anna Br firms ma to consu engager on cost Paul Co the reco sectors

Spare capacity in the economy is likely to dampen second-round inflationary pressure.

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This information is current as at 13 July 2026

Quarter average forecasts	Latest*	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28
Iron ore finesTSI @ 62% US$/t	100	102	97	89	84	83	83	84
Iron ore fines contracts (Usc dltu)	154	160	150	140	130	130	130	130
Premium low vol met coal (US$/t)	238	241	221	206	202	204	205	207
Newcastle spot thermal coal (US$/t)	129	136	129	124	123	123	123	123
Crude oil (USD/bbl) WTI	72	81	83	82	75	72	67	63
Crude oil (USD/bbl) Brent	76	83	85	84	77	74	69	65
LNG in Japan US$mmbtu	16.4	18.6	17.9	17.7	16.5	15.0	13.0	12.4
Gold (USD/oz)	4,116	4,560	4,640	4,590	4,550	4,580	4,610	4,640
Aluminium (US$/t)	3,145	3,360	3,420	3,450	3,410	3,340	3,240	3,120
Copper (US$/t)	13,328	13,290	12,950	12,630	12,380	12,250	12,190	12,120
Nickel (US$/t)	16,294	17,980	17,850	17,760	17,670	17,630	17,710	17,800
Zinc (US$/t)	3,596	3,470	3,400	3,350	3,280	3,200	3,110	2,930
Lead (US$/t)	1,848	1,960	1,950	1,950	1,950	1,960	1,970	1,930
AUD/USD	0.69	0.72	0.73	0.73	0.74	0.74	0.74	0.73

Quarter average forecasts	Jun–28	Sep–28	Dec–28	Mar–29	Jun–29	Sep–29	Dec–29	Mar–30	Jun–30
Iron ore finesTSI @ 62% US$/t	85	85	86	86	87	87	88	89	89
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	130	140	140	140
Premium low vol met coal (US$/t)	208	209	211	212	214	215	217	218	220
Newcastle spot thermal coal (US$/t)	124	124	125	125	126	126	127	127	128
Crude oil (USD/bbl) WTI	60	58	57	58	58	58	59	59	60
Crude oil (USD/bbl) Brent	62	60	59	59	60	60	61	61	61
LNG in Japan US$mmbtu	11.6	10.8	10.5	10.4	10.5	10.6	10.7	10.8	10.9
Gold (USD/oz)	4,670	4,700	4,730	4,760	4,800	4,830	4,860	4,890	4,930
Aluminium (US$/t)	3,040	2,980	2,950	2,980	3,020	3,060	3,100	3,130	3,170
Copper (US$/t)	12,070	12,030	12,010	12,170	12,540	13,000	13,360	13,630	13,900
Nickel (US$/t)	17,890	17,980	18,070	18,190	18,310	18,430	18,550	18,670	18,790
Zinc (US$/t)	2,810	2,720	2,680	2,690	2,700	2,710	2,720	2,740	2,750
Lead (US$/t)	1,890	1,870	1,860	1,860	1,860	1,860	1,870	1,870	1,870
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

WESTPAC COMMODITY FORECASTS

Quarter end forecasts	Latest*	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28
Iron ore finesTSI @ 62% US$/t	100	100	95	87	83	83	84	84
Iron ore fines contracts (Usc dltu)	154	150	150	130	130	130	130	130
Premium low vol met coal (US$/t)	238	234	216	203	202	204	206	207
Newcastle spot thermal coal (US$/t)	129	134	127	123	123	123	123	123
Crude oil (USD/bbl) WTI	72	82	83	81	73	72	65	62
Crude oil (USD/bbl) Brent	76	84	85	83	75	74	67	64
LNG in Japan US$mmbtu	16.4	18.4	17.8	17.7	16.0	14.5	12.6	12.4
Gold (USD/oz)	4,116	4,590	4,620	4,580	4,560	4,590	4,620	4,650
Aluminium (US$/t)	3,145	3,380	3,430	3,440	3,390	3,310	3,200	3,080
Copper (US$/t)	13,328	13,180	12,840	12,530	12,310	12,230	12,170	12,090
Nickel (US$/t)	16,294	17,940	17,820	17,730	17,640	17,630	17,740	17,830
Zinc (US$/t)	3,596	3,450	3,380	3,340	3,240	3,190	3,060	2,860
Lead (US$/t)	1,848	1,960	1,950	1,950	1,950	1,970	1,960	1,910
AUD/USD	0.69	0.72	0.73	0.74	0.74	0.74	0.74	0.73

Quarter end forecasts	Jun–28	Sep–28	Dec–28	Mar–29	Jun–29	Sep–29	Dec–29	Mar–30	Jun–30
Iron ore finesTSI @ 62% US$/t	85	85	86	86	87	88	88	89	89
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	130	140	140	140
Premium low vol met coal (US$/t)	208	210	211	213	214	216	217	219	220
Newcastle spot thermal coal (US$/t)	124	124	125	125	126	126	127	128	128
Crude oil (USD/bbl) WTI	59	58	57	58	58	59	59	59	60
Crude oil (USD/bbl) Brent	61	60	59	60	60	60	61	61	62
LNG in Japan US$mmbtu	11.3	10.7	10.5	10.4	10.5	10.6	10.7	10.8	10.9
Gold (USD/oz)	4,680	4,710	4,740	4,770	4,810	4,840	4,870	4,900	4,950
Aluminium (US$/t)	3,020	2,970	2,950	3,000	3,030	3,080	3,110	3,140	3,190
Copper (US$/t)	12,070	12,020	12,100	12,190	12,740	13,110	13,490	13,680	13,990
Nickel (US$/t)	17,920	18,010	18,100	18,240	18,340	18,480	18,580	18,720	18,820
Zinc (US$/t)	2,770	2,810	2,630	2,690	2,710	2,710	2,730	2,740	2,760
Lead (US$/t)	1,880	1,870	1,860	1,860	1,860	1,860	1,870	1,870	1,870
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

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